



CHARTING PSE'S ESG ROADMAP



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ABOUT THE COVER

The three images on the cover are representations of ESG - Environmental, Social, Governance. The Philippine Stock Exchange, Inc. (PSE) wants to highlight ESG on the cover of its 2019 Annual Report to mark its official membership to the sustainability frontrunner in the global capital markets, the Sustainable Stock Exchanges (SSE) Initiative. In becoming a member of SSE, PSE committed to promote ESG policies and programs and advance the sustainable business agenda in the Philippine capital market. The PSE has had significant inroads in corporate governance and stakeholder programs over the years but it is now working towards a broader, stronger and more inclusive ESG strategy and framework.

ABOUT PSE

The Philippine Stock Exchange, Inc. (PSE) is one of the fastest growing markets in the region. Among the pioneer exchanges in Asia, it traces its origins from the country’s two former stock exchanges, the Manila Stock Exchange (MSE), which was established on August 8, 1927, and the Makati Stock Exchange (MkSE), which was established on May 27, 1963.

Although the MSE and the MkSE traded the same stocks of the same companies, the bourses were separate stock exchanges for nearly 30 years until December 23, 1992, when both exchanges were unified to become the present-day Philippine Stock Exchange.

In June 1998, the Securities and Exchange Commission (SEC) granted the PSE a “Self-Regulatory Organization” (SRO) status, which meant that the bourse can implement its own rules and impose penalties on erring trading participants (TPs) and listed companies (LCs).

In 2001, one year after the enactment of the Securities Regulation Code, the PSE was transformed from a non-profit, non-stock, member-governed organization into a shareholder-based, revenue-earning corporation headed by a President and Board of Directors. The PSE eventually listed its own shares on the Exchange (traded under the ticker symbol “PSE”) by way of introduction on December 15, 2003.

From having two trading floors, one at the PSE Centre (Tektite), Ortigas Center in Pasig City, and one at its former principal office at the Ayala Tower One & Exchange Plaza in Makati City’s Central Business District, PSE now holds office and maintains a trading floor in PSE Tower, Bonifacio Global City, Taguig City.

As of end December 2019, securities traded at the PSE include shares of 268 listed companies and an exchange traded fund.

The PSE is a member of the World Federation of Exchanges, the Asian and Oceanian Stock Exchanges Federation and the Sustainable Stock Exchanges Initiative.

VISION

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy.

MISSION

- Offer products and services responsive to the needs of investors and other stakeholders
- Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors
- Be a preferred venue for raising capital
- Practice and promote good governance within the Exchange and among listed companies and trading participants
- Operate efficiently to optimize shareholder value
- Adopt world-class systems and global best practices for an efficient, fair and orderly market
- Develop a highly motivated and professional workforce, committed to serve and excel

CORPORATE VALUES

- Professionalism in delivering quality service and in meeting the highest standards of excellence
- Integrity, transparency and accountability in implementing business programs and enforcing decisions
- Teamwork in working towards a common and favorable goal for the market
- Mutual respect in relating with fellow employees
- Inner strength in prioritizing the common good of the market instead of individual interest
- Corporate responsibility in promoting market growth hand in hand with community welfare

FINANCIAL HIGHLIGHTS

TABLE 01

CHANGE				
[IN THOUSAND PESOS]	2019	2018	AMOUNT	%
RESULTS OF OPERATIONS				
OPERATING REVENUES	1,290,949	1,596,207	-305,258	-19.12
LISTING FEES, MAINTENANCE & PROCESSING FEES	584,781	838,299	-253,518	-30.24
TRADING FEES, DATA FEED & SUBSCRIPTION	327,160	397,376	-70,216	-17.67
SERVICE FEES	316,532	310,147	6,385	2.06
OTHERS	62,476	50,385	12,091	24.00
COST AND EXPENSES	725,005	762,033	-37,028	-4.86
COST OF SERVICES	280,846	304,314	-23,468	-7.71
GENERAL AND ADMINISTRATIVE	444,159	457,719	-13,560	-2.96
OTHER INCOME	310,775	148,339	162,436	109.5
INCOME BEFORE INCOME TAX	876,719	982,513	-105,794	-10.77
NET INCOME AFTER TAX	679,291	727,106	-47,815	-6.58

TABLE 02

YEAR-END FINANCIAL CONDITION				
TOTAL ASSETS	6,289,387	6,623,493	-334,106	-5.04
CASH AND CASH EQUIVALENTS	3,126,031	3,868,150	-742,119	-19.19
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	290,953	259,809	31,144	11.99
FINANCIAL ASSETS AT FAIR VALUE THROUGH	79,721	9,952	69,769	701.06
OTHER COMPREHENSIVE INCOME (FVOCI)				
PROPERTY AND EQUIPMENT	1,246,555	1,497,375	-250,820	-16.75
LONG-TERM FINANCIAL ASSETS AT FVOCI	549,349	466,248	83,101	17.82
INVESTMENT PROPERTY	140,312	-	140,312	-
TOTAL LIABILITIES	1,472,054	416,124	1,055,930	253.75
CURRENT LIABILITIES	640,547	398,160	242,387	60.88
PENSION LIABILITY	831,507	17,964	813,543	4,528.74
EQUITY	4,817,333	6,207,369	(1,390,036)	-22.39



MESSAGE FROM THE CHAIRMAN

Dear Shareholders,

In the last few years, The Philippine Stock Exchange, Inc.'s (PSE) strategy has been focused on introducing new products and services and improving our technology platforms. While that remains to be the company's direction, we started to have a more deliberate and structured approach towards Environment, Social, Governance (ESG) programs with the end in view of adopting international best practices.

We have long championed excellence in corporate governance. In recent years, we added more programs that are geared towards employee well-being. We started to have more pro-environment activities and we initiated the process of institutionalizing these initiatives and embed them in the strategy of the company. The PSE engaged a subject matter expert to help us with this and we hope to have significant accomplishments in this area in the next two to three years. Even with these activities, we believe that the PSE can do more as a company and as a regulator for the advancement of ESG.

To demonstrate our commitment, the PSE formalized its support to promote sustainability policies and practices in the Philippine capital market by becoming a member of the Sustainable Stock Exchanges (SSE) Initiative.

On the governance front, an exciting development is the redesign in the PSE Bell Awards. To make the awards more relevant to the sustainability agenda, the PSE is working on overhauling the Bell Awards criteria. We also partnered with the Securities and Exchange Commission (SEC) so we can use the Sustainability Reports of listed companies as source of information in evaluating companies for the awards.

The PSE also partnered with the SEC to help equip listed companies (LCs) with the know-how needed to write their respective Sustainability Reports (SRs) and for the first three (3) years of implementation, the Commission has agreed to adopt the "comply or explain" approach.

To address financial inclusivity, the PSE leveraged on digital platforms to broaden the online investor trading base and to reach potential investors based in

provinces in other countries. In 2019, four trading participants (TPs) launched their online trading platforms that are powered by PSETradex. This brings to 26 the number of TPs that are subscribed to PSETradex. The year also saw the successful launch of PSE Electronic Allocation System (PSE EASY), the online initial public offering subscription platform for Local Small Investors. The Exchange also continued to carry out its investing literacy programs such as seminars, webinars and roadshows.

We pursue ESG initiatives to make our stock market not only more competitive but a preferred destination among emerging markets. We are confident that our sustainability initiatives will greatly benefit our country in the long run.

Aside from expanding our product base, we have lined up an extensive ESG program for 2020 that we hope will improve confidence in our stock market and translate to more listings and investments. However, as of this writing, we are in the midst of a health and economic crisis brought by COVID-19. The enhanced community quarantine clearly derailed our plans for 2020. The PSE updated some of its trading rules to help

curb market volatility due to the uncertainty caused by the pandemic. Despite prevailing circumstances, the company continues to strive to deliver on products and technology updates that will benefit our stock market.

I wish to express my sincerest gratitude to my colleagues in the Board, the Management and Staff of the Exchange who worked tirelessly towards the achievement of the company's goals and objectives in 2019. I also want to thank the PSE Team, our regulator, our shareholders and other stakeholders for their unwavering support to the Exchange as we weather this unprecedented crisis.


Jose T. Pardo
Chairman



MESSAGE FROM THE PRESIDENT

Dear Fellow Shareholders,

We started 2019 with renewed vigor and determination. We wanted to roll out products and services, complete the compliance plan for the broker ownership rule, and contribute to the Environmental, Social, Governance (ESG) and sustainability agenda in the capital market.

New Product and Service

In line with PSE's financial inclusion advocacy, we launched in June 2019 a web-based platform known as the PSE Electronic Allocation System (PSE EASy) that allows local small investors (LSI) to subscribe to initial public offering (IPO) shares online. PSE EASy was designed to eliminate the cumbersome manual process of subscribing to the LSI tranche of an IPO. In the past, most if not all LSI subscribers to IPOs were coming from Metro Manila since the LSI receiving centers were just situated in select cities of Metro Manila. With PSE EASy, LSI IPO shares were distributed to 62 provinces and 17 countries and resulted in an exponential increase in the take-up of the LSI tranche and added to the liquidity of the market. In previous IPOs, the LSI take up of IPO shares never reached 2.0 percent. Two (2) of the four (4) IPOs in 2019 that utilized PSE EASy had over 9.0 percent LSI subscription.

Consistent with the government's thrust of supporting the development of small and medium-sized enterprises (SMEs), we started to lay the groundwork in revising our listing rules for the Small, Medium and Emerging Board to make the capital markets more accessible to them. We joined a forum hosted by the

Shenzhen Stock Exchange which helped us prepare the necessary initiatives that will encourage and prime SMEs to go public.

We kicked off 2020 with the approval by the DOF, BIR and SEC of the Revised Implementing Rules and Regulations for Real Estate Investment Trusts (REITs). We are confident that REITs will prove to be a popular and successful product for both investors and property firms alike.

Broker Ownership Rule

PSE launched during the second half of the year a follow-up program to further reduce the ownership and voting rights of brokers in PSE to not more than 20 percent as mandated under the Securities Regulation Code. The program consisted of a targeted share buyback program and a campaign was waged to persuade brokers to sell their PSE shares to PSE. The program succeeded in bringing down the broker voting rights in PSE from 26.4 percent to below 20 percent as of end-May 2020.

Financial Performance

The Company's Operating Revenues went down by 19.1 percent in 2019 to ₱1.29 billion. The decline was mostly due to a 30.2 percent drop in listing-related income to ₱584.78 million from ₱838.30 million in 2018. Capital raised during the period reached only ₱100.85 billion, the lowest since 2009. In 2019, the Bangko Sentral ng Pilipinas instituted a series of interest rate cuts and bank reserve requirement reductions thereby increasing liquidity in the financial system.

Companies found it much cheaper and easier to raise capital in the debt market vis-a-vis the equity market. (Capital raising at the Philippine Dealing Exchange Corporation, the Fixed Income Exchange, increased from ₱256.39 billion in 2018 to ₱375.61 billion in 2019.) Meantime, trading-related income was also lower by 17.7 percent to ₱327.16 million from ₱397.38 million the previous year.

Cost management measures resulted in a 4.9 percent dip in cost and expenses for the year to ₱725.00 million from ₱762.03 million in 2018.

The Company had a net income of ₱679.29 million, lower by 6.6 percent from 2018's income of ₱727.11 million.

Cash Dividend

PSE has been providing its shareholders with regular cash dividends over the years. Unfortunately, for 2019, PSE had to forego its annual dividend declaration because of its adoption of Philippine Financial Reporting Standards (PFRS) 15 for the 2019 reporting period. Whatever balance remained in Retained Earnings, after the implementation of PFRS 15, was used for additional buyback of PSE shares from stockbrokers and related parties as part of the Exchange's compliance plan to reduce broker ownership to below 20 percent as required by law.

We understand that you look forward to the dividends paid annually. We believe though that complying with the broker ownership rule is a long overdue governance concern that we

must address once and for all. Being finally compliant with the law will definitely redound to more benefits to the Exchange moving forward.

Challenging 2020

As we were preparing this annual report, the world was hit by a pandemic that disrupted businesses globally due to government-mandated lockdowns. The Philippines has implemented the longest and strictest lockdown compared to other countries. While things are obviously bleak, with second quarter gross domestic product (GDP) shrinking 16.5 percent from the same period in 2019, the year is not short of bright spots. We will expound on this more in our 2020 Annual Report.

I am grateful to our PSE Board for their guidance on our 2019 initiatives and to my colleagues in the Management Committee and our employees for their hard work and dedication to make 2019 a successful year. The entire PSE team will continue to strive towards the advancement of the Philippine capital market.

Ramon S. Monzon
President and
Chief Executive Officer



LEADERSHIP AT THE PSE

BOARD OF DIRECTORS



JOSE T. PARDO

Chairman

Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines, a subsidiary of the PSE. He is an Independent Director and the Chairman of the Board of the Philippine Savings Bank*, Bank of Commerce, and Philippine Seven Corporation*, and Independent Director of JG Summit Holdings, Inc.* He is likewise a Director of the National Grid Corporation of the Philippines and Synergy Grid and Development Philippines, Inc. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of the Council of Business Leaders of the Employers Confederation of the Philippines, Philippine Chamber of Commerce, Inc., and Philippine Business Center, Inc. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's Degree in Business Administration at the De La Salle University in Manila. In February 2018, he was conferred an Honorary Doctorate in Finance by the De La Salle University.



RAMON S. MONZON

President and CEO

Mr. Monzon is the President & Chief Executive Officer of (PSE) since May 2017 and Chairman of Capital Markets Development Committee. He is the Concurrent President & Chief Executive Officer and Director of the Securities Clearing Corporation of the Philippines (SCCP). He is the Chairman of The Philippine Stock Exchange Foundation, Inc. and a Trustee of the Securities Investors Protection Fund, Inc. (SIPF). He was an independent Director of the PSE from 2015 to 2017. Mr. Monzon is a Director and Member of the Executive, Risk Management, Audit, Nomination and Remuneration and IT Steering Committees of Philippine Dealing System Holdings Corp. (PDSH); Philippine Dealing & Exchange Corp. (PDEX); Philippine Depository & Trust Corp. (PDTC); and Philippine Securities Settlement Corp. (PSSC). He is currently a Director of PCD Nominee Corporation. Mr. Monzon was the Vice Chairman of PDSH from September 2017 to April 2018 and Acting Chairman of PDEX, PDTC and PSSC from August 2018 to April 2019. Mr. Monzon is the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. Mr. Monzon was the Vice Chairman and COO of Citadel Holdings, Inc. (1995 to 2012), and served as President and CEO of Citadel's subsidiaries. He was the President and CEO of Pacific Rim Export & Holdings Corp. (1988 to 1995) and was the EVP and COO of Radio Philippines Network, Intercontinental Broadcasting Corp, Banahaw Broadcasting Corp and SiningMakulay, Inc. (1984 to 1986). He was also a Partner at SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds an MBA degree from the Chicago Booth School of Business, an AB Political Science degree from the Ateneo de Manila University, and a BS Accountancy degree from the Manuel L. Quezon University. He is a Certified Public Accountant, a Fellow of the Institute of Corporate Directors and is a member of the Management Association of the Philippines.



EMMANUEL O. BAUTISTA

Director

Mr. Bautista has been a Director of the PSE since May 2011, and a member of the Exchange's Risk Management Committee, Investments Committee, and Capital Markets Development Committee. He also serves as Director of the Securities Clearing Corporation of the Philippines. He is an Independent Director of AIG Philippines Insurance, Inc. and is also a director of the Manila Polo Club, where he chairs the Finance Committee. He is currently the Chairman and Chief Executive Officer of Regis Partners, Inc. (formerly Deutsche Regis Partners, Inc.), which he has headed since 1995. From 1986 to 1994, he was connected with Pepsi Co., Inc. both in New York and in Manila. He was Director of Strategic Planning and member of the Executive Committee of PepsiCo Philippines. Mr. Bautista trained as a financial analyst at Philippine American Investment Corporation and Bank of America in Los Angeles. He graduated from the Ateneo de Manila University with a Bachelor of Science degree in Management Engineering. He holds a Master's degree in Business Administration from Georgetown University, USA.



ANABELLE L. CHUA

Director

Ms. Chua first became a Director of the PSE in 2004 until May 2010 and has been a Director since May 2011. She is a member of the Exchange's Audit Committee. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and the Chief Risk Management Officer since August 2018, and was previously the Chief Financial Officer of Smart Communications, Inc., and Treasurer of PLDT, Inc. She is currently a director of Manila Electric Company* and Chairman of its Finance Committee and a member of its Audit Committee, Risk Committee and Nomination and Governance Committee. Her prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.



FRANCIS CHUA

Director

Ambassador Chua was a Director of the PSE in 2002 and has been re-elected as Director from 2010 up to the present. Under his watch as Chairman of the Demutualization Committee, PSE's demutualization was unanimously approved by all its members. He was appointed as Member of the APEC Business Advisory Council (ABAC). He is the Founding Chairman of BA Securities Inc. and the Chairman Emeritus of the Philippine Chamber of Commerce and Industry Inc. (PCCI) as well as Honorary President of the Federation of Filipino-Chinese Chambers of Commerce and Industry Inc. (FFCCII). He is also the Founding Chairman of the International Chamber of Commerce and the Philippine Silkroad International Chamber of Commerce. He is currently the Chairman of both the Foundation for Crime Prevention and the Philippine Business Center. He served as President of three of the most influential business organizations in the country - PCCI (2010 to 2011), Chamber of Commerce of the Philippine Islands Inc. (2005 to 2007) and FFCCII (2005 to 2007). Amb. Chua is also the Consul General (ad honorem) of the Honorary Consulate General of Peru in Manila since 2006. In 2007, he was appointed Special Envoy for Trade and Investments by the Office of the President. He is the Chairman of the Board of DongFeng Automotive Philippines, and the Green Army Foundation. He is the Vice Chairman of the Board of 2GO Group, Inc.*, Vice Chairman Executive Committee Chair of Bank of Commerce and Vice Chairman of Basic Energy Corporation*. He has served as Director of various companies and academic institutions and has been conferred several awards by different organizations.

* publicly-listed company

BOARD OF DIRECTORS



EDDIE T. GOBING

Director

Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is the Chairman of the Exchange's Risk Management Committee. He has also been a Director of the Securities Clearing Corporation of the Philippines since 2008. Mr. Gobing is a Trustee of the PSE Foundation. He is the Treasurer of the Manila Stock Exchange Foundation. He also serves as Director, Treasurer and Finance Committee Chairman of Wack Wack Golf & Country Club. Mr. Gobing is the President of Lucky Securities, Inc., and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp.; and President of Teishoku Dining Concepts, Inc., Healtea Drinks and Eats Inc, Hotto Motto Phils. Inc. and also Treasurer of JG Lechon Belly Concepts Inc. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.



AMOR C. ILISCUPIDEZ

Director

Ms. Iliscupidez has been a Director of PSE since April 2006. She is a member of the Audit, Corporate Governance, Risk Management and Investment Committees of the Company. She has been a Director of the Securities Clearing Corporation of the Philippines and a member of its Audit and Fails Management Committees since January 2011. She was a Director of Capital Markets Integrity Corporation from July to September 2013. She is also a Director of the Bank of Commerce since April 2008 and is a member of its Executive Committee, Trust Investment Committee and Nomination and Compensation Committee. She is a member of the Board of Trustees of San Miguel Corporation Retirement Plan and was member of other subsidiaries from February 2006 to June 2018. She was the General Manager of San Miguel Corporation Retirement Funds Office from February 2006 until June 2017. She was also the General Manager at Anchor Insurance Brokerage Corporation from 2003 to 2005 and was Assistant Vice President and Manager of the SMC Group Financial Services from 2001 to 2003. Ms. Iliscupidez was also Finance Manager of several subsidiaries and business units of San Miguel Corporation*. She graduated Cum Laude with a Bachelor of Science degree in Business Administration, major in Accountancy, from the University of the East. She is a Certified Public Accountant.



EDGARDO G. LACSON

Director

Mr. Lacson first served as PSE Director from 2011 to April 2018. He was re-elected to the PSE Board in 2019. He has been a member of the Exchange's Nominations and Elections Committee since 2018. Mr. Lacson is the Chairman of the Employers Confederation of the Philippines, an Honorary Chairman of the Philippine Chamber of Commerce and Industry, where he spearheaded the committee on capital market, and a member of the Philippine Nippon Kyokai Technical. Mr. Lacson is an Independent Director of Puregold Price Club, Inc.* and Global Ferronickel Holdings, Inc.* He is the President of MIS Maritime Corporation, Safe Seas Shipping Agency and Marine Industrial Supply Corporation. He is also the Chairman of Metrostore Corporation. Mr. Lacson is a Trustee of the Philippine Interisland Shipping Association, Philippine Petroleum Sea Transport Association, and the Management Association of the Philippines. He was a former Trustee of the Home Development Mutual Fund and the De La Salle University. He finished his Bachelor of Science in Commerce degree major in Accounting from De La Salle College.



ROBERTO CECILIO O. LIM

Independent Director

Atty. Lim became an Independent Director of PSE in May 2019. He is the Chairman of the Exchange's Audit Committee and a member of the Risk Management Committee. He is Chairman of Inteliconsult Corporation and also serves as Vice Chairman and Executive Director of Air Carriers Association of the Philippines. He served as Undersecretary of the Department of Transportation for Aviation and Airport from 2016 to 2017. He initially practiced law in ACCRA Law and practiced law in London and Sydney. He was Vice President, General Counsel and Corporate Compliance Officer of Philippine Airlines Inc. until 2008. Subsequently, Atty. Lim was the Country Head of the International Air Transport Association (IATA) Philippines. He also taught Transportation Law, Administrative Law and Corporate Governance at the joint MBA/Law degree of the De La Salle University and Far Eastern University. He currently lectures in the Lyceum of the Philippines University College of Law. Atty. Lim was educated in Xavier School and graduated from the De La Salle University with a Bachelor of Arts degree in History and Bachelor of Science degree in Commerce. He obtained his law degree from the University of the Philippines College of Law and his Master of Laws (LL.M) from Kings' College, University of London. He is a graduate and member of the Australian Institute of Corporate Directors (AICD) and the Institute of Corporate Directors in the Philippines.



ROLANDO L. MACASAET

Director

Mr. Macasaet became a PSE Director in July 2019. He is currently the Chairman and acting President and General Manager of the state-pension fund Government Service Insurance System (GSIS). Mr. Macasaet has extensive experience in the fields of banking, financial services and corporate governance - both in the Philippines and abroad. Prior to his stint in GSIS, he served as Director of the Asian Infrastructure and Investment Bank (AIIB) in Beijing, China. He was also Vice President and General Manager of the Philippine National Bank* (PNB) in Los Angeles, California and eventually appointed as the Regional Vice President of PNB for the entire ASEAN region. In the field of corporate governance, Mr. Macasaet served as Chairman and/or Board Director, President and CEO of various corporations in the Philippines - both in the public and private sectors. He served as Board Director in San Miguel Food and Beverage Corporation, Bank of Commerce, Philippine Commercial International Bank (PCI Bank) and the Private Infrastructure and Development Corporation (PIDC). He also headed a number of Government-Owned and Controlled Corporations (GOCCs) in the country, such as the Philippine National Construction Corporation* (PNCC), Skyway Corporation and the Philippine Postal Savings Bank (now Overseas Filipino Bank) as its President and Vice Chairman. Mr. Macasaet holds a degree in Business Economics (Cum Laude) and a Masters degree in Business Administration (Honors program) from the University of the Philippines (UP). He likewise completed the Executive Program on Finance of Columbia University in New York and the diploma program on Management Development of the Harvard Business School in Boston. He completed his elementary and high school education at the Ateneo de Zamboanga, graduating with top honors as Class Valedictorian.



VICENTE L. PANLILIO

Independent Director

Mr. Panlilio has been an Independent Director of PSE since 2017. He is the Chairman of the Nominations and Elections Committee and a member of the Corporate Governance Committee. He also served as PSE Independent Director partially in 2009. Mr. Panlilio was formerly Director of Far East Bank and Trust Company, Philippine National Bank*, Equitable-PCI Bank and Bank of Commerce. He also served as a Director of Manila Electric Company* and is an incumbent Director of San Fernando Electric Light and Power Company. Mr. Panlilio graduated from the University of the Philippines and also attended the Asian Institute of Management for the Advanced Bank Management Program.

* publicly-listed company

BOARD OF DIRECTORS



WILSON L. SY

Director

Mr. Sy is a stock market veteran with over four decades of professional experience. He is the Chairman of Wealth Securities Inc. Mr. Sy served as the Chairman of the Manila Stock Exchange from 1994 to 1999 and the Philippine Stock Exchange from 1996 to 1998. He is currently the Chairman of the Manila Stock Exchange Foundation. Mr. Sy is also the fund manager of Philequity Fund, one of the most successful and longest running mutual funds in the country. At present, Mr. Sy is a director for various companies such as Philequity Management, Vantage Equities*, Vantage Financial Corp. and East West Bank*. He is also member of Ateneo De Manila University Board of Trustees. Mr. Sy is a columnist for the business section of The Philippine Star and is the author of the book "Opportunity of a Lifetime."



EUSEBIO H. TANCO

Director

Mr. Tanco has been a Director of the PSE since 2007 and is also a member of the Company's Audit and Corporate Governance Committees. He is the Chairman of STI Education Systems Holdings, Inc.*, Delos Santos-STI College, Inc., Mactan Electric Company, Philippines First Insurance Co., GROW Vite, Eximious Holdings, Inc (formerly Capital Managers and Advisors, Inc.), Venture Securities, Inc., Prime Power Holdings, Inc., and iACADEMY. He is Chairman and President of Prudent Resources, Inc., the Vice Chairman and President of port operator Asian Terminals Inc.*, Director of Leisure & Resorts World Corporation* and Philippine Racing Club* as well as President of Bloom with Looms Logistics, Inc., Total Consolidated Asset Management Inc., Tantivy Holdings, Inc. (formerly Insurance Builders, Inc.), Biolim Holdings and Management Corp., EujoPhils., Inc., First Optima Realty Corporation and a member the board of, PhilhealthCare, Inc., Maestro Holdings, Inc., Philippine Life Financial Assurance Corporation, Philplans First, Inc., United Coconut Chemicals, Inc., STI-West Negros University, and Philhealth Educators, Inc. He is also the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. His extensive corporate experience covers financial services, manufacturing, transportation and logistics, energy, property development, ICT-enabled education and services. His professional associations include the Philippines-UAE Business Council, Thailand-Philippines Business Council, Inc., and Philippine Chamber of Commerce and Industry. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.

ALEJANDRO T. YU

Director

Mr. Yu served as Director of the Exchange in 1997 and 1998 and resumed his term in 2004. He is a member of the Audit, Risk Management, and Investments Committees of the PSE. He is also a Director of the Securities Clearing Corporation of the Philippines. Mr. Yu is the President and CEO of R.S. Lim & Company, Inc., one of the oldest brokerage houses in the Philippines, dating back to the original Makati Stock Exchange Inc. and a four-time awardee of the PSE Bell Awards for excellence in corporate governance. He is a Trustee of the Securities Investors Protection Fund and the PSE Foundation. He has been Chairman of the Annual PSE Golf Invitational Cup. Mr. Yu was the Treasurer of the PSE and SCCP from 2005 to 2008. He actively participated in various working committees of the Exchange including Trading and Arbitration, Computer, and Membership. A product of Xavier High School and De La Salle University, Mr. Yu graduated with a degree in Industrial Management Engineering, minor in Mechanical Engineering.



MA. VIVIAN YUCHENGCO

Director

Ms. Yuchengco has been a Director of the PSE within these periods: 1993-1994, 1996, 1998, 2000-2001 and 2004 up to the present. She is a member of the Corporate Governance Committee of the PSE. She served as PSE Chairman from 2002 to 2003. In 1989, Ms. Yuchengco became the first woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee that worked towards the demutualization of the PSE. She is currently the Chairperson of The Philippine Association of Securities Brokers and Dealers, Inc. Ms. Yuchengco studied Economics in Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation, which she manages and has been in operation for 40 years now.



OMELITA J. TIANGCO

Treasurer

Ms. Tiangco has been the Treasurer of the Exchange since May 2011. She was a Director of the Company from August 2006 to May 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She served as Executive Vice-President & Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President-Fund Management Group, Senior Vice-President-Internal Audit Group and Vice-President & Controller. She likewise served as President of the GSIS Mutual Fund Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.



AISSA V. ENCARNACION

Corporate Secretary

Atty. Encarnacion has been the Corporate Secretary of the Exchange and SCCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of Zamora and Poblador Law Offices. She is a professorial lecturer at the University of the Philippines College of Law and Cesar Virata School of Business. Before she assumed her present PSE post, she was the Assistant Corporate Secretary of the Exchange from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She is a member of the Board of Directors of various private companies, a Trustee of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

* publicly-listed company

BOARD COMMITTEES

COMPOSITION OF THE BOARD OF DIRECTORS

The Board of Directors is composed of 15 members who shall be elected by the stockholders of the Exchange. (PSE Articles of Incorporation)

RULES OF THE NOMINATION AND ELECTION COMMITTEES ON THE GENERAL QUALIFICATIONS OF NON-BROKER AND BROKER DIRECTORS:

- He shall hold at least a college degree or have sufficient experience in managing a business to substitute for such formal education;
- He shall possess competency and understanding of financial markets;
- He shall be at least 21 years old;
- He shall possess integrity and probity;
- He shall be assiduous; and
- He must be a resident of the Philippines.
- An independent director shall have at least one share of stock of the corporation in his name.

Broker-directors shall not be more than 49 percent of the Board and shall proportionately represent the Exchange membership in terms of volume/value of trade and paid up capital. (Sec. 33.2(f), SRC)

COMPENSATION OF THE BOARD

The Chairman receives a per diem of ₱310,000.00 a month, while all the other directors receive a per diem of ₱50,000.00 for each board meeting attended. The Corporate Secretary receives a per diem of ₱12,500.00 for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full time employee, receives a fixed monthly salary.

In 2019, the directors as a group received a total aggregate per diem of ₱15,855,000.00.

In 2018, the directors as a group received a total aggregate per diem of ₱17,100,000.00.

BOARD COMMITTEES

Audit Committee

1. Roberto Cecilio O. Lim – Chairman, Independent Director
2. Anabelle L. Chua - Member
3. Amor C. Iliscupidez - Member
4. Eusebio H. Tanco - Member
5. Alejandro T. Yu - Member

Corporate Governance Committee

1. Jose T. Pardo – Chairman, Independent Director
2. Amor C. Iliscupidez - Member
3. Vicente L. Panlilio - Member
4. Wilson L. Sy - Member
5. Eusebio H. Tanco - Member
6. Ma. Vivian Yuchengco - Member

Nominations and Elections Committee

1. Vicente L. Panlilio – Chairman, Independent Director
2. William L. Ang - Member
3. Shirley Y. Bangayan - Member
4. Edgardo G. Lacson - Member
5. Remy T. Tigulo - Member
6. Aissa V. Encarnacion - Non-voting Member
7. Veronica Vicedo-Del Rosario - Non-voting Member

Investments Committee

1. Omelita J. Tiangco – Chairman
2. Emmanuel O. Bautista - Member
3. Amor C. Iliscupidez - Member
4. Wilson L. Sy - Member
5. Alejandro T. Yu - Member

Capital Markets Development Committee

1. Ramon S. Monzon – Chairman
2. Jesus Clint O. Aranas – Member (until July 2, 2019)
3. Emmanuel O. Bautista - Member
4. Anabelle L. Chua - Member
5. Jose T. Pardo - Member
6. Wilson L. Sy - Member
7. Eusebio H. Tanco - Member
8. Ma. Vivian Yuchengco - Member

Risk Management Committee

1. Eddie T. Gobing – Chairman
2. Emmanuel O. Bautista - Member
3. Amor C. Iliscupidez - Member
4. Roberto Cecilio O. Lim - Member
5. Alejandro T. Yu - Member

PSE BOARD OF DIRECTORS ATTENDANCE 2019

Name of Director	BOARD MEETING ATTENDANCE		
	January 9 to April 29, 2019	May 4 to December 11, 2019	Total Number of Board Meetings Attended
Jose T. Pardo – Chairman	6	13	19/19
Ramon S. Monzon – President and CEO	6	12	18/19
Jesus Clint O. Aranas (January to July 2019)	2	2	4/10
Emmanuel O. Bautista	6	12	18/19
Anabelle L. Chua	6	11	17/19
Francis Chua	5	11	16/19
Dakila B. Fonacier (January to April 2019)	0	-	0/6
Eddie T. Gobing	6	13	19/19
Amor C. Iliscupidez	6	13	19/19
Edgardo G. Lacson (May to December 2019)	-	12	12/13
Roberto Cecilio O. Lim (May to December 2019)	-	13	13/13
Rolando L. Macasaet (July to December 2019)	-	9	9/9
Vicente L. Panlilio	5	10	15/19
Hans B. Sicat (January to April 2019)	5	-	5/6
Wilson L. Sy	6	11	17/19
Eusebio H. Tanco	5	12	17/19
Alejandro T. Yu	6	13	19/19
Ma. Vivian Yuchengco	6	13	19/19

BOARD ASSESSMENT

Following the approval of PSE's Board Assessment Guidelines in 2017, the company's Board of Directors had their individual and group assessment in February. The Board Assessment evaluates the mix of skills, experiences and other relevant qualities the Directors bring to the Board. It takes into account the individual director's ability to exercise independent judgment at all times and to contribute to the effective functioning of the Board. The Individual Assessment process also examines the ability of each Board or Committee member to give material input in meetings and to demonstrate a high level of professionalism and integrity in decision-making.

The Board's effectiveness is assessed in the areas of composition, administration, accountability and responsibility, conduct, and performance.

CORPORATE GOVERNANCE TRAINING FOR DIRECTORS

The annual corporate governance training of the Board of Directors was held in December at the PSE Tower. The training focused on the salient provisions of the Revised Corporation Code and on Sustainability Reporting.



PSE holds the 2019 Annual Stockholders' Meeting.

CORPORATE GOVERNANCE POLICIES

HONEST AND ETHICAL CONDUCT

The PSE expects all employees to act with the highest standards of honesty and ethical conduct while working on Exchange premises, at offsite locations where Exchange business is being conducted, at Exchange-sponsored business and social events, or at any other place where the employees are representing the Exchange.

COMPLIANCE WITH LAWS, RULES AND REGULATIONS

As a publicly-listed company, the Exchange is subject to numerous laws and regulations, including its own Listing and Disclosure Rules. Obeying the law, both in letter and in spirit, is the foundation on which the Exchange's ethical standards are built. All employees and officers must respect, obey and comply with the laws, rules and regulations applicable to the PSE's business.

BRIBES AND KICKBACKS

Exchange employees are prohibited from offering, giving, soliciting or accepting bribes or kickbacks. A bribe is defined as a thing of value given to someone with the intent of obtaining favorable treatment from the recipient. Kickbacks consist of payment in cash or in kind, including goods, services, the use of another company's property, or for giving any sort of obligation provided to a customer or supplier for the purpose of improperly obtaining or rewarding favorable treatment in connection with a transaction. Bribes and kickbacks may not be offered either directly or through a third party in order to obligate the recipient to return the favor.

FAIR AND FREE MARKETS

The Exchange is committed to promoting free and competitive markets. The Exchange will not tolerate any attempt by any of its employees or representatives to manipulate or tamper with the markets or the prices of securities or other financial instruments. The Exchange's goal is to ensure candor and honesty in all its dealings, including those with business partners, regulators, other stakeholders and the public.

CONFLICT OF INTEREST

A "conflict of interest" exists when an employee or officer's personal interest interferes or even appears to interfere in any way with the interests of the Exchange. It arises when the interests of an employee or officer affect their ability to act in the Exchange's best interests objectively and effectively.

The PSE has an obligation to the marketplace and to its shareholders to make sound business decisions that are not influenced by the personal interests of its employees.

This means that PSE employees are expected to act in the interest of the Exchange, without favor or preference based on possible direct or indirect personal gain.

Employees must avoid and, if needed, remove themselves from relationships and activities that may lead to a conflict of interest or the appearance of a conflict of interest. It must be noted that a conflict of interest may: (1) have already materialized (an actual conflict), (2) happen in the future (a potential conflict), or (3) appear to others as a situation in which a conflict exists (a perceived conflict). The provisions in the Code of Ethics and Business Conduct describe five (5) key areas in which conflicts can arise: (1) Personal Trading and Insider Information, (2) Gift, Meal and Entertainment, (3) Corporate Opportunities, (4) Outside Employment and Directorships, and (5) Related-Party Business Dealings.

The Exchange developed guidelines and forms for the Conflict of Interest section of the Code of Ethics and Business Conduct to:

- Facilitate the monitoring of the employees' compliance with the provisions on the Conflict of Interest section of the Code of Ethics and Business Conduct;
- Set out the procedures, sanctions for non-compliance and employee responsibilities, among others; and
- Properly document and resolve the disclosed conflict of interest.

PERSONAL TRADING AND INSIDER INFORMATION

Employees of the PSE are prohibited from buying or selling securities listed on the Exchange, whether for their own account or for the account of another. An exception is trading PSE shares under an approved Employee Stock Purchase Plan and subject to the proper disclosure to the Securities & Exchange Commission. Subscribing to initial public offerings (IPO) from listed companies or underwriters is likewise prohibited. These prohibitions, besides being imposed by Exchange rules, are to avoid actual, potential or perceived conflicts of interest arising from the possession by PSE employees of insider information resulting from their work in the Exchange. Employees may at some time have access to information related to the Exchange or to other publicly-listed companies that is not known to the general public.

All non-public information about the Exchange or other publicly-listed companies should be considered confidential information and should not be disclosed to third parties (including family members) or used for any direct or indirect personal benefit unless or until such information is disclosed to the public.

Employees and officers who have access to confidential information about PSE or any other entity are not permitted to use or share that information for trading purposes in the Exchange's or the other entity's securities or for any other purpose except the conduct of the Exchange's business. To use non-public information for personal financial benefit or to "tip" others who might make an investment decision on the basis of this information is not only unethical but also illegal and may be sanctioned under the relevant laws, rules and regulation such as the Securities Regulation Code.

GIFT, MEAL AND ENTERTAINMENT POLICY

The purpose of gifts and business entertainment in a commercial setting is to create goodwill and sound working relationships, not to give or gain unfair advantage to or from third parties. These third parties may include existing or potential vendors, suppliers, service providers and business partners, regulators, as well as PSE's regulated entities such as listed companies, trading participants and listing applicants. Employees or any of their family members up to the second degree of consanguinity and first degree of affinity have an obligation not to solicit, accept, offer or provide any entertainment, meals or gifts that are not appropriate or could be perceived as an improper attempt to influence business. They may only accept gifts which can be considered token gifts or corporate giveaways and other related circumstances.

CORPORATE OPPORTUNITIES

Employees and officers are prohibited from taking for themselves opportunities that arise or are discovered in the course of their employment at the Exchange or through the use of corporate property, information or position without the consent of the President and CEO. No employee or officer may use corporate property, information, or position for personal gain, and no employee or officer may compete with the Exchange directly or indirectly. Employees and officers owe a duty to the Exchange to advance its legitimate interests when the opportunity to do so arises.

A non-cash gift given in consideration of an employee's lecture, speaking engagement, participation in a forum and the like, sponsored or arranged by an outside organization shall be governed by the Exchange's gift policy. This policy on honoraria and fees does not apply to an employee's private or personal speaking engagements not endorsed by the PSE provided that such activities do not conflict with the interests of the Exchange.

OUTSIDE EMPLOYMENT AND DIRECTORSHIPS

An employee may not accept outside employment or directly or indirectly conduct outside business that interferes with the proper performance of his or her job at the PSE, is conducted during his or her normal working hours, utilizes confidential information and other assets of the Exchange (including proprietary assets) or specialized skills and knowledge gained as an employee of the Exchange, competes with the PSE or otherwise conflicts with the interests of the Exchange. This includes becoming a contractor, consultant or supplier to the Exchange while being employed at the Exchange. Outside consultancies are prohibited outright.

All officers and employees of the Exchange must disclose any and all outside employment or business activity to the Compliance Officer, for which approval should be obtained. Outside employment or business activity may be disapproved anytime if it is determined that it would conflict with the interests of the Exchange.

RELATED-PARTY BUSINESS DEALINGS

An employee must disclose to the Compliance Officer any business relationship or proposed business transaction that the Exchange may have with any company in which he or she or a related party (spouse, children, siblings, parents) has a direct or indirect interest (employment, directorship, controlling ownership) or from which he or a related party may derive a benefit, if such a relationship or transaction might give rise to a conflict of interest or the appearance of a conflict of interest (for example, if the employee or a family member owns or controls property of significant value that the Exchange is either purchasing or leasing).

Further guidance may be sought by the employee from the Compliance Department.

MATERIAL RELATED PARTY TRANSACTIONS POLICY

The Material Related Party Transactions Policy aims to ensure that all related party transactions are conducted at arm's length, in accordance with the principles of transparency and fairness, especially those transactions that breach PSE's materiality threshold. The Exchange's Related Parties have the responsibility to fully and timely disclose any and all material facts related to related party transactions as well as their direct and indirect financial interest in any transaction or matter that may affect or is affecting the Exchange. Directors and officers with personal interest in any related party transactions who shall abstain from the discussion, approval and management of such transaction or matter. In case they refuse to abstain, their attendance shall not be counted for purposes of assessing the quorum and their votes shall not be counted for purposes of determining majority approval. Abusive related party transactions and non-compliance to this policy shall be dealt with, in accordance with the Revised Corporation Code, PSE's policies and all other relevant policies of the Exchange.

ANTI-FRAUD POLICY

Employees have a responsibility to identify and ensure that situations involving fraud do not occur. Fraud is the intentional misrepresentation or concealment of a material fact for the purpose of procuring an unjust or unlawful benefit. Fraud encompasses all forms of theft, including intellectual property, identity theft and manipulation or misuse of Exchange information or assets. Employees are encouraged to report suspected fraud through the proper channels. Retaliation for reporting, in good faith, a violation is prohibited and will result in disciplinary action.

WHISTLEBLOWING GUIDELINES

The Whistleblowing Guidelines broadly defines the scope of ethical concerns it seeks to address. These ethical concerns involve the following, among others:

- Violation of the Code of Ethics and Business Conduct of the Group;
- Non-compliance with the provisions of the Manual on Corporate Governance;
- Defiance of the provisions of the Employee Handbook;
- Malpractice or fraud in financial reporting, internal control or other financial matters of the PSE;
- Breach of legal or regulatory requirements; and/or
- Deliberate concealment of any of the above, among others.

The Guidelines further define the responsibility of employees, whistleblowers, and management on the proper handling of Protected Disclosures to maintain the confidentiality of the identity of the whistleblowers, witnesses, respondents and the subject matter of the disclosure. Reports on these ethical concerns, also referred to as Protected Disclosures, and the identity of the whistleblowers are kept in strictest confidence whenever they are received by the Exchange through the following reporting channels:

Mail
Compliance Department
9th Floor, PSE Tower
5th Avenue corner 28th Street
Bonifacio Global City, Taguig City

Email
report@pse.com.ph

Face to Face Meetings
As determined by the whistleblower

Telephone
(632) 8876-4888 (Trunk Line)

The Guidelines provide for disciplinary sanctions against employees who violate the ethical standards of the Exchange and the procedures to address retaliatory incidents. No disciplinary, criminal, administrative or civil action shall be taken against a whistleblower or witness involving a Protected Disclosure unless otherwise provided under the Guidelines or relevant laws, rules or regulations.

DATA PRIVACY

In compliance with Republic Act No. 10173, otherwise known as the Data Privacy Act of 2012 ("DPA"), the PSE developed the following policies and procedures:

- Privacy Policy, which illustrates the personal information and sensitive personal information ("Personal Data") that the PSE collects through its websites and social media accounts, and how the PSE collects, processes and safeguards that Personal Data;
- PSE Privacy Policy, which indicates the Personal Data that the PSE collects from its employees, and how the PSE collects, processes and safeguards that Personal Data;
- Privacy Manual, which depicts the PSE's data protection and security measures, and data breach framework and protocols. The manual may also serve as a guide in the exercise of rights of data subjects under the DPA;
- Consent forms, which execute the principles of transparency and legitimate purpose in the forms and documents utilized by the PSE in its daily operations; and
- Privacy notices that are put up inside PSE's premises and on its websites, which inform guests, online visitors, and other stakeholders of the Personal Data that the PSE collects, and how the PSE collects, processes and safeguards that Personal Data.

EXECUTIVE OFFICERS

1 RAMON S. MONZON
President & Chief Executive Officer

2 ROEL A. REFRAN
Senior Vice President and Chief Operating Officer

3 RACHELLE C. BLANCH
Vice President and Head of Market Operations Division

4 PHILIP A. DRIZ
Vice President and Head of Technology Division

5 MARK FREDERICK V. VISDA
Assistant Vice President and OIC Division Head, Corporate Planning and Research Department, Business Development Department, and Market Data Business Department

6 ROBERTO JOSE R. JIMENEZ
Assistant Vice President and Head, Controllershship & Treasury Division

7 VERONICA V. DEL ROSARIO
Vice President and General Counsel



EXECUTIVE OFFICERS PROFILE

1 RAMON S. MONZON

President & Chief Executive Officer

Refer to profile in Page 08.

2 ROEL A. REFRAN

Senior Vice President and Chief Operating Officer

Atty. Refran, 47, is a CPA-lawyer and the Senior Vice President and Chief Operating Officer of the Exchange since 2012. He started as General Counsel of the Exchange in 2005 and was appointed to concurrently head the Issuer Regulation Division in 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan Law Offices from 1999 to 2001. Prior to joining the Exchange in 2004, he was an associate at Angara Abello Concepcion Regala & Cruz Law Offices. He was chief of staff of Senator Ralph G. Recto from 2001 to 2004. Atty. Refran serves as Chairman of the Philippine Chamber of Commerce and Industry's Capital Markets Development Committee. He is the Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), Magna Cum Laude, from the University of the Philippines and obtained his Juris Doctor (JD) degree, Second Honors, from Ateneo de Manila University School of Law. He placed 18th in the May 1995 CPA licensure exams. Atty. Refran is also a bar topnotcher having placed fourth highest in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) as a Fulbright Scholar. He is a member of Philippine Institute of Certified Public Accountants and Integrated Bar of the Philippines. Atty. Refran has been inducted lifetime member of the Beta Gamma Sigma (international honor society in business), and Pi Gamma Mu (international honor society in social sciences). He was recognized as the 2014 Distinguished Alumni Awardee by the University of the Philippines Virata School of Business.

3 RACHELLE C. BLANCH

Vice President and Head of Market Operations Division

Ms. Blanch, 44, is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the former Information Technology Division before the Market Operations Division was created in 2008. She has been with the Exchange for 22 years. Prior to joining PSE, Ms. Blanch was Project Implementor at the Computer Information System. She earned her ITIL 2011 Foundation Certificate in IT Service Management in 2015; ITIL Intermediate Certificate in IT Operational Support and Analysis in 2017; and IT Service Offerings and Agreements in 2018; and Prince2® Foundation Certificate in Project Management in 2017. In 2019, she attended the Project Management Institute Agile Certified Practitioner (PMI-ACP) Training. Ms. Blanch finished her Master's degree in Business Administration at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science Degree in Mathematics.

4 PHILIP A. DRIZ

Vice President and Head of Technology Division

Mr. Driz, 51, has been Vice President since June. He was Assistant Vice President when he joined PSE in October 2015 to head Technology Division. He has more than two decades of experience in project management, application development, infrastructure management, information security, IT risk management, IT helpdesk, datacenter operation and vendor management. Before joining PSE in October 2015, Mr. Driz was a Delivery Lead at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President - Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science Degree in Computer Science.

5 MARK FREDERICK V. VISDA

Assistant Vice President and OIC Division Head, Corporate Planning and Research Department, Business Development Department, and Market Data Business Department

Mr. Visda, 37, was appointed OIC Division Head in March 2018. He served as Head of the Corporate Planning and Research Department (CPRD) from 2011 to February 2018. Prior to this appointment, he was a Research Analyst of the Exchange from 2006 to 2010. In between his work at the PSE, he had a stint as Senior Research Analyst for Global Business Development at Baker & McKenzie Global Services. He was also a Management Trainee at Entertainment Gateway Group Corp. Mark obtained his Economics degree from the Ateneo De Manila University. He completed his coursework for MA in Economics from the same university.

6 ROBERTO JOSE R. JIMENEZ

Assistant Vice President and Head, Controllershship & Treasury Division

Mr. Jimenez, 55, joined the PSE in February 2019. He has been in the field of finance for close to two decades. He was the Director of Engineering Fleet Management Commercial and Finance of Cebu Air, Inc. from August 2010 to January 2019. From 2002 to 2010, he served as Finance and Administration Head of various Citadel Holdings subsidiaries including Textron Corporation, Citadel Shipping Services, Inc., and Rapid, Inc., where he concurrently served as the Group Comptroller for Citadel Holdings port area group of companies. Prior to handling the Finance Departments of the subsidiaries, he was a Business Development Manager for Citadel Holdings, Inc. He obtained his Master's in Business Management degree from the Asian Institute of Management. He graduated with a Bachelor of Science in Industrial Engineering degree from the University of the Philippines.

7 VERONICA V. DEL ROSARIO

Vice President and General Counsel

Atty. Del Rosario, 38, was promoted to Vice President from Assistant Vice President in June. She has been PSE's General Counsel since May 2016. Atty. Del Rosario joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the PSE, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at the Aurora Special Economic Zone Authority. She served as Associate at Jones & Associates, New York and at Ocampo & Manalo Law firm in Makati City. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

DEPARTMENT HEADS



- 01 **MARTHA H. VINZONS**
Head, Public & Investor Relations Department
- 02 **LOVELY NICA P. LEE**
OIC, Corporate Planning and Research Department
- 03 **JENICE D. CHUA**
Head, Human Resources Department
- 04 **ADONIS H. GILDORE**
Head, Systems and Database Department
- 05 **NORBERTO T. MORENO, JR.**
OIC, Listings Department



- 01 **SHERYL V. PERILLO**
Head, Trading Development Department
- 02 **ROEL M. VILLANUEVA**
Head, Market Control Department
- 03 **REGINA GEORGIA R. CRISOSTOMO**
OIC, Market Data Business Department
- 04 **ELIZA S. RODRIGUEZ**
Head, Accounting Department



- 01 **JO ANN G. BAUTISTA**
Head, Administrative Services Department
- 02 **MARVIN M. REFUERZO**
Head, Trading Operations Department
- 03 **JASMIN J. MANALO**
Head, Internal Audit Group (Resigned effective April 30, 2020)
- 04 **SHERYL J. LOPEZ**
Head, Broker Systems Support & Certification Department
- 05 **JANET A. ENCARNACION**
Head, Disclosure Department

NOT IN PHOTO: **JOSIELYN S. ARELLANO** Head, Materials Management & Procurement Services Department **ZALDY RONIE P. ROCERO** Head, Network and Telecommunications Department **MICHELLE PAULINE P. VILVESTRE** Head, Market Education Department



ESG AT THE PSE

ESG AT THE PSE

The United Nations (UN) General Assembly adopted the UN Sustainable Development Goals (UN SDGs) in 2015. The UN targets to achieve the 17 identified SDGs by 2030. According to the UN, the SDGs are the blueprint to achieve a better and more sustainable future for all. They address the global challenges we face, including those related to poverty, inequality, climate change, environmental degradation, peace and justice.

As the only equities bourse in the country, The Philippine Stock Exchange, Inc. (PSE) serves as a central hub

for issuers, stockbrokers, investors and other capital market participants.

As a regulator and a listed company, the PSE has long been promoting good corporate governance. Guided by the relevant UN SDG principles, the PSE has undergone the material risks assessment for its business and operations and thereafter identified activities and programs to promote Environmental, Social, Governance (ESG) principles to its key stakeholders.

PSE'S CORE ESG ACTIVITIES

Given the nature of its business, it is inherent for PSE to have more programs and activities that fall under the Social and Governance frameworks. Be that as it may, the Exchange has also embarked on key initiatives to address Environmental issues.



ENVIRONMENT

- Implement efficient resource management practices
- Ensure responsible consumption and waste management
- Enhance disaster risk and resilience programs
- Organize internal and outreach environment programs



SOCIAL

- Provide guidance and assistance to current and potential issuers
- Introduce innovative products to expand capital raising and investment options
- Improve human capital development programs
- Organize employee engagement and wellness activities
- Expand and strengthen partnerships for the Goals



GOVERNANCE

- Adopt fair and efficient market regulations
- Ensure market transparency and advocate investor protection
- Advocate investor protection
- Equip and empower listed companies through capacity-building workshops
- Uphold good governance

More information regarding the PSE sustainability initiatives, including available metrics, management actions, and targets where relevant, can be obtained from the 2019 PSE Sustainability Report on the Exchange's website.

PSE'S 2019 ESG ACTIVITIES

In 2019, the PSE continued to take relevant steps in applying ESG principles to the company's day to day operations. PSE also organized and co-hosted events that will help publicly listed companies (PLCs) integrate ESG into their strategies and policies.

BROKER OWNERSHIP IN THE PSE

As part of its efforts to comply with the 20 percent industry ownership limit under Section 33.2(c) of the Securities Regulation Code (SRC), the Company embarked on a share buyback program for the common shares held by brokers and their related parties.

As of January 31, 2020, PSE has re-acquired a total of 3,413,948 common shares held by brokers and their related parties. Broker group ownership was reduced to 19.9 percent in May 2020 and became compliant with the 20 percent industry limit.

BUSINESS CONTINUITY MANAGEMENT

The PSE conducted two (2) business continuity tests to determine the effectivity of the company's Business Continuity and Disaster Recovery Plans and to assess whether there are areas that can be improved on in implementing the said plans. One of the tests was conducted to ascertain operability of PSE's Disaster Recovery (DR) site after its successful relocation.

All trading participants (TPs) were also required to establish connection to PSE's DR site. As of end-2019, 128 of the 130 TPs have successfully connected to the DR site.

SSE MEMBERSHIP

The PSE formally became a partner exchange of the Sustainable Stock Exchanges (SSE) Initiative in May. PSE is now among the 90 member organizations of SSE.

ESG BENCHMARK FOR THE BELL AWARDS



The PSE announced in December that its biennial Bell Awards will use the global and more comprehensive standards of ESG as the central framework and benchmark for its Bell Awards. Previously, excellence in corporate governance principles was the main criteria for handing out the awards.

The PSE also inked a Memorandum of Agreement (MOA) with the SEC to secure the endorsement of and collaborate with the SEC for the Bell Awards.

SSE, a United Nations (UN) Partnership Programme, was founded in 2009. The organization engages stock exchanges and their stakeholders to explore opportunities in enhancing performance on ESG issues and encourage sustainable investment.

In joining SSE, the PSE committed to promote long term sustainable investment and improved ESG disclosure and performance among its listed companies. The Exchange also committed to incorporating sustainable business practices in its day-to-day operations and promote the same among PLCs and TPs.

In September, SSE celebrated its 10th anniversary at the UN Headquarters in New York. PSE President and CEO Ramon S. Monzon attended the milestone event in the history of SSE.

Among the materials to be reviewed for assessment of PLCs will be their reports in compliance with SEC's Sustainability Reporting (SR) guidelines.

The PSE started working with MSCI, Inc. to develop the framework that will cover the key ESG issues that will be used for evaluating PLCs. As in the previous Bell Awards, all PLCs will be screened based on the ESG framework and principles relevant to the pertinent industry of the PLC.

PSE-SEC SUSTAINABILITY REPORT WRITING WORKSHOP

The PSE and SEC, in partnership with the Australia's Department of Foreign Affairs and Trade (DFAT) through the Global Reporting Initiative (GRI), conducted a workshop series on Sustainable Business and Reporting in June.

The workshop series, which gathered over 100 PLCs, was divided into four sessions targeting the following sectors: (1) consumer and retail; (2) financial services; (3) oil, mining and energy; and (4) infrastructure.

With the SEC requiring PLCs to submit their sustainability reports beginning 2020, the workshop's main speaker, GRI Public Policy and Corporate Relations Manager for Southeast Asia Dr. Allinnettes Go Adigue, gave a comprehensive lecture on the sustainability reporting process based on the SEC Sustainability Reporting Guidelines with emphasis on understanding materiality and the management approach in sustainability reporting. SEC Commissioner and Supervising Commissioner for Corporate Governance and Finance, Mr. Kelvin Lester Lee, was also present during each session of the workshop.

This PSE-SEC SR writing workshop was a response to the keen interest of PLCs to learn more about incorporating sustainability in their business strategy. This came as a result of the survey conducted during the 5th SEC-PSE Corporate Governance Forum held on October 23, 2018, where over 70 percent of survey respondents signified their intent to integrate the SDGs in their business strategies.

#PSEGOALS

Following the launch of its internal sustainability campaign in 2018 dubbed #PSEGoals (Good Governance, Going Green and Growing Generation), the Exchange continued to pursue activities in six (6) of the 17 UN Sustainability Goals that have been identified as most relevant to the company.



PSE employees turn over donation to Goodwill Industries of the Philippines.

PSE-SEC SUSTAINABILITY FORUM

On October 25, the PSE and SEC conducted the 6th Corporate Governance Forum at the PICC Complex in Pasay City. The theme of the forum was "Sustainable Businesses: Taking the Lead in Achieving Sustainable Development Goals."

PSE President and CEO Ramon S. Monzon delivered the welcome address during the forum.

The event featured three topics namely, Climate Action Tracker: Private-Public Joint Action for the Paris Agreement, Financial Impacts of Climate Change, and Updates on the Revised Corporation Code Relative to Corporate Governance.

The forum was attended by close to 170 PLCs.



PSE President and CEO Ramon S. Monzon delivers the welcome message at the 6th Corporate Governance Forum.

UN SDG 1: REACHING OUT TO LESS FORTUNATE COMMUNITIES



Employees of the PSE extended help to a Gawad Kalinga (GK) community in Quezon City through a house repainting project.

In July, employees participated in a donation drive. The pre-loved items were donated to Goodwill Industries of the Philippines, which in turn will benefit the elderly, persons with disabilities, children-at-risk and other social minorities in the city of Taguig. PSE employees donated a total of 290 kilos of clothes, bags, shoes, toys and other items.

The PSE, in partnership with SM Foundation, turned over a two-storey, four-classroom building to Tuba Central School in Benguet on August 9. The PSE donated ₱2.25 million in 2018 to construct the building under the Adopt-a-School program.



PSE and its partner, SM Foundation, turn over a new classroom building to Tuba Central School.



PSE volunteers participate in house repainting project for Gawad Kalinga.



PSE joins SM Foundation's Operation Tulong Express to help earthquake victims in Mindanao.

The PSE also extended help to earthquake victims in Mindanao through relief operations with SM Foundation's Operation Tulong Express in November.

A total of 1,910 families from the municipalities of Bansalan and Magsaysay in Davao del Sur received relief packages.

UN SDG 3: PROMOTING GOOD HEALTH AND WELL-BEING AMONG EMPLOYEES



The Company hosted several lunch and learn sessions for employees, which covered topics on health and common diseases, proper nutrition, drug awareness, workplace ergonomic intervention, among others.

Medical practitioners and other subject matter experts were invited to give the talks on the said topics. An average of 35 employees attended the information sessions organized by the Company.

The PSE also marked the National Nutrition Month with a session on nutrition and healthy lifestyle on July 30.

A representative from the National Nutrition Council gave a talk on adult nutrition while free consultations were provided by members of the Nutritionist-Dietitians' Association of the Philippines.

To foster wellness, all divisions of the Company scheduled a weekend of rest and recreation. The Exchange funded the weekend outings that were held from May to September.



PSE employees spend a weekend for rest and relaxation as part of the company's employee well-being program.



PSE holds the annual basketball tournament for employees and traders.

The Company also encouraged its employees to be involved in fitness activities. The PSE organized its annual sporting events, the PSE Bull Run and PSE Chairman's Cup Golf Tournament. PSE employees were among the participants of the running event while Exchange officers and trading participants joined the golf invitational tournament. The Company had 72 zumba sessions during the year. It also conducted a basketball tournament from September to October. A total of 33 employees of PSE and its subsidiaries and 24 employees of TPs joined the tournament.

The PSE also fortified its health and safety campaign through regular information dissemination on topics such as disaster preparedness, disease prevention, road safety and more. A Disaster Resiliency and Emergency Preparedness Seminar was held on July 25 and a Fire Safety Seminar was also held on April 23 to orient employees on the appropriate mindset and response to ensure safety should a disaster occur. An Earthquake Drill was also conducted on June 4.

As part of its employee safety mandate, the Exchange through its Data Privacy Office and Technology Division started monitoring any possible data breach and potential subsequent security incidents among its personnel.

There were no reported breaches of data privacy and security incidents for the year.

UN SDG 5: GENDER EQUALITY AND WOMEN'S EMPOWERMENT



Over 60 stock exchanges worldwide participated in this activity to show support for gender equality advancement and women empowerment.

The PSE marked International Women's Day with a bell ringing ceremony as it participated in the global Ring the Bell for Gender Equality event.

To show appreciation for the loyalty of its employees, the PSE recognized 18 employees as service awardees. Six (6) employees marked their fifth year while another six (6) celebrated their 10th anniversary with the PSE. There were five (5) employees who were feted for 15 years of service to the company and one (1) employee was commended for being with PSE for 25 years.

The Company also ensured that its employees undergo training to enhance their skills and attend learning sessions to complement their general and specialized knowledge. The management officers took part in various executive trainings while 45 employees had external trainings for further professional improvement.



The special bell ringing ceremony was attended by PSE Directors and Management Committee members and the women employees of the Exchange.

The Ring the Bell for Gender Equality program is organized by the UN Global Compact, UN Women, Sustainable Stock Exchanges Initiative, International Finance Corporation, World Federation of Exchanges, and Women in ETFs.

EMPLOYEE MANAGEMENT

EMPLOYEE HIRING AND BENEFITS

Employee Data

Disclosure	Quantity	Units
Total Number of Employees		
Number of female employees	76	#
Number of male employees	45	#

Diversity and Equal Opportunities

Disclosure	Quantity	Units
% of female workers in the workforce	63% (76 out of 121)	%
% of male workers in the workforce	37% (45 out of 121)	%
Number of employees from indigenous communities and/or vulnerable sector*	PWD - 2 Solo Parent - 1	#

* Vulnerable sector includes elderly, persons with disabilities, vulnerable woman, refugees, migrants, internally displaced persons, people living with HIV and other diseases, solo parents, and the poor or the base of the pyramid (BOP; Class D and E)

UN SDG 8: PROMOTE, INCLUSIVE AND SUSTAINABLE ECONOMIC GROWTH, FULL AND PRODUCTIVE EMPLOYMENT AND DECENT WORK FOR ALL



PSE's vision is to serve the capital requirements of companies to fund their growth and expansion plans, which translates to more jobs, among others.

Even companies that have an authorized capital stock of ₱100 million may list in the Small, Medium and Emerging (SME) Board of the PSE.

For the year, one of the four companies who debuted in the PSE listed in the SME Board.

Access to financial services is also actively pursued by the Exchange as it has long advocated for financial inclusivity. PSE has several investing literacy initiatives like free seminars, webinars, and roadshows*. Through its official social media accounts, the Exchange shares market data, disclosures, and other market-related information to the public.

The PSE has also leveraged on technology to make investing more accessible to investors based in the country and overseas. It continues to offer its PSETradex service to TPs. This allows a stockbrokerage firm to have its own online trading platform without having to invest in research and development and the technology infrastructure required to operate an online trading facility. The Exchange also launched PSE EASY (Electronic Allocation System), which is an online portal with a mobile application version, that allows investors to subscribe to the Local Small Investor tranche of an initial public offering*.

* These items are more thoroughly discussed in the Operational Highlights section of this Annual Report.



UN SDG 12: ENCOURAGING RESPONSIBLE CONSUMPTION



To promote responsible consumption among its employees, the Company organized briefings on this topic and invited speakers who are staunch proponents of sustainable living.

On August 2, the World Wild Fund for Nature conducted an information session on Food Consumption Wastage and Global Water Crisis while a session on A Sustainable PSE was given by Mr. Matthias “GreenMan” Gelber.



UN SDG 13: PROMOTING CLIMATE CHANGE ACTION BY ENERGY SAVINGS AND WASTE REDUCTION



The Company rallied its employees to adopt energy-saving practices such as switching off of office lights. Practical reminders such as utilizing natural light whenever possible and switching off lights in rooms or areas that are not being used.

The PSE also ensured that it has a proper disposal mechanism for solid recyclables such as paper, plastic, cartons, among others.

ENVIRONMENT

Resource Management

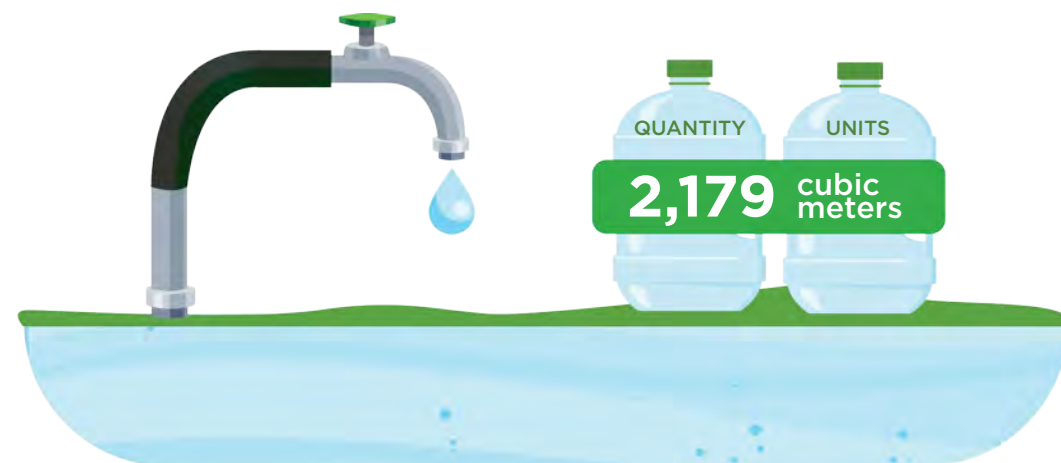
DISCLOSURE	QUANTITY	UNITS
Energy Consumption (renewable resources)	N/A	GJ
Energy Consumption (gasoline)	250.96	GJ
Energy Consumption (diesel)	296.63	GJ
Energy Consumption (electricity)	462,466.74	kWh

Reduction of energy consumption

Energy Consumption (gasoline)	25.99	GJ
Energy Consumption (diesel)	40.21	GJ
Energy Consumption (electricity)	N/A	kWh

Remarks: PSE moved to its current premises in 2018. Because of this migration, its data on energy, water and waste management cannot be considered as normal operations data for the year 2019. It is then deemed best that PSE will use 2019 as baseline data for monitoring purposes.

WATER CONSUMPTION



Remarks: PSE does not manage water recycling and reusing at the PSE Tower.

SOLID AND HAZARDOUS WASTES



Solid and Hazardous Wastes

Solid Waste



PSE Waste Data

Date of collection	16-Jan-19	2-Jul-19	TOTAL
White paper	63 kg	0 kg	63 kg
Newspaper	119 kg	83 kg	202 kg
Shredded paper/assorted waste	20 kg	98 kg	118 kg
Cartons	232 kg	229 kg	461 kg

PSE Waste Data

Date of collection	16-Jan-19	2-Jul-19	TOTAL
PET bottles	3 kg	5 kg	8 kg
Cartridges	6 units	5 units	11 units
Plastics	4 kg	0 kg	4 kg
Aluminum Cans	0.5 kg	0 kg	0.5 kg

Remarks: This is a non-material issue for the PSE. However, monitoring is in place as a sustainability initiative.

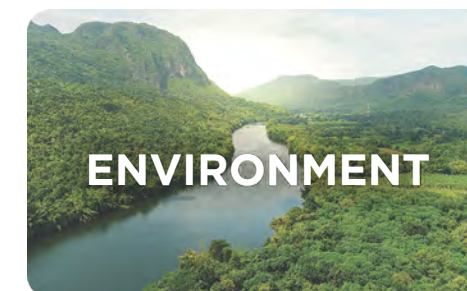
UN SDG 17: COLLABORATING FOR PROMOTION OF SDGs IN THE CAPITAL MARKET



The PSE has active partnerships with agencies and organizations for the promotion of sustainability among capital market stakeholders and PSE employees. Among the Exchange's partners in its sustainability advocacy are the SEC, Australian Department of Foreign Affairs and Trade, World Wide Fund for Nature, Habitat for Humanity and the Roman Catholic Archdiocese of Manila.

THE ESG ROAD AHEAD

The PSE has crossed the five-year mark in its sustainability journey. While there have been considerable achievements in certain areas, the company acknowledges that it needs to do so much more to realize its dream of becoming an ESG leader. Equipped with the knowledge of what opportunities it should explore and the risks it needs to mitigate, the PSE has identified the steps it will take in the next three (3) to five (5) years to advance sustainable business practices in the local capital market.



- Implement green procurement and institutionalize the use of eco-friendly products
- Use renewable energy in the company's headquarters

- Maintain and ensure workplace diversity
- Conduct more learning and development sessions for employees
- Enhance employee wellness and productivity
- Improve account opening guidelines by allowing e-KYC (Electronic Know Your Customer) procedures
- Ramp up investor education resources and activities
- Improve accessibility of the stock market to investors by expanding the subscription coverage of PSE EASY to include other offerings and by incorporating a payment mechanism in the platform

- Ensure the integrity of the stock market by upgrading core systems and infrastructure such as clearing and settlement, surveillance and disclosure
- Develop and draft rules for ESG index, green finance, ESG disclosure among listed companies, board for start-up companies, among others
- Review listing and disclosure rules to increase number of listed companies
- Introduce new investment products to increase the asset class options among investors



OPERATIONAL HIGHLIGHTS

OPERATIONAL HIGHLIGHTS

PRODUCTS

REAL ESTATE INVESTMENT TRUST (REIT)

The Revised Implementing Rules and Regulations (Revised IRR) of the REIT Act of 2009 of the Securities and Exchange Commission (SEC), the REIT Revenue Regulations of the Bureau of Internal Revenue (BIR) and Amended Listing Rules for REITs of The Philippine Stock Exchange, Inc. (PSE) were all signed in a special ceremony at the Department of Finance in Manila on January 20, 2020.

The Amended REIT Listing Rules of PSE incorporate the government's policy which mandates reinvestment by sponsors/promoters of proceeds realized from the sale of REIT shares or money received in exchange for the transfer of income-generating real estate to the REIT in real estate and/or infrastructure projects in the Philippines within one year from receipt of the proceeds or money. To enforce this reinvestment policy, REITs will be required to provide regular reports to the PSE on the status of the implementation of their Reinvestment Plan.



PSE President and CEO Ramon S. Monzon joins DOF Secretary Carlos G. Dominguez III, SEC Chairman Emilio B. Aquino, BIR Commissioner Caesar R. Dulay and SEC Commissioner Ephyro Luis B. Amatong at the signing ceremony of the Revised REIT IRR, the BIR REIT Regulations and the Amended REIT Listing Rules.

The salient provisions of the Revised IRR include a lowered one-third public ownership requirement for REITs (previously 40 percent in the REIT's first year of listing and subsequently 67 percent within three years from listing), the reinvestment policy which is implemented in the PSE's Amended REIT Listing Rules, and enhanced qualifications and track record requirements for REIT fund and property managers.

for Acceleration and Inclusion) Law which, among others, exempted from value-added tax the transfer of property to a REIT in exchange for its controlling shares of stock. It also removed the requirement for REITs to put in escrow the tax savings realized prior to attaining the 67 percent minimum public ownership previously mandated by the REIT Act IRR.

The signing of the said rules and regulations paved the way for the listing of REITs in the country.

The BIR Revenue Regulations for REITs, on the other hand, reflected the passage of the TRAIN (Tax Reform



PSE President and CEO Ramon S. Monzon presents the Amended Listing Rules for REITs during the signing ceremony for the Revised IRR of REITs.

SHORT SELLING AND SECURITIES BORROWING & LENDING

The PSE continues to work towards the full implementation of its Guidelines for Short Selling Transactions (Short Selling Guidelines) which were approved by the SEC in June 2018.

Part and parcel of a successful short selling facility is the enhancement of the current PSE Securities Borrowing and Lending (SBL) Program. The upcoming implementation of short selling, which is directly related to the conduct of SBL transactions, is expected to increase activity in the local SBL market. In this regard, the PSE is steadfast in its efforts to encourage the participation of market players on both the lending and borrowing sides.

In September, the Insurance Commission issued Circular Letter No. 2019-45 allowing insurance companies to participate in the PSE SBL program. This is expected to be a big boost for the local supply of loanable securities, once short selling is implemented.

Philippine Depository & Trust Corp. (PDTC), the central securities depository for both the domestic equities and

bond markets, is in the final stages of acquiring SEC approval as a lending agent after conducting a series of public consultations in 2019 on its proposed lending agency rules. With PDTC acting as a lending agent, investors and market participants, particularly those who do not have the capacity to execute bilateral agreements, may be incentivized to actively participate in the PSE SBL program in connection with their trading strategies or fails management requirements.

Other initiatives lined up to further develop the Philippine SBL market are targeted towards streamlining and expediting the participation of foreign investors. These include the acceptance of the Global Master Securities Lending Agreement and offshore collateral for SBL transactions. The Exchange is constantly in touch with the relevant regulators and aims to secure approval for these matters in 2020.

On the technology side, the PSETradex front-end terminals were updated to support short selling.

INDEX LICENSING

In February, the PSE released its Index Licensing Policy Guidelines for collective investment schemes that track PSE Indices or use PSE Indices as the underlying index for their fund.

Under the policy, the index licensees will have the following privileges: 1) use of the PSEi and PSE index trademarks; 2) access to the PSEi end-of-day file which contains information on daily prices, market capitalization, and index weights, among others; and 3) timely announcements

related to the index, such as, change in constituents, weights, or float level, in exchange for a quarterly fee based on the funds' net asset value.

The policy was launched to protect the PSE's proprietary interests over the PSE Indices and PSE Index Trademarks, and was benchmarked after the model offered by global index providers.

TECHNOLOGY

PSE's IT SUBSIDIARY

The PSE incorporated a software development subsidiary, Premier Software Enterprise, Inc. The new company will enable the Exchange to meet the growing demand for technology services related to its various initiatives and to offer relevant solutions to its stakeholders. Premier Software Enterprise, Inc. is tasked to build innovative trading solutions, further automate critical Exchange processes, and explore new technologies such as blockchain and cloud services as part of its fintech initiatives. As a financial market infrastructure provider, PSE is heavily reliant on technology and focused on maintaining reliable and resilient operational systems.

Hence, expanding the IT capabilities of PSE through Premier Software Enterprise, Inc. will help improve the Exchange's services, and enable the company to take advantage of more business opportunities.

PSETRADEX ENHANCEMENTS

Enhancements in two PSETradex platforms, the PSETradex TP and PSETradex Online, were completed and deployed in January.

The new version of PSETradex TP now includes a Broker Activity Report, which shows Broker Ranking, Broker by Counter, and Broker Transactions.

The new PSETradex Online features, among others, a responsive layout, trading time and connectivity indicator, suffixes for large volume quantities and executions history, a right-click content menu option for shortcut to enable select features to appear as pop-up, and a dedicated chart view with saveable templates.

The PSETradex Online was developed by the Exchange to allow its trading participants to offer online trading to their clients without having to develop their own platform.

As of 2019, 26 TPs have PSETradex subscriptions. Of this number, 19 have already launched their online trading platforms, including four (4) TPs that started online operations this year namely A&A Securities, Alpha Securities Corporation, Sunsecurities, Inc. and Triton Securities Corporation.

TRADING SYSTEM AVAILABILITY

The Exchange’s trading platform, the PSEtrade XTS achieved 99.98 percent system availability.

A 30-minute delay on the start of trading was experienced on October 9 due to a failure in the automated startup process. This necessitated the manual execution of the process affected.

PSE WEBSITE DEVELOPMENT PROJECT

Taking off from the website reskinning project in 2018, the Exchange commenced in 2019 the PSE website project through the conduct of a user feedback survey among its stakeholders. The survey was aimed at gathering pertinent information which will help in determining the technical and functional requirements/specifications for the new PSE website.

The enhanced PSE main portal is envisioned to be more user-friendly and intuitive, with the new architecture ensuring minimal latency and downtime.

It will be developed in two phases – the corporate portal which focuses on PSE as a listed company and the main portal which will supply relevant market data and other related information.

DATA MIGRATION PROJECT

The data migration of records from the Electronic Search and Access Facility (ESAF) to the current Document Management System of the PSE commenced in December with the signing of the agreement with U-BIX Corporation. ESAF contains historical digitized records of the Exchange which is accessible to researchers of the PSE Library. The migration process is targeted to be completed in the first quarter of 2020.

News & Announcements	▼
Market Information	▲
Market Activity	▼
Global Markets	▲
Market Indices	
SZSE Indices	
Foreign Quotations	
Currency Rates	
Funds	
Weekly Market Watch	
Listings & Disclosures	▼
Products & Services	▼
PSE Academy	
Trading Participants	▼
Online Systems	▼
Rules & Regulations	▼

PSE and SZSE partnership

The Philippine Stock Exchange (PSE) and Shenzhen Stock Exchange (SZSE) have held several exchange visits to discuss potential areas for collaboration between the two exchanges. Aside from potential technological partnerships, both exchanges are also exploring an index cooperation project which would include cross-promotion of indices in respective websites of each exchange. These initiatives are in line with the MOU between the PSE and SZSE signed on 22 April 2009 to promote information sharing, capacity building, product development and cross-border listing and trading between the two exchanges.

Shenzhen Stock Exchange (SZSE) Overview

Shenzhen Stock Exchange (SZSE), established on 1st December, 1990, is a self-regulated legal entity under the supervision of China Securities Regulatory Commission (CSRC). Its main functions include: providing the venue and facilities for securities trading; formulating operational rules; receiving listing applications and arranging securities listing; organizing and supervising securities trading; supervising members; regulating listed companies; managing and disseminating market information; and other functions as approved by the CSRC.

As of 31st December 2018, the SZSE recorded 2,134 of listed companies, 16.54 trillion yuan (US\$2.41 trillion) in market capitalization, 49.73 trillion yuan (US\$7.56 trillion) of total turnover.

Shenzhen Securities Information Co., Ltd. is a wholly-owned subsidiary of SZSE and is authorized by SZSE to be responsible for index research and development, operation and marketing.

SZSE Index Official Website: <http://www.cnindex.com.cn/en/>

PSE displays Shenzhen Stock Exchange’s indices and market information in the Global Markets section of its website



ACTIVITIES WITH PEER EXCHANGES

LECTURE SERIES ON INDEX DERIVATIVE PRODUCT

The PSE and Singapore Exchange Ltd. (SGX) organized a lecture series for exchange-traded derivative products and the structure around operating a derivatives exchange.

The lectures, which ran from June to August of 2019, were attended by representatives from the SEC, relevant departments within PSE, Securities Clearing Corporation of the Philippines (SCCP) and Capital Markets Integrity Corporation (CMIC). Among the topics covered during the lecture series were Introduction to Derivatives, Futures Market Regulations, Risk Management Policies and Practices, Derivatives Clearing and Derivatives Market Surveillance.

This activity is among the initiatives under the second phase of the Memorandum of Understanding between the two bourses, which aims to develop index derivative products that will be listed in the PSE.

The two exchanges began their derivatives collaboration in 2013 for the development of the SGX-PSE MSCI Philippines Index Futures product, which was listed on SGX in November of the same year.

SHENZHEN STOCK EXCHANGE INDEX COOPERATION

The PSE and the Shenzhen Securities Information Co., Ltd. (SSIC), a wholly-owned subsidiary of the Shenzhen Stock Exchange (SZSE) signed an Index Cooperation Framework Agreement on August 30.

The index cooperation framework is comprised of three (3) initiatives: i) index publication in the PSE and SSIC websites; ii) index marketing and promotion through index licensing agency service; and iii) development of a co-branded PSE-SZSE index.

SSIC launched in its website the section on the PSE Indices on December 23 while the PSE published the information on the SZSE Indices in February 2020.

ASEAN EXCHANGES CEOs MEETING



PSE President and CEO Ramon S. Monzon attends the ASEAN Exchanges CEOs Meeting in Yogyakarta, Indonesia.

PSE President and CEO Ramon S. Monzon attended the ASEAN Exchanges CEOs Meeting in Kuala Lumpur, Malaysia in April and Yogyakarta, Indonesia in November.

In the November meeting hosted by the Indonesia Stock Exchange, programs to make information on ASEAN capital markets more accessible were tackled. One initiative in this area was the revamp of the ASEAN Exchanges website. The new website, which was launched on December 16, contains more data and tools such as stock screener to provide investors more information and means to analyze data across ASEAN markets.

Other information available on the website are the list of accredited stockbrokers per bourse, brokers’ research reports, calendar of activities, and a guide on how to invest in each of the exchanges.

During the meeting, there were also discussions on organizing a roadshow to promote ASEAN listed companies as well as a knowledge-sharing session about green finance.

INTERNATIONAL SEMINAR ON CAPITAL MARKET FOR SMEs



The PSE participated in the 2019 International Seminar on Capital Market for SMEs at the Shenzhen Stock Exchange. The November 25 event was attended by over 80 representatives from bourses and regulatory agencies from nations along the “Belt and Road”. The seminar was aimed at strengthening cooperation among countries to develop capital markets as an

efficient funding source for SMEs as well as generating ideas to accelerate the development of SMEs.

The PSE took the opportunity to learn about SMEs in the capital market during the seminar to help it improve its SME Listing Rules.

INVESTOR GROWTH AND FINANCIAL LITERACY PROGRAMS

MORE THAN 1M INVESTORS

One of the key objectives of the PSE is financial inclusivity. As such, PSE undertakes several activities on financial literacy.

The total stock market accounts in the PSE reached 1,228,038 in 2019, 12.7 percent more than the 1,089,413 accounts in 2018, boosted by the growth in online accounts.

The number of online accounts grew by 25.0 percent to 782,118 in 2019 from 625,763 accounts in 2018. Online accounts comprised 63.7 percent of the total accounts while the remaining 36.3 percent were investor accounts with traditional stockbrokerage firms.

Retail investors owned most of the stock market accounts cornering 97.7 percent of total accounts while institutional investors held the remaining 2.3 percent of total accounts. Domestic investors accounted for 98.4 percent of total accounts while the remaining 1.6 percent were held by foreign investors.

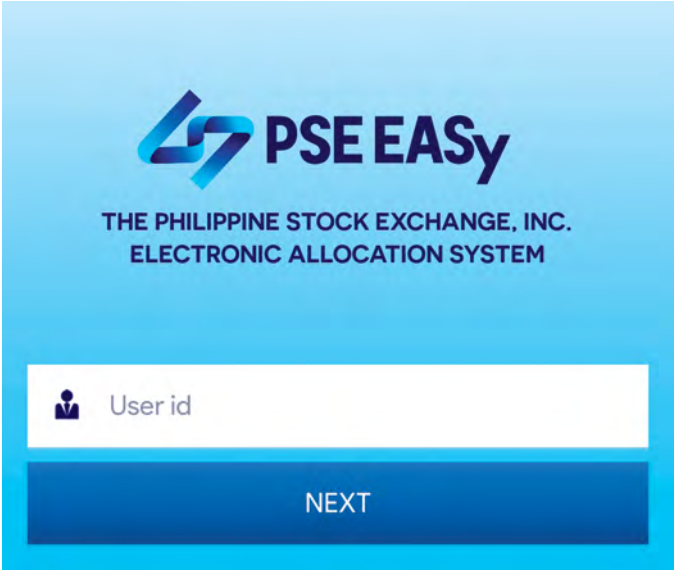
RETAIL VS INSTITUTIONAL					
CLASSIFICATION	2015	2016	2017	2018	2019
RETAIL	678,449	746,595	841,532	1,062,677	1,199,565
INSTITUTIONAL	34,100	26,592	27,278	26,766	28,473
TOTAL MARKET ACCOUNTS	712,549	773,187	868,810	1,089,443	1,228,038
TRADITIONAL VS ONLINE					
CLASSIFICATION	2015	2016	2017	2018	2019
TRADITIONAL	475,880	470,671	479,946	463,680	445,920
ONLINE	236,669	302,516	388,864	625,763	782,118
TOTAL MARKET ACCOUNTS	712,549	773,187	868,810	1,089,443	1,228,038

PSE ELECTRONIC ALLOCATION SYSTEM FOR LOCAL SMALL INVESTORS

As part of its financial inclusion initiatives, PSE rolled out its online subscription portal for local small investors (LSI) called the PSE Electronic Allocation System (PSE EASy) on June 3. This online platform enables LSIs to subscribe to shares online whenever there is an Initial Public Offering (IPO).

The mobile application of PSE Easy has also been made available to LSIs last November in Google PLAY STORE for Android users and in the APPLE App Store for iOS users in January 2020. Except for account registration which should be done on the website, all other PSE EASy functions for investors are available in the mobile app. Among these functions include the submission of LSI subscription forms, updating of LSI subscription like adding or reducing shares, push notifications when there is an upcoming IPO or when there are other relevant updates particular to the LSI’s subscription.

PSE EASy registered a 94 percent LSI take-up in its pilot run, the IPO of Kepwealth Property Philippines, Inc. (KPPI). Frutas Holdings, Inc., which was the first IPO to use the PSE EASy mobile application, registered a 91 percent LSI subscription in its IPO.



Before PSE EASy was launched, the take-up of IPO shares by LSI was historically less than two percent (2%) of the total offer or 20 percent of the LSI tranche.

The reach of the LSI program also improved significantly with the online LSI platform. Prior to the launch of PSE EASy, only investors in Metro Manila participated in the LSI because of the manual subscription procedure. The previous process of IPO shares subscription for LSIs necessitated investors to go to designated IPO kiosks in select Metro Manila malls to secure and fill out the subscription form, bring this form to their stockbroker’s office for acknowledgement, and then bring back the same form to the IPO kiosk for payment. After all four (4) IPOs for the year, investors from 62 of the 81 Philippine provinces and 17 countries were able to subscribe to LSI shares.

An investor who wants to take part in the LSI program of an IPO will only need to create an account on the PSE EASy website once. When the account registration has been approved, the investor can already participate in the LSI tranche whenever there is an IPO.

ISSUE	LSI COUNT	LSI TAKE-UP VALUE (PHP)	LSI PERCENTAGE TAKE-UP
KEPWEALTH PROPERTY PHILS., INC.	424	36,077,622	93.76%
AXELUM RESOURCES CORP.	1,636	71,679,000	17.92%
ALLHOME CORP.	1,802	97,721,250	7.55%
FRUITAS HOLDINGS, INC.	1,313	81,868,080	91.31%

RING THE BELL FOR FINANCIAL LITERACY AND FINANCIAL LITERACY WEEK

On September 30, the PSE took part in the first ever Ring the Bell for Financial Literacy. This activity was organized by the World Federation of Exchanges (WFE) for its member organizations. The bell ringing event was WFE’s way of supporting the annual World Investor Week spearheaded by the International Organization of Securities Commissions.

During the bell ringing program, “Bullit”, the official PSE mascot, was also introduced as every investor’s BFF or ‘Buddy for Financial Fitness’. Bullit visited the mall beside PSE Tower to encourage the public to be financially fit and to invest.

The global bell ringing activity served as the kick-off program for the other financial literacy activities of the PSE from September 30 to October 5.



During the week, the Exchange released educational materials pertaining to investor education and protection on PSE's official social media accounts. There was also a week-long fun quiz on PSE's official Facebook page where winners received various PSE merchandise.

PSE's new schedule for its Stock Market 101 also commenced during the Financial Literacy Week. PSE President and CEO Ramon S. Monzon welcomed the seminar participants to its first ever regular Saturday schedule. The new schedule was adopted to accommodate more attendees to its seminar, which was previously scheduled on a weekday.

FREE STOCK MARKET SEMINAR AT PSE TOWER

Over 2,000 individuals attended the free Stock Market 101 seminars of PSE.

The learning session has three (3) parts— (i) Stock Market 101 by the PSE, (ii) Investor Rights and Safeguards by the Capital Markets Integrity Corporation (CMIC), and (iii) Online Investing and Stock Market Outlook by a guest Trading Participant (TP).

From the regular Tuesday schedule every week, the PSE now conducts seminars every Saturday, 10:00 AM - 12:00 NN, at the PSE Tower in BGC.

INVESTMENT LITERACY SESSIONS FOR GOVERNMENT AND PRIVATE INSTITUTIONS

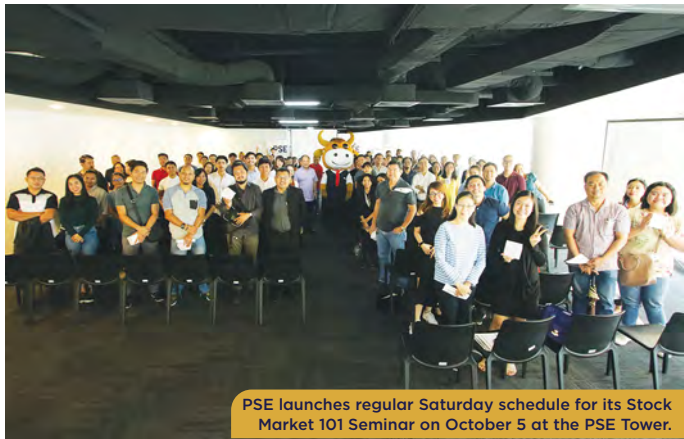
The PSE actively collaborated with various institutions on investment literacy activities for their officers, employees, and invited participants. Free seminar sessions were conducted at the Bangko Sentral ng Pilipinas, City Government of Imus, Department of Budget and Management, Government Service Insurance System, and United Coconut Planters Bank.

Similar investment literacy sessions were also conducted for private companies such as Ericsson PH, Henkel Asia Pacific Service Centre, Klaveness Shore Services, Inc., NCSI Philippines, Inc., and The Flats-BGC.

PSE ROADSHOW



As part of the PSE's commitment to increase the level of financial literacy in the country, the Exchange conducts financial literacy roadshows to reach Filipinos outside Metro Manila, targeting key cities in the Visayas and Mindanao area.



FREE WEBINARS

The PSE conducted five (5) webinars in 2019 with the following topics: *Stock Market Outlook*, *Seven Steps to Financial Fitness*, *The Essentials of Stock Market Investing*, *IPOs Made EASY*, *Fundamental Analysis* and *Technical Analysis*.

While the webinars were conducted live, recorded versions of the sessions were uploaded on PSE's official YouTube channel.

Since its launch in 2014, PSE's webinars have provided a convenient way for the general public to learn more about the capital market reaching more than 20,000 viewers from within and outside the Philippines. These webinars are offered free of charge to the public as part of the financial literacy initiative of PSE.

On May 18, the PSE brought its financial literacy seminar for the first time to Bacolod City. The event had a conversion rate of 85.4 percent, the highest in PSE's roadshow history. On event day, 568 trading accounts were opened out of the 665 attendees.

The roadshow featured several learning sessions by the PSE and partner TPs with discussion topics ranging from the basics of investing and investor protection to trading strategies, stock market outlook and technical analysis.

Participating stockbrokers include Presentation Partners—namely, Abacus Securities Corporation, COL Financial Group, Inc., Eagle Equities, Inc., and First Metro Securities Brokerage Corporation. TPs who participated as Exhibitors were AB Capital Securities, Inc., AP Securities Corporation, BDO Nomura Securities, Inc., BPI Securities Corporation, and Papa Securities Corporation.

CERTIFIED SECURITIES SPECIALIST COURSE

The third run of the Certified Securities Specialist Course (CSSC) between the PSE and the University of San Carlos-Center for Continuing Education and Enterprise Development (USC CEED) had its graduation ceremony on July 26 at the City Sports Club, Cebu City.

The additional graduates from the latest USC CEED batch brings the total pool of CSSC graduates from all institutions to 700.

USC is currently the only partner school of PSE outside of Metro Manila. The PSE also has continuing partnerships with five (5) other academic institutions—the Ateneo Center for Continuing Education (Ateneo CCE), Development Center for Finance (DCF), iACADEMY School for Continuing Education (iACADEMY SCE), and the University of Santo Tomas Center for Continuing Professional Education and Development (UST CCPED).

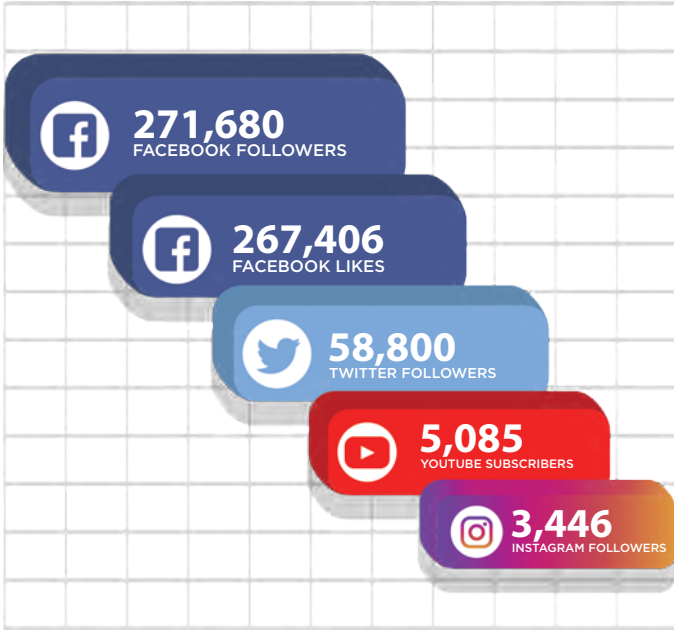
14th PSE BULL RUN



The PSE held its 14th edition of the PSE Bull Run, a running event that encourages the public to be physically and financially fit.

The January 20 event, which gathered close to 3,000 runners featured four (4) running categories— 5K, 10K, 21K, and 25K.

PSE's ONLINE COMMUNITY



PROGRAMS FOR LISTED COMPANIES AND POTENTIAL ISSUERS

PSE HAND-HOLDING PROGRAM

The PSE Hand-Holding Program engages private and listed companies to encourage them to list or further raise capital in the Exchange. It guides the company through all aspects of listing by familiarizing them with the listing requirements and the listing process. Follow up meetings are regularly scheduled to determine their level of interest and maintain communications.

One of the successful products of the hand-holding program was Frutas Holdings, Inc. (FRUIT). The company debuted in the stock market on November 29. The PSE first met with FRUIT executives in a Listing Forum held in June 2017.

For the year, the PSE met with companies in the agriculture, food processing, hospitality, manufacturing, mining, real estate and property development, technology and transportation sectors.

LISTING FORUM

The PSE participated in the third run of the IPO Forum conducted by P&A Grant Thornton entitled "From Start-up to Step-up: A Guide to Initial Public Offering for SMEs" on June 21 at the Quest Plus Conference Center in Clark, Pampanga.

The PSE provided an overview of the Philippine capital market and discussed the listing process at the Exchange. The forum was attended by 22 companies.

LISTING ANNIVERSARY CELEBRATIONS

The Exchange celebrates the 10th, 25th, 50th listing anniversaries and in increments of 25 years thereafter of PSE listed companies. Through the anniversary celebration, the PSE recognizes the contribution of the listed companies to the capital market, including their efforts to uphold transparency and corporate governance best practices.

50TH LISTING ANNIVERSARY

- Omico Corporation
- The Philodrill Corporation

25TH LISTING ANNIVERSARY

- Aboitiz Equity Ventures, Inc.
- Cebu Holdings, Inc.
- Megaworld Corporation
- Petron Corporation

- Philippine Savings Bank
- SM Prime Holdings, Inc.
- SOCResources, Inc.
- Universal Robina Corporation

10TH LISTING ANNIVERSARY

- AgriNurture, Inc.



Aboitiz Equity Ventures, Inc. celebrates its 25th listing anniversary.



Petron Corporation marks 25 years of being a publicly listed company.



Philippine Savings Bank commemorates its silver listing anniversary.



PSE fetes SM Prime Holdings, Inc. on its 25th listing anniversary.



Universal Robina Corporation rings the bell for its silver listing year milestone.

SELF-REGULATORY ORGANIZATION RULES AND FRAMEWORK

As a self-regulatory organization, the PSE strives to make stock exchange regulations up-to-date and in line with global best practices, to ensure investor protection and an efficient trading market for market participants.

OFFER PRICE RANGE FOR SRO AND FOO

In March, the PSE released a new provision in the Listing Rules that would require listed companies to disclose an offer price range upon filing of the listing application for follow-on offerings and stock rights offerings of common shares and exchange traded funds.

The price range will provide a better guide to the investing public, particularly small investors, as this would include a floor price and a cap. The rules indicate that the floor price must be lower than or equal to the disclosed market price.

The PSE will also revamp its Listing and Disclosure Rules to rationalize requirements and provide a more streamlined process for listing applicants. The revised rules will update provisions to support greater compliance of applicant companies to IPO requirements, while at the same time ensuring that investor interest remains highly protected.

PROPOSED AMENDMENTS TO VOLUNTARY DELISTING RULES

In December, the PSE sought the comments of its stakeholders on its proposed amendments to the Voluntary Delisting Rules.

The first amendment covers the required approvals to delist. The delisting should be approved by 2/3 of the Board of Directors, including majority of the independent directors, of the company and by stockholders who own at least 67 percent of the total outstanding and listed shares of the company. The votes against the delisting proposal should also not be more than 10 percent of the total outstanding and listed shares.

The second amendment pertains to the tender offer price. The Exchange proposed that a floor price be set such that the tender offer price will not be lower than the higher of the following: i.) the highest value based on the fairness opinion or valuation report prepared by an independent valuation provider; and ii.) VWAP for one year immediately preceding the date of disclosure by the listed company of the approval by its Board of the proposed delisting.

The PSE collated the comments received, revised the proposed amendments, and endorsed the same to SEC for approval on January 29, 2020.

The proposed amendments to the Involuntary Delisting Rules were released by PSE for public comment in February 2020. The proposed amendments include, among others, an exit mechanism for shareholders and heavier penalties for erring directors and officers.



SECURITIES
CLEARING CORPORATION
OF THE PHILIPPINES



CAPITAL MARKETS INTEGRITY CORPORATION

REPORT OF SUBSIDIARIES

SECURITIES CLEARING CORPORATION OF THE PHILIPPINES



JOSE T. PARDO
CHAIRMAN



RAMON S. MONZON
PRESIDENT AND CEO



WILLIAM L. ANG
DIRECTOR



EMMANUEL O. BAUTISTA
DIRECTOR



ANABELLE L. CHUA
DIRECTOR



FRANCIS CHUA
DIRECTOR



DAKILA B. FONACIER
INDEPENDENT DIRECTOR



MA. JUANITA E. CUETO
DIRECTOR



EDDIE T. GOBING
DIRECTOR



AMOR C. ILISCUPIDEZ
DIRECTOR



ALEJANDRO T. YU
DIRECTOR



OMELITA J. TIANGCO
TREASURER



RENEE D. RUBIO
CHIEF OPERATING OFFICER



AISSA V. ENCARNACION
CORPORATE SECRETARY

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary of the Philippine Stock Exchange, Inc. (PSE) and is under the regulatory supervision of the SEC. It was established primarily as the clearing and settlement agency for equities trades transacted through the facilities of the Exchange, and acts as a Central Counterparty to trades executed through the Exchange. SCCP is authorized by the SEC to charge fees and impose fines and penalties on its Clearing Members for late or non-delivery of their cash and/or securities obligations, and other sanctions as approved by the SCCP Board of Directors to ensure compliance of its Clearing Members with its Rules.

FINANCIAL PERFORMANCE

SCCP ended the year with net income of ₱220.60 million, slightly higher than the net income of ₱217.19 million in 2018. Total value turnover for 2019 was slightly higher at ₱1.77 trillion from ₱1.74 trillion in 2018, with an average trading turnover of ₱7.29 billion a day, which was 2.1 percent higher than the average daily turnover value of ₱7.15 billion in 2018. The SCCP Board of Directors approved the declaration of cash dividends totalling ₱145.00 million to stockholders during its regular meeting held on September 19 and paid the same on October 2. This was in addition to the cash dividends amounting to ₱70.00 million which were approved by the SCCP Board during its meeting held on March 20 and were paid on April 22.

CLEARING AND SETTLEMENT OPERATIONS

Clearing Members continued to faithfully comply with the settlement deadline of 12:00 noon on T+3, achieving an average compliance rate of 99.99 percent for the delivery of both their securities and cash obligations during the year. There was no overnight settlement default during the year 2019; thus, the Corporation did not need to avail of its credit facilities with its settlement banks. On the average, SCCP was able to release the entitlements of the Clearing Members during the year by 12:30 p.m., an improvement over the previous year's average release time of 12:37 p.m. This enabled the Clearing Members to release the cash and securities entitlements to their investor clients at a reasonably early time.

In mid-March 2020, President Rodrigo R. Duterte implemented a Luzon-wide lockdown to prevent the spread of the COVID-19. The lockdown was extended thrice for the National Capital Region, and only a skeleton force was allowed by the Inter-Agency Task Force to operate for those segments, such as capital markets, which were allowed to operate. Despite the strict restrictions implemented, such as the suspension of mass transport services, our Clearing Members have been generally able to deliver their settlement and collateral obligations on time.

NEW CLEARING AND SETTLEMENT SYSTEM

Last May 15, the SCCP Board approved the awarding of the Corporation's new Clearing and Settlement (C&S) System Project to the Millennium IT Software (Private) Limited, which was subsequently rebranded as LSEG Technology, subject to the completion of a design study and the signing of the contract. LSEG Technology is a global financial technology provider and is owned by the London Stock Exchange. LSEG Technology will provide their premium products, Millennium PostTrade and Millennium Risk, as solution to SCCP's clearing and settlement requirements.

The Design Study started last June and was completed in November with all the product specifications and customization requirement documents finalized and delivered to SCCP. The Consultancy Services Agreement as well as the Software License and Maintenance Agreement were signed in November and December by the authorized signatories of SCCP and the Millennium IT Software (Private) Limited. An on-site planning workshop was conducted in Manila to officially kick off the project and to discuss the project plan.

New features of the LSEG clearing and settlement system include settlement of multiple currencies, capability to settle multiple trade dates in a day, real-time receipt of trades from the trading engine, faster settlement processing, and additional risk management methodologies. The customized requirements will be delivered in batches followed by the rigid functional and non-functional training which will be conducted by LSEG Technology experts to the SCCP and PSE-Technology Division employees involved in the new system.

SCCP will conduct market briefings and comprehensive training sessions as well as a series of market rehearsals to ensure that all its Clearing Members have gained familiarity with the features of the new C&S system as well as its functionalities. There will be meetings and collaboration with the SEC, our Clearing Members, the securities depository, settlement banks, custodian banks and back-office system vendors. There will likewise be a series of intensive system integration testing, user acceptance testing and industry-wide testing.

In 2020, the Corporation is doing a thorough review of the existing SCCP Rules and Operating Procedures and drafting of the necessary revisions thereto which will require SCCP Board approval, public consultation and SEC approval.

The new C&S system is expected to go live in the first quarter of 2022.

SHORTENING OF THE SETTLEMENT CYCLE FROM T+3 TO T+2

SCCP continues to observe a settlement cycle of T+3 while most clearinghouses are already on settlement cycle T+2. The Corporation can only migrate to T+2 once its new C&S system is in place because the existing system is hardcoded with a settlement cycle of T+3. While the new C&S system is expected to be implemented only in the first quarter of 2022, preparations for the migration to T+2 have started. Preliminary work will entail working closely with the SEC, issuers, the Trading Participants/Clearing Members, investors, the BSP, PhilPaSS, PCHC, settlement banks, custodian banks, asset managers, back-office system vendors, transfer agents, and the central securities depository.

ISSUANCE OF ADDITIONAL SHARES/INCREASE IN PAID-UP CAPITAL OF THE CORPORATION

As indicated in the prospectus of the PSE's stock rights offering, ₱250.00 million of the proceeds thereof is allocated for the partial funding of the new C&S system of SCCP. In consideration thereof, during its regular meeting held on September 19, the SCCP Board approved the issuance of two million (2,000,000) shares out of SCCP's unissued shares with par value of ₱100 per share, for a total of ₱200.00 million. PSE remitted the ₱200.00 million, and payment of its outstanding ₱50.00 million subscription payable to SCCP in October.

ANNUAL REVIEW OF SETTLEMENT BANKS

The 2019 annual credit review by the Corporation of its Settlement Banks showed that its financial partners continue to demonstrate creditworthiness, adequate capitalization, satisfactory asset quality, ample liquidity, profitability, operating efficiency and implementation of sound risk management and their capability to safekeep our resources and those of our Clearing Members.

BUSINESS CONTINUITY AND DISASTER RECOVERY PLAN

As it has done in the past years, jointly with the PSE Technology Division, SCCP conducted quarterly testing of its Business Continuity and Disaster Recovery (BC/DR) Plan on February 22, June 4, September 6 and November 29 with successful results.

CAPITAL MARKETS INTEGRITY CORPORATION



DAKILA B. FONACIER
CHAIRMAN



DAISY P. ARCE
PRESIDENT



PAUL P. SAGAYO, JR.
INDEPENDENT DIRECTOR AND
CORPORATE SECRETARY



GERARD B. SANVICTORES
INDEPENDENT DIRECTOR



EMIGDIO P. TANJUATCO III
INDEPENDENT DIRECTOR



ANDREW JEROME T. GAN
DIRECTOR



KATHERINE L. SHIH
DIRECTOR



OMELITA J. TIANGCO
TREASURER



GRACE M. CALUBAQUIB
AVP AND HEAD, SURVEILLANCE
DEPARTMENT



JOSE MARTIN O. GENERAL
AVP AND HEAD, INVESTIGATION
AND ENFORCEMENT DEPARTMENT



ERWIN C. DEL MUNDO
ASSISTANT CORPORATE SECRETARY

The Capital Markets Integrity Corporation (CMIC) was created to assume and take over the functions of the former Market Regulation Division and Market Integrity Board of the PSE, and to reinforce the confidence of the investing public through the adoption, enforcement, implementation, and interpretation of the applicable rules, guidelines, and securities laws.

Accordingly, CMIC has the jurisdiction to investigate and resolve all violations of the securities laws by trading participants (TPs), and trading-related irregularities and unusual trading activities, based on certain complaints, findings, reports, or determinations.

As stated in the CMIC Rules, the following objectives are imperative: maintenance of the highest code of ethics, honor and integrity among the TPs; establishment and promotion of just and equitable principles of trade and business; and maintenance of the highest standards in the commercial and financial transactions of the TPs among themselves, with the government, and with the public. CMIC, thus, maintains the integrity of the market and minimizes the risk of the investing public by ensuring that the TPs adhere to the rules and all related legislative and regulatory requirements.

CORE DEPARTMENTS

The CMIC substantially manages its operations and fulfills its regulatory functions through three (3) core departments: the Audit and Compliance Department (ACD); the Surveillance Department (SD); and the Investigation and Enforcement Department (IED).

Audit and Compliance

The ACD conducts regular and spot audits of the books and records of the TPs. It is composed of two units: the Regular Examination Unit (REU) and the Risk Management Unit (RMU).

The REU performs an annual audit of the TPs' relevant books and records, based on an audit program approved by the Securities and Exchange Commission (SEC). The REU evaluated all 131 TPs, including their branches and agencies. The procedure covers a review of the TPs' trading activities, an assessment of their financial and risk profiles, and a monitoring of their compliance with reportorial requirements, among other matters.

On the other hand, the RMU conducts a semi-monthly review of the TPs' risk-based capital adequacy (RBCA) reports and reserve requirements to regularly assess their financial and risk profiles. At the year-end, the RMU subjected 55 TPs to a spot audit.

In addition, five (5) special audits, in relation to investigations initiated by the CMIC or based on complaints filed or matters presented by various market participants, have been conducted.

Surveillance

Monitoring of daily market activities, identification of irregularities in the market, and preliminary investigation of unfair trading practices are done by the SD.

The SD evaluated a total of 94 surveillance cases, 11 of which were referred to the IED for further investigation. In addition, four (4) matters involving possible trading-related irregularities, unusual trading activities, and other violations of the securities laws are subject to ongoing preliminary investigations.

Investigation and Enforcement

The IED conducts investigations of alleged violations of securities laws, based on the following: complaints filed by investors; initial findings of the SD; and other matters which the CMIC has determined should be resolved to enforce the law.

The IED issued resolutions on five (5) investor complaints, 13 cases endorsed by the SD, and one (1) special case, all of which involved purported violations by the TPs of the rules.

Further, the IED initiated the endorsement to the SEC, which has jurisdiction over these matters, 10 cases of possible violations by certain beneficial owners of the securities laws. Similarly, the IED forwarded to the PSE five (5) matters concerning apparent violations of the Disclosure Rules by particular issuers and their related parties. The PSE may conduct further evaluation of, and take appropriate action on, the said issues.

R & L INVESTMENTS, INC.

In November, the Securities and Exchange Commission En Banc (SEC En Banc) ordered the CMIC to take over the operations of R & L Investments, Inc. (R & L), pursuant to Rule 33.1(d) of the 2015 Implementing Rules and Regulations of the Securities Regulation Code.

Accordingly, CMIC took the necessary actions to protect customer accounts including, but not limited to, preservation of the assets, books, and records of R & L.

CMIC has continued to execute acts appropriate in implementing the rules pertinent to the takeover of the operations of R & L, and in carrying out its functions and powers, as expressly provided by the securities laws and the order from the SEC En Banc.

SEMINARS AND TRAININGS

The CMIC held its annual Trading Participants' Seminar on April 5 at The City Club, Alphaland Makati Place, Makati City.

With a record 174 attendees and 85 percent of the TPs present, the one-day seminar covered discussions on substantial provisions of the CMIC Rules and the Securities Regulation Code and its Implementing Rules and Regulations, as well as the Securities Borrowing and Lending Rules, Anti-Money Laundering Act, and the Revised Corporation Code.

During the seminar, CMIC also launched its first "CMIC Integrity Seal Awards", to be given to deserving TPs. Another citation, the "Best Associated Person", will be awarded to exemplary associated persons. The commendations are based on the TPs' and associated persons' compliance with the significant securities laws and dealings with the regulatory authorities, among other criteria. CMIC intends to announce the results and recognize the awardees during the next Trading Participants' Seminar.

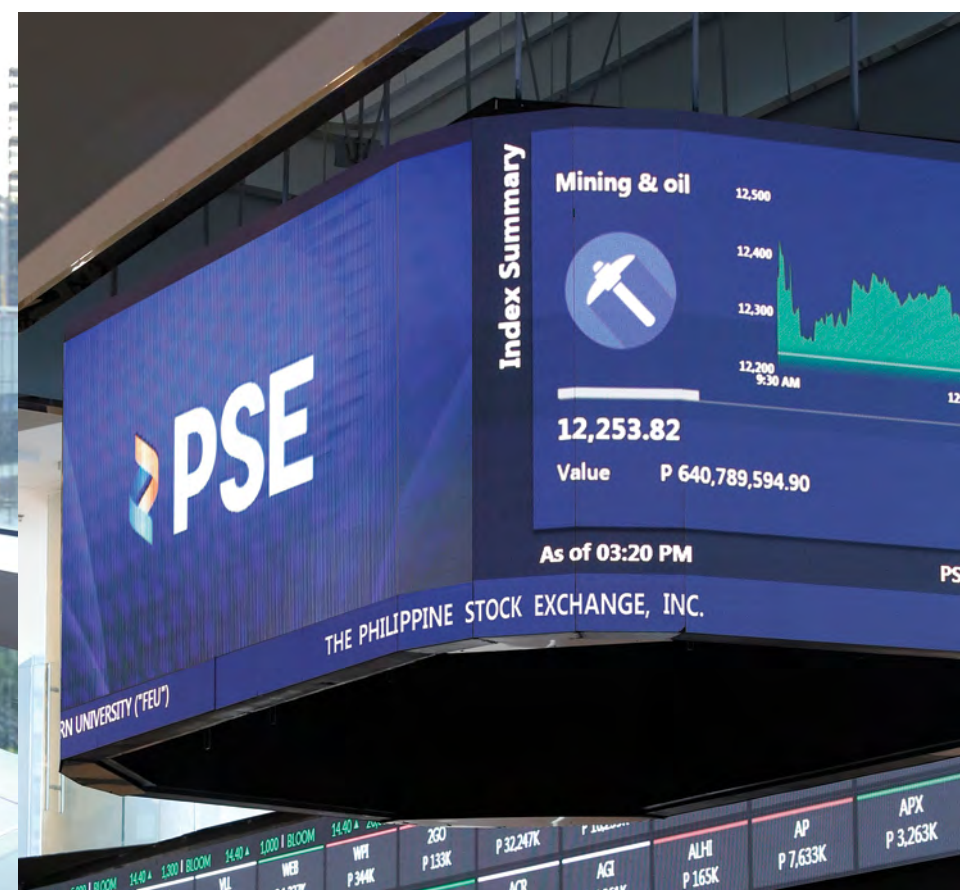
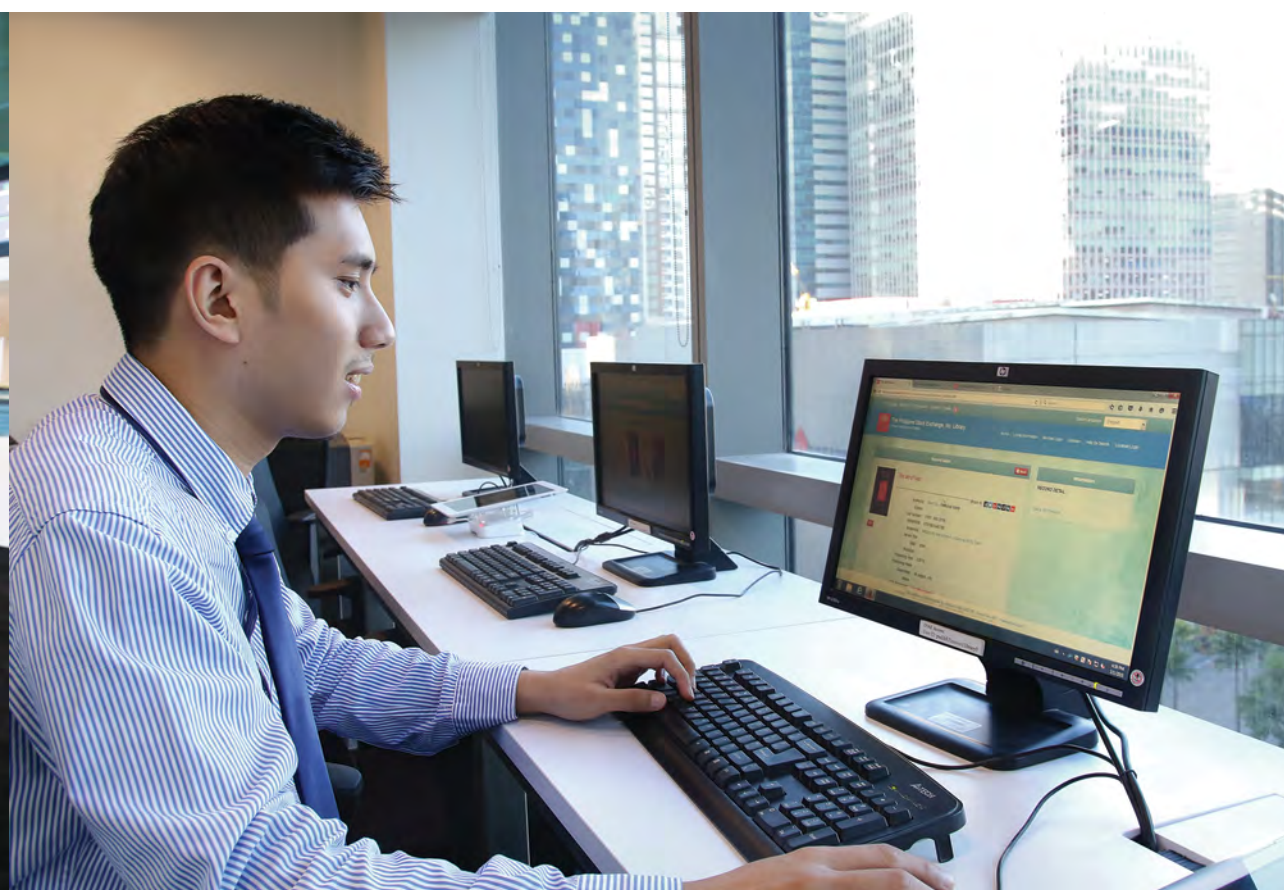
Furthermore, the CMIC extended its full support to PSE-initiated programs by participating in investor protection seminars and a series of roadshows and webinars aimed to educate the public on the market and related investment risks.

Finally, the CMIC continued to provide training avenues to its officers and employees to equip them with the capabilities adhering to the Corporation's paramount standards and values of professionalism, integrity, teamwork, competence, honesty, and fairness.

REPORTORIAL MATTERS

The CMIC has regularly submitted the following reports regarding its operations and investigations to the SEC: Reports on Resolved and Appealed Cases, and Dockets of Examinations and Investigations Being Conducted by the CMIC; Monthly Report on Started and Completed Audits; Risk Management Unit Reports; and Report on the Results of the Monitoring of Trading of Listed Companies and Examinations Being Conducted by the CMIC.

The CMIC, cognizant of its express mandate and guided by the securities laws, is resolute in working towards achieving a capital market that is fundamentally objective, integrally dynamic, and essentially progressive.



STOCK MARKET HIGHLIGHTS

2019 STOCK MARKET PERFORMANCE

The bellwether PSE Index capped 2019 on a positive note as domestic macroeconomic fundamentals proved yet again its ability to support the market. A significantly softening inflationary environment and the accommodative monetary policy that came along with it provided the PSEi sufficient impetus to finish the year in the green. However, the bullish outlook on the local equities market for 2019 was persistently tested by challenging external developments.

UNCERTAINTIES CAST A SHADOW ON GLOBAL ENVIRONMENT

The trade war between the United States (US) and China, which began in 2018, continued to be a narrative that dampened investor sentiment. Throughout the year, the two economic powerhouses’ dispute oscillated between intensification and de-escalation, triggering volatilities across markets. In order to weather the trade war and curtail economic slowdown, the US Federal Reserve reduced interest rates three times in 2019 for a total of 75 basis points (bps). As the year came to a close, the US and China fortunately reached an agreement on a Phase One trade deal, the materialization of which will facilitate the recovery of the fragile global economy. Internal developments in the US, particularly the impeachment case of US President Donald Trump, also posed as a global risk.

Meanwhile, the United Kingdom’s (UK) impending departure from the European Union (EU) remained a threat to investment and trade flows. The UK failed to meet the original Brexit deadline set on March 29, prompting concerns of a no-deal Brexit. The EU has, however, shown a strong inclination to avoid the potentially large-scale impact of a no-deal Brexit and has extended the deadline twice to January 31, 2020.

Closer to home, the Hong Kong government’s proposed amendments to their extradition law paved way for months of civil unrest. The political turmoil in Hong Kong naturally caused downbeat investor sentiment and consumer confidence. This led to Hong Kong’s economy entering into a recession for the first time since the global financial crisis.

These developments on the international front weighed in on the performance of financial markets. In particular, the weak US dollar and lower US Fed rates made gold more affordable for holders of other currencies, thus increasing demand. Gold prices on the Chicago Mercantile Exchange (COMEX) were on a generally upward trajectory, reaching as high as US\$1,544 per troy ounce in September. COMEX gold ended the year at US\$1,523.10 per troy ounce, up by 18.9 percent from US\$1,281.30 per troy ounce in 2018.

On the other hand, the price of the benchmark WTI sweet light crude oil on the New York Mercantile Exchange (NYMEX) was volatile as it continued to grapple with oversupply and the attacks on oil facilities in the Middle East. NYMEX crude rose to a high of US\$66.30 per barrel (bbl) in May, and capped 2019 with a gain of 34.5 percent at US\$61.06 bbl from US\$45.41 bbl a year ago.

RESILIENT DOMESTIC ECONOMY HOLDS ITS GROUND

The Philippine economy, as measured by its gross domestic product (GDP), expanded by 5.9 percent in 2019, slower than the 2018 GDP growth of 6.2 percent. Despite the slowdown, it was an impressive feat to have achieved this level of growth amidst a major delay in the passage of the national budget and in the face of a difficult external environment.

The achievements of the domestic economy have not gone unnoticed – in April, Standard & Poor’s upgraded the Philippines’ long-term sovereign credit rating from BBB to BBB+, with a stable outlook. The rating is two notches above investment grade and is the highest that the Philippines has ever received.

Underpinning the economy’s expansion and increasing credit worthiness were healthy and stable macroeconomic settings. Philippine headline inflation eased to an average rate of 2.5 percent in 2019, the slowest in three years, on account of stabilizing food and energy prices. The improvement in the inflationary environment provided the Bangko Sentral ng Pilipinas (BSP) ample room to adopt a benign monetary policy.

While the abrupt change in the leadership at the central bank in March initially kept investors on the sidelines, the market cheered as new governor Benjamin Diokno unwound the monetary tightening cycle of 2018. The BSP key policy rate was slashed by a total of 75 bps in three instances to end 2019 at 4.0 percent. Moreover, the central bank reduced reserve requirement ratios by a total of 300 bps in 2019 to infuse additional liquidity into the economy.

The economy’s ability to withstand global headwinds was also backed by a strong external position. Gross international reserves reached an all-time high of US\$87.86 billion in December and the balance of payments recovered to a surplus of US\$7.84 billion in 2019. All these factors enabled the local currency to make substantial gains against the US dollar in 2019. The Philippine peso strengthened to a year-high of ₱50.41 per US dollar and finished the year at ₱50.63 per US dollar, 3.7 percent stronger than the 2018 close of ₱52.58 per US dollar.

PHILIPPINE STOCK MARKET RISES ABOVE VOLATILITY

Favorable catalysts from the domestic front supported the Philippine stock market in withstanding external headwinds and enabling it to cap 2019 on a higher note. The bellwether PSE Index closed the year at 7,815.26 points, up by 4.7 percent or 349.24 points from an index level of 7,466.02 points at the end of 2018. However, the PSEi’s positive finish appears to be lackluster vis-à-vis a selection of other regional barometers, as it placed 12th out of 15 indices. Among ASEAN indices, the PSEi ranked third after Ho Chi Minh Stock Exchange’s VN Index and Singapore Exchange’s Straits Times Index.

TABLE 03

PSEI VS. SELECT ASIAN INDICES, 2018 VS. 2019					
RANK	COUNTRY	INDEX	END-2018	END-2019	% CHANGE
1	CHINA	SHENZHEN COMPOSITE INDEX	1,267.87	1,722.95	▲ 35.9%
2	TAIWAN	TAIEX INDEX	9,727.41	11,997.14	▲ 23.3%
3	CHINA	SHANGHAI COMPOSITE INDEX	2,493.90	3,050.12	▲ 22.3%
4	JAPAN	NIKKEI 225	19,520.69	23,656.62	▲ 21.2%
5	JAPAN	TOPIX INDEX	1,494.09	1,721.36	▲ 15.2%
6	INDIA	BSE SENSEX	36,068.33	41,253.74	▲ 14.4%
7	INDIA	NSE NIFTY	10,862.55	12,168.45	▲ 12.0%
8	HONG KONG	HANG SENG INDEX	25,845.70	28,189.75	▲ 9.1%
9	SOUTH KOREA	KOSPI INDEX	2,041.04	2,197.67	▲ 7.7%
10	VIETNAM	VN INDEX	892.54	960.99	▲ 7.7%
11	SINGAPORE	STRAITS TIMES INDEX	3,068.76	3,222.83	▲ 5.0%
12	PHILIPPINES	PSEI	7,466.02	7,815.26	▲ 4.7%
13	INDONESIA	JAKARTA COMPOSITE INDEX	6,194.50	6,299.54	▲ 1.7%
14	THAILAND	SET INDEX	1,563.88	1,579.94	▲ 1.0%
15	MALAYSIA	KUALA LUMPUR COMPOSITE INDEX	1,690.58	1,588.76	▼ -6.0%

Four (4) out of six sector indices mirrored the main index’s uptrend, led by the Property index which registered a year-on-year gain of 14.5 percent. The Services, Financials, and Holding Firms indices followed, as they respectively grew by 6.1 percent, 4.7 percent, and 3.4 percent. In contrast, the Industrial index suffered the biggest loss at 12.0 percent, while the Mining & Oil index contracted by 1.3 percent. The broader All Shares index, meanwhile, finished 2019 at 4,649.67 points, 2.9 percent or 131.82 points higher than the previous year’s close of 4,517.85 points.

Total market capitalization (MCAP) of companies listed at the PSE rose by 3.5 percent to ₱16.71 trillion at the end of 2019 from ₱16.15 trillion the previous year. Domestic MCAP, meanwhile, closed the year at ₱13.95 trillion, a growth of 3.0 percent from ₱13.55 trillion in 2018. Liquidity in the Exchange was more robust year-on-year as total value traded expanded by 2.1 percent to ₱1.77 trillion from ₱1.74 trillion in 2018. Daily average value turnover consequently grew to ₱7.29 billion from ₱7.15 billion a year ago.

However, challenging global economic and political settings prompted foreign capital flight from the local equities market. Moreover, the decision of MSCI to raise the inclusion factor of China A-shares in its widely-followed emerging markets (EM) index led to foreign investors flocking to the Chinese equities markets at the expense of other EMs such as the Philippines.

In 2019, foreign transactions yielded net outflows worth ₱14.26 billion. This was, however, narrower than the ₱61.01 billion net outflows recorded the previous year. Foreign investors cornered 55.4 percent of total market transactions during the year.

Capital raising activities in the PSE was subdued with 16 companies raising an aggregate ₱95.25 billion worth of fresh capital in 2019, a decline of 49.3 percent from ₱187.84 billion the prior year. The weaker performance came as a result of the absence of large stock rights offerings (SROs) from domestic banks, which have accounted for a bulk of capital raised in the last two years. For 2019, fundraising from follow-on offerings took the lead as four (4) companies generated ₱43.00 billion or 45.1 percent of total capital raised. Meanwhile, two (2) banks conducted SROs which raised a cumulative ₱20.00 billion or 21.0 percent of the total. This was followed by private placements from seven (7) listed firms which contributed an aggregate value of ₱18.08 billion. The number of initial public offerings in 2019 increased to four (4) compared from only one (1) company in 2018, collectively raising ₱14.18 billion. These four (4) companies were Kepwealth Property Phils., Inc.; Axelum Resources Corp.; AllHome Corp.; and Fruitas Holdings, Inc.

FIGURE 01

2019

Offering Type	Amount (billion)
Stock Rights Offerings	P20.00
IPO (Primary Offerings)	P13.41
Private Placements	P18.08
Follow-On (Primary Offerings)	P43.00

INITIAL PUBLIC OFFERINGS IN 2019

COMPANY NAME	CODE	TYPE OF OFFERING	OFFERED SHARES	LISTING DATE	OFFER PRICE (IN PHP)	NO. OF SHARES OFFERED	OFFER PROCEEDS (IN PHP)	BOARD UPON LISTING
Kepwealth Property Phils., Inc.	KPPI	IPO	Primary	19-Aug-19	5.74	67,032,607	384,767,164.18	SME
Axelum Resources Corp.	AXLM	IPO	Primary	7-Oct-19	5.00	700,000,000	3,500,000,000.00	Main Board
			Secondary	7-Oct-19	5.00	100,000,000	500,000,000.00	Main Board
AllHome Corp.	HOME	IPO	Primary	10-Oct-19	11.50	750,000,000	8,625,000,000.00	Main Board
			Secondary	10-Oct-19	11.50	375,000,000	4,312,500,000.00	Main Board
			Secondary ¹	10-Oct-19	11.50	168,750,000	1,940,625,000.00	Main Board
Fruitas Holdings, Inc.	FRUIT	IPO	Primary	29-Nov-19	1.68	533,660,000	896,548,800.00	Main Board
			Secondary ¹	29-Nov-19	1.68	68,340,000	114,811,200.00	Main Board
TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Primary Shares)							13,406,315,964.18	
TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Secondary Shares)							6,867,936,200.00	

¹over-allotment/oversubscription

ANNUAL GROWTH OF INDICES



4.7%▲

PSEi

2.9%▲

ALL SHARES

TABLE 06

4.7%

FINANCIALS

-12.0%

INDUSTRIAL

3.4%

HOLDING FIRMS

14.5%

PROPERTY

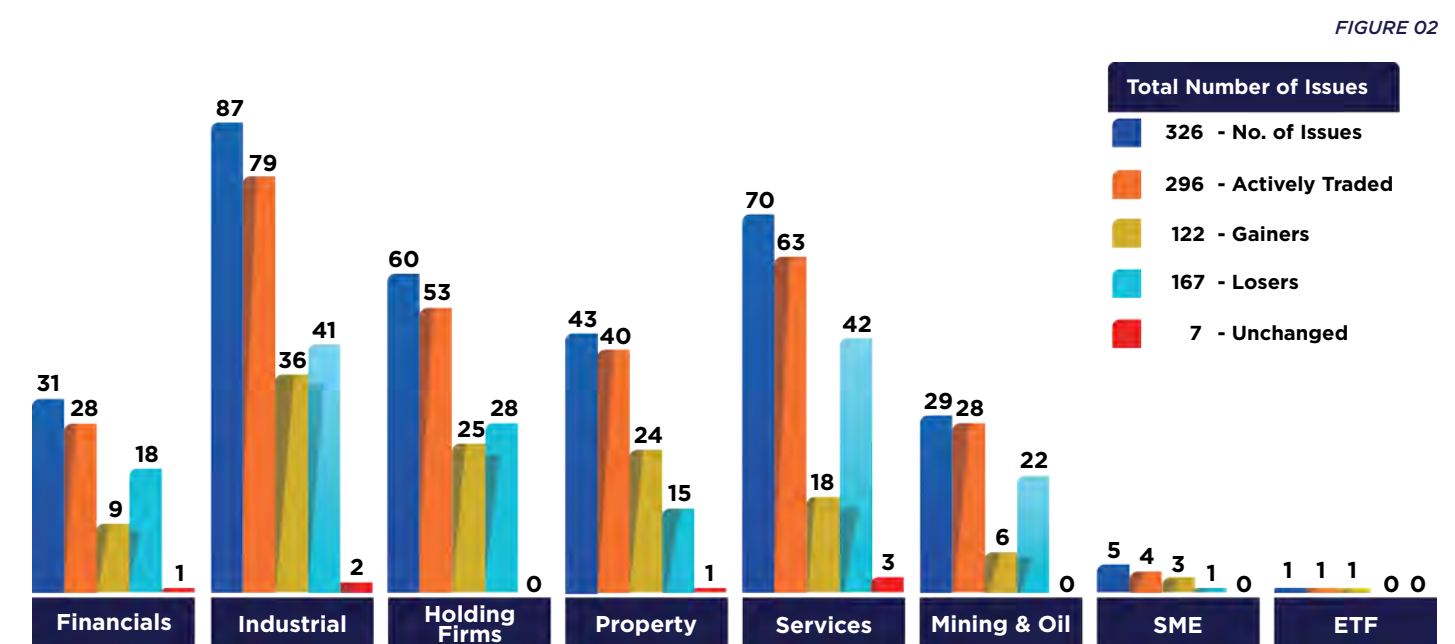
6.1%

SERVICES

-1.3%

MINING AND OIL

2019 MARKET ACTIVITY



SELECT PSE MARKET INDICATORS

TABLE 07

SELECT PSE MARKET INDICATORS	2018	2019	2019 vs 2018 % change
PSE Index (PSEi), yearend close	7,466.02	7,815.26	▲ 4.7%
Total value traded (in billion Php)	1,736.82	1,772.58	▲ 2.1%
Average daily value traded (in billion Php)	7.15	7.29	▲ 2.1%
Foreign buying (in billion Php)	860.37	975.49	▲ 13.4%
Foreign selling (in billion Php)	921.38	989.75	▲ 7.4%
Net foreign buying/(selling) (in billion Php)	(61.01)	(14.26)	▲ 76.6%
Total foreign (in billion Php)	1,781.75	1,965.24	▲ 10.3%
Share of Foreign Trading to Total Trading	51.3%	55.4%	▲ 8.1%
Capital Raised (in billion Php)	187.84	94.48	▼ -49.7%
Initial Public Offerings (in billion Php)	8.15	13.41	▲ 64.5%
Additional Listings (in billion Php)	179.69	81.08	▼ -54.9%
Market capitalization, yearend (in billion Php)	16,146.69	16,705.35	▲ 3.5%
Domestic firms (in billion Php)	13,547.24	13,950.08	▲ 3.0%
Foreign firms (in billion Php)	2,599.46	2,755.27	▲ 6.0%
No. of Listed Companies, yearend	267	268	▲ 0.4%
Domestic	264	265	▲ 0.4%
Foreign	3	3	—
No. of Listed Issues, yearend	322	326	▲ 1.2%
Domestic	317	321	▲ 1.3%
Foreign	5	5	—
Total Market			
Dividend Yield	2.20	2.24	▲ 1.7%
Price-Earnings Ratio	16.88	14.28	▼ -15.4%

DOMESTIC MARKET CAPITALIZATION & VALUE TRADED

FIGURES IN BILLION PHP

TABLE 08

DOMESTIC MARKET CAPITALIZATION						VALUE TRADED				
SECTOR/SUBSECTOR	2017	2018	2019	% change	% share	2017	2018	2019	% change	% share
Financials Sector	2,298.26	1,983.55	2,036.92	▲ 2.7%	14.6%	293.85	271.07	270.43	▼ -0.2%	15.3%
Banks	2,251.13	1,941.81	1,997.69	▲ 2.9%	14.3%	288.36	267.51	268.54	▲ 0.4%	15.1%
Other Financial Institutions	47.13	41.73	39.23	▼ -6.0%	0.3%	5.48	3.56	1.89	▼ -46.9%	0.1%
Industrial Sector	2,707.47	2,855.03	2,700.58	▼ -5.4%	19.4%	487.11	355.19	317.10	▼ -10.7%	17.9%
Electricity, Energy, Power & Water	1,232.57	1,112.61	961.67	▼ -13.6%	6.9%	228.87	97.25	96.29	▼ -1.0%	5.4%
Food, Beverage & Tobacco	1,112.84	1,460.99	1,438.85	▼ -1.5%	10.3%	167.54	199.69	174.63	▼ -12.5%	9.9%
Construction, Infrastructure & Allied Services	242.73	191.20	233.86	▲ 22.3%	1.7%	59.30	37.77	33.83	▼ -10.4%	1.9%
Chemicals	26.64	24.62	22.96	▼ -6.7%	0.2%	3.49	0.48	0.62	▲ 28.5%	0.03%
Electrical Components & Equipment	90.78	63.69	41.32	▼ -35.1%	0.3%	27.91	20.01	11.74	▼ -41.4%	0.7%
Other Industrials	1.91	1.91	1.91	-	0.01%	-	-	-	-	-
Holding Firms Sector	4,525.64	4,042.68	4,112.65	▲ 1.7%	29.5%	427.94	400.47	463.81	▲ 15.8%	26.2%
Property Sector	2,526.83	2,335.06	2,688.91	▲ 15.2%	19.3%	318.02	319.10	363.26	▲ 13.8%	20.5%
Services Sector	2,050.85	2,048.06	2,142.04	▲ 4.6%	15.4%	349.97	332.91	312.44	▼ -6.1%	17.6%
Media	57.69	43.36	37.50	▼ -13.5%	0.3%	4.92	2.11	3.15	▲ 49.4%	0.2%
Telecommunications	583.82	506.75	493.83	▼ -2.5%	3.5%	88.62	58.08	68.09	▲ 17.2%	3.8%
Information Technology	34.11	38.73	34.30	▼ -11.4%	0.2%	12.37	63.44	18.06	▼ -71.5%	1.0%
Transportation Services	560.95	481.81	537.85	▲ 11.6%	3.9%	82.58	66.23	97.22	▲ 46.8%	5.5%
Hotel & Leisure	5.98	4.79	4.46	▼ -6.8%	0.03%	5.96	2.21	1.22	▼ -44.6%	0.1%
Education	44.92	33.78	33.16	▼ -1.8%	0.2%	5.42	1.64	1.81	▲ 10.4%	0.1%
Casinos & Gaming	310.05	294.26	209.62	▼ -28.8%	1.5%	61.82	65.63	35.88	▼ -45.3%	2.0%
Retail	416.29	406.90	482.05	▲ 18.5%	3.5%	84.62	64.68	72.90	▲ 12.7%	4.1%
Other Services	37.04	237.67	309.27	▲ 30.1%	2.2%	3.63	8.89	14.11	▲ 58.6%	0.8%
Mining & Oil Sector	364.47	271.56	257.39	▼ -5.2%	1.8%	72.03	50.85	36.60	▼ -28.0%	2.1%
Mining	345.74	239.78	234.32	▼ -2.3%	1.7%	61.01	29.67	27.83	▼ -6.2%	1.6%
Oil	18.74	31.78	23.07	▼ -27.4%	0.2%	11.02	21.18	8.76	▼ -58.6%	0.5%
SME	20.66	11.31	11.59	▲ 2.5%	0.1%	8.95	6.56	8.64	▲ 31.7%	0.5%
ETF	1.43	1.54	1.67	▲ 8.3%		0.50	0.67	0.28	▼ -57.8%	0.02%
Total Market	14,494.18	13,547.24	13,950.08	▲ 3.0%	100.0%	1,958.36	1,736.82	1,772.58	▲ 2.1%	100.0%

TOP 25 PRICE GAINERS

(COMMON ISSUES)

TABLE 09

RANK	ISSUE	CODE	2019 Close (in Php)	2018 Close (in Php)	% Change
1	Holcim Philippines, Inc.	HLCM	13.60	5.80	134.48
2	ACE Enexor, Inc.	ACEX	7.32	3.37	117.21
3	Sta. Lucia Land, Inc.	SLI	2.48	1.25	98.40
4	AC Energy Philippines, Inc.	ACEPH	2.23	1.15	93.91
5	8990 Holdings, Inc.	HOUSE	14.74	8.10	81.98
6	Suntrust Home Developers, Inc.	SUN	1.23	0.74	66.22
7	Nickel Asia Corporation	NIKL	3.39	2.20	54.09
8	SPC Power Corporation	SPC	8.19	5.44	50.55
9	JG Summit Holdings, Inc.	JGS	80.80	55.70	45.06
10	Pepsi-Cola Products Philippines, Inc.	PIP	1.92	1.34	43.28
11	Vista Land & Lifescapes, Inc.	VLL	7.73	5.41	42.88
12	Wilcon Depot, Inc.	WLCON	18.00	12.60	42.86
13	Ginebra San Miguel, Inc.	GSMI	38.00	26.75	42.06
14	AbaCore Capital Holdings, Inc.	ABA	0.86	0.61	40.98
15	Century Peak Holdings Corporation	CPM	2.88	2.08	38.46
16	Robinsons Land Corporation	RLC	27.55	20.15	36.72
17	Golden Bria Holdings, Inc.	HVN	436.00	325.00	34.15
18	Asian Terminals, Inc.	ATI	18.50	13.88	33.29
19	International Container Terminal Services, Inc.	ICT	128.60	100.00	28.60
20	Century Properties Group Inc.	CPG	0.55	0.430	27.91
21	D.M. Wenceslao & Associates, Incorporated	DMW	9.90	7.80	26.92
22	AyalaLand Logistics Holdings Corp.	ALLHC	2.99	2.37	26.16
23	Security Bank Corporation	SECB	195.00	155.00	25.81
24	PTFC Redevelopment Corporation	TFC	49.95	40.00	24.88
25	SBS Philippines Corporation	SBS	9.26	7.50	23.47

TOP 25 PRICE LOSERS

(COMMON ISSUES)

TABLE 10

RANK	ISSUE	CODE	2019 Close (in Php)	2018 Close (in Php)	% Change
1	Cirtek Holdings Philippines Corporation	TECH	4.07	30.95	(86.85)
2	Harbor Star Shipping Services, Inc.	TUGS	1.07	2.95	(63.73)
3	Synergy Grid & Development Phils., Inc.	SGP	195.00	536.00	(63.62)
4	Manila Water Company, Inc.	MWC	10.36	28.25	(63.33)
5	Asiabest Group International Inc.	ABG	10.46	26.00	(59.77)
6	MRC Allied, Inc.	MRC	0.191	0.450	(57.56)
7	Metro Alliance Holdings & Equities Corporation "B"	MAHB	1.00	2.27	(55.95)
8	Xurpas Inc.	X	0.77	1.72	(55.23)
9	Metro Alliance Holdings & Equities Corporation "A"	MAH	0.99	2.09	(52.63)
10	Alliance Select Foods International, Inc.	FOOD	0.51	1.06	(51.89)
11	Pacific Online Systems Corporation	LOTO	2.50	5.00	(49.95)
12	Petron Corporation	PCOR	3.86	7.71	(49.94)
13	DMCI Holdings, Inc.	DMC	6.61	12.78	(48.28)
14	Easycall Communications Philippines, Inc.	ECP	7.79	14.92	(47.79)
15	Vulcan Industrial & Mining Corporation	VUL	0.86	1.60	(46.25)
16	Philippine Infradev Holdings Inc.	IRC	1.25	2.25	(44.44)
17	Axelum Resources Corp.	AXLM	2.61	4.69	(44.35)
18	PXP Energy Corporation	PXP	8.64	15.20	(43.16)
19	ISM Communications Corporation	ISM	3.44	6.03	(42.95)
20	Jackstones, Inc.	JAS	2.00	3.39	(41.00)
21	Primex Corporation	PRMX	2.09	3.54	(40.96)
22	Apex Mining Co., Inc.	APX	0.99	1.67	(40.72)
23	SFA Semicon Philippines Corporation	SSP	0.85	1.41	(39.72)
24	Vitarich Corporation	VITA	1.20	1.99	(39.70)
25	Transpacific Broadband Group International, Inc.	TBGI	0.270	0.440	(38.64)

TOP 25 COMPANIES BY VALUE TRADED

(REGULAR MARKET)

TABLE 11

RANK	COMPANY NAME	CODE	VALUE TRADED (IN PHP)
1	Ayala Land, Inc.	ALI	131,790,883,379
2	Ayala Corporation	AC	90,580,002,155
3	SM Prime Holdings, Inc.	SMPH	88,478,924,470
4	SM Investments Corporation	SM	86,882,315,503
5	BDO Unibank, Inc.	BDO	76,602,199,595
6	International Container Terminal Services, Inc.	ICT	67,166,799,438
7	Jollibee Foods Corporation	JFC	58,028,767,785
8	Bank of the Philippine Islands	BPI	54,965,482,886
9	Metropolitan Bank & Trust Company	MBT	49,506,747,011
10	Universal Robina Corporation	URC	42,789,701,317
11	PLDT Inc.	TEL	36,814,740,765
12	Alliance Global Group, Inc.	AGI	35,380,439,516
13	JG Summit Holdings, Inc.	JGS	35,014,565,467
14	Metro Pacific Investments Corporation	MPI	31,562,690,738
15	Megaworld Corporation	MEG	31,204,144,227
16	GT Capital Holdings, Inc.	GTCAP	24,796,843,513
17	Security Bank Corporation	SECB	23,826,132,359
18	Globe Telecom, Inc.	GLO	22,707,150,625
19	DMCI Holdings, Inc.	DMC	20,703,789,968
20	Bloomberry Resorts Corporation	BLOOM	19,542,812,687
21	Aboitiz Equity Ventures, Inc.	AEV	19,122,905,758
22	Manila Electric Company	MER	18,340,053,408
23	San Miguel Corporation	SMC	17,961,771,717
24	Puregold Price Club, Inc.	PGOLD	15,774,060,300
25	Robinsons Land Corporation	RLC	14,988,832,740

TOP 25 COMPANIES BY MARKET CAPITALIZATION

(COMMON SHARES)

TABLE 12

RANK	COMPANY NAME	CODE	MARKET CAPITALIZATION (IN PHP)
1	Manulife Financial Corporation	MFC	1,657,811,493,186.00
2	SM Investments Corporation	SM	1,256,379,930,281.00
3	SM Prime Holdings, Inc.	SMPH	1,215,815,654,317.40
4	Sun Life Financial Inc.	SLF	1,072,644,062,075.00
5	BDO Unibank, Inc.	BDO	692,238,184,772.00
6	Ayala Land, Inc.	ALI	669,758,275,595.50
7	JG Summit Holdings, Inc.	JGS	578,757,605,885.60
8	San Miguel Food and Beverage, Inc.	FB	502,283,707,650.00
9	Ayala Corporation	AC	492,252,331,954.50
10	Bank of the Philippine Islands	BPI	396,169,003,754.40
11	San Miguel Corporation	SMC	390,078,096,392.00
12	Manila Electric Company	MER	357,290,289,485.00
13	Universal Robina Corporation	URC	319,603,470,860.00
14	Metropolitan Bank & Trust Company	MBT	298,178,651,296.50
15	Aboitiz Equity Ventures, Inc.	AEV	290,088,816,685.50
16	Golden Bria Holdings, Inc.	HVN	280,835,294,964.00
17	Globe Telecom, Inc.	GLO	269,080,982,140.00
18	International Container Terminal Services, Inc.	ICT	257,276,980,988.80
19	Aboitiz Power Corporation	AP	251,664,267,299.40
20	Jollibee Foods Corporation	JFC	236,974,664,880.00
21	PLDT Inc.	TEL	213,463,105,700.00
22	GT Capital Holdings, Inc.	GTCAP	182,346,045,189.00
23	Security Bank Corporation	SECB	146,940,082,965.00
24	Robinsons Land Corporation	RLC	143,090,035,371.75
25	Philippine Trust Company	PTC	130,000,000,000.00

PSEi RECOMPOSITION

The Exchange reviews composition of its indices semi-annually.

TABLE 13

As of 2019

Company	Code
1 Ayala Corporation	AC
2 Aboitiz Equity Ventures, Inc.	AEV
3 Alliance Global Group, Inc.	AGI
4 Ayala Land, Inc.	ALI
5 Aboitiz Power Corporation	AP
6 BDO Unibank, Inc.	BDO
7 Bloomberry Resorts Corporation*	BLOOM
8 Bank of the Philippine Islands	BPI
9 DMCI Holdings, Inc.	DMC
10 First Gen Corporation	FGEN
11 Globe Telecom, Inc.	GLO
12 GT Capital Holdings, Inc.	GTCAP
13 International Container Terminal Services, Inc.	ICT
14 Jollibee Foods Corporation	JFC
15 JG Summit Holdings, Inc.	JGS
16 LT Group, Inc.	LTG
17 Metropolitan Bank & Trust Company	MBT
18 Megaworld Corporation	MEG
19 Manila Electric Company	MER
20 Metro Pacific Investments Corporation	MPI
21 Puregold Price Club, Inc.	PGOLD
22 Robinsons Land Corporation	RLC
23 Robinsons Retail Holdings, Inc.	RRHI
24 Semirara Mining and Power Corporation	SCC
25 Security Bank Corporation	SECB
26 SM Investments Corporation	SM
27 San Miguel Corporation	SMC
28 SM Prime Holdings, Inc.	SMPH
29 PLDT Inc.	TEL
30 Universal Robina Corporation	URC

*Added on 18 February 2019



STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The management of The Philippine Stock Exchange, Inc. and Subsidiaries (PSE Group) is responsible for the preparation and fair presentation of the financial statements including the schedules attached herein, for the years 2019 and 2018 ended December 31, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the (PSE Group) or to cease operations, or has no realistic alternative to do so.

The Board of Directors is responsible for overseeing the (PSE Group)'s financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

SyCip Gorres Velayo & Co. (SGV & Co.), the independent auditors appointed by the stockholders, have audited the financial statements of the (PSE Group) in accordance with Philippine Standards on Auditing and in its report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit.

JOSE T. PARDO
Chairman

RAMON S. MONZON
President & Chief Executive
Officer

OMELITA J. TIANGCO
Treasurer

REPUBLIC OF THE PHILIPPINES
CITY OF MAKATI CITY

SUBSCRIBED AND SWORN to before me this JUN 02 2020 day of 2020 at MAKATI CITY presented to me the following competent evidence of their identity:

NAME	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE
JOSE T. PARDO	Passport No. P1032165A	28 November 2021 - Manila
RAMON S. MONZON	Passport No. P1152156B	22 March 2029 - Manila
OMELITA J. TIANGCO	Passport No. P834797OA	14 August 2028 - Manila

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Book No. 20011
Series of 2020.

ATTY. REI ALESSANDRO L. DIAZ
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PTR No. 4329305 01/02/2020 Mandaluyong City
IBP Lifetime No. 074647
ROLL No. 65690
Appointment No. M-141
Commission Expires On 12-31-20
MCLE Compliance No. V-0004882
PSE Tower, 5th Avenue Corner 24th Street, Bonifacio Global City, Taguig City 1634
Tel. No.: 8632 876 4888 Website: <http://www.pse.com.ph>

The Philippine Stock Exchange, Inc. and Subsidiaries

Consolidated Financial Statements
December 31, 2019 and 2018 and
Years Ended December 31, 2019, 2018 and 2017

and

Independent Auditor's Report

INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2019 and 2018, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2019, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2019 and 2018, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2019 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Group is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Exchange continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. This IT environment is key to the Exchange's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We have involved our internal specialist in obtaining an understanding of the Exchange's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also performed walkthrough and testing of the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

A member firm of Ernst & Young Global Limited



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Fax: (632) 8819 0872
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BOA/PRC Reg. No. 0001,
October 4, 2018, valid until August 24, 2021
SEC Accreditation No. 0012-FR-5 (Group A),
November 6, 2018, valid until November 5, 2021

Adoption of PFRS 15, Revenue Contracts with Customers on Revenue from Listing Fees

Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees under the modified retrospective approach. In order to adopt the requirements of PFRS 15 on revenue from listing fees, management undertook a process to identify customer contracts relating to the listing services provided by the Exchange. The key areas of judgement and estimates for the Exchange in adopting PFRS 15 on revenue from listing fees is in relation to the identification of performance obligation, the estimation of service period for listing services, and the determination of the timing of when the performance obligation is satisfied. Accordingly, we considered the Exchange's adoption of PFRS 15 on revenue from listing fees as a key audit matter.

Refer to Notes 2 and 3 to the consolidated financial statements for the details of the adoption of PFRS 15 on listing fees.

Audit Response

We obtained an understanding of the Exchange's process of implementing PFRS 15 on listing fees, including the changes in the Exchange's systems, processes and controls. We reviewed the PFRS 15 adoption documentation and accounting policies on listing fees prepared by management and contract analysis. On a sample basis, we reviewed contracts and checked the identification of the performance obligations. We obtained an understanding and tested the model used to calculate the period over which revenue is deferred and subsequently amortized including the various inputs to the model such as average life of a listed entity admitted to the exchange and hours spent on the relevant activities of the departments performing the listing service. We also performed test computations of transition adjustments and reviewed the disclosures on the adoption of PFRS 15 on listing fees in notes to the consolidated financial statements.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2019, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2019 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

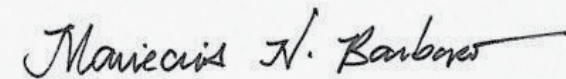
We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ms. Mariecris N. Barbato.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barbato
Partner
CPA Certificate No. 97101
SEC Accreditation No. 1513-AR-1 (Group A),
November 16, 2018, valid until November 15, 2021
Tax Identification No. 202-065-716
BIR Accreditation No. 08-001998-108-2018,
February 14, 2018, valid until February 13, 2021
PTR No. 8116727, January 2, 2020, Makati City

February 26, 2020

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THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2019	2018
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	₱3,126,031,143	₱3,868,149,919
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	290,953,477	259,808,893
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	79,721,181	9,952,565
Receivables (Notes 5, 6 and 10)	81,549,026	99,383,655
Other current assets (Note 11)	54,513,233	50,110,966
Total Current Assets	3,632,768,060	4,287,405,998
Noncurrent Assets		
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	549,349,005	466,248,005
Property and equipment (Note 12)	1,246,554,610	1,497,375,096
Right-of-use assets (Note 26)	71,062,814	-
Investment property (Note 13)	140,311,984	-
Investment in an associate (Note 14)	267,936,035	273,036,089
Deferred tax assets - net (Note 27)	286,818,612	366,047
Pension asset (Note 28)	34,532,611	49,788,768
Other noncurrent assets (Notes 5 and 15)	60,053,157	49,273,340
Total Noncurrent Assets	2,656,618,828	2,336,087,345
	₱6,289,386,888	₱6,623,493,343
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 16)	₱358,294,220	₱244,746,692
Current portion of contract liabilities (Note 17)	188,511,980	12,002,103
Income tax payable	74,988,223	93,901,670
Current portion of lease liabilities (Notes 5 and 26)	17,967,558	-
Deferred fees and others (Note 17)	785,007	30,483,028
Provision (Note 32)	-	20,000,000
Total Current Liabilities	640,546,988	401,133,493
Noncurrent Liabilities		
Contract liabilities - net of current portion (Note 17)	755,310,377	239,658
Lease liabilities - net of current portion (Notes 5 and 26)	55,487,835	-
Pension liability and others (Note 28)	20,709,108	11,728,753
Deferred tax liabilities - net (Note 27)	-	3,022,100
Total Noncurrent Liabilities	831,507,320	14,990,511
Total Liabilities	1,472,054,308	416,124,004
EQUITY		
Capital stock (Notes 1, 19 and 33)	85,017,659	85,003,850
Additional paid-in capital (Notes 1, 19 and 33)	3,895,526,513	3,891,433,938
Subscribed capital stock - net of subscription receivable (Notes 19 and 33)	5,901,304	3,947,219
Treasury stock (Note 19)	(652,740,643)	(68,000,006)
Retained earnings:		
Unappropriated (Note 19)	1,143,520,092	1,751,863,349
Appropriated (Note 19)	121,000,000	121,000,000
Donated capital (Note 18)	211,597,831	447,287,985
Net unrealized (gain) loss on financial assets at FVOCI (Note 9)	9,188,881	(48,706,567)
Remeasurement gains on pension benefits and others - net	54,971	23,539,571
Total Equity Attributable to Equity Holders of the Parent Company	4,819,066,608	6,207,369,339
Non-controlling interest	(1,734,028)	-
Total Equity	4,817,332,580	6,207,369,339
	₱6,289,386,888	₱6,623,493,343

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2019	2018	2017
REVENUES (Note 20)	₱1,290,949,022	₱1,596,207,481	₱1,225,518,524
COST AND EXPENSES			
Cost of services (Note 22)	280,845,554	304,314,046	246,511,522
General and administrative (Note 23)	444,159,283	457,719,388	346,347,254
	725,004,837	762,033,434	592,858,776
OPERATING INCOME	565,944,185	834,174,047	632,659,748
OTHER INCOME (EXPENSES)			
Interest income (Note 21)	216,941,934	139,298,642	37,166,329
Equity in net income of an associate (Note 14)	84,467,273	38,860,417	53,604,469
Mark-to-market gain (loss) on FVTPL (Note 8)	11,218,657	(37,018,077)	59,762,708
Interest expense (Note 26)	(4,806,013)	-	-
Dividend income (Note 8)	4,786,569	4,330,027	4,670,140
Gain (loss) on sale of property and equipment (Note 12)	202,132	1,251,639	(107,416)
Gain on sale of investment property	-	-	252,627,252
Write-off of nonfinancial assets	-	-	(1,928,081)
Others - net (Note 10)	(2,035,448)	1,616,794	136,118
	310,775,104	148,339,442	405,931,519
INCOME BEFORE INCOME TAX	876,719,289	982,513,489	1,038,591,267
PROVISIONS FOR INCOME TAX (Note 27)	197,428,154	255,407,585	210,505,777
NET INCOME	679,291,135	727,105,904	828,085,490
OTHER COMPREHENSIVE (LOSS) INCOME			
Item to be reclassified to profit or loss in subsequent periods:			
Change in the fair value of financial assets at FVOCI (Note 9)	57,895,448	(30,138,657)	-
Change in the fair value of available-for-sale investments (AFS) - net of tax (Note 9)	-	-	(9,599,411)
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gains (loss) on pension benefits - net (Note 28)	(28,327,273)	9,595,330	5,276,984
Share in remeasurement gain on pension benefits of an associate (Note 14)	4,842,673	851,397	2,871,478
	(23,484,600)	10,446,727	8,148,462
	34,410,848	(19,691,930)	(1,450,949)
TOTAL COMPREHENSIVE INCOME	₱713,701,983	₱707,413,974	₱826,634,541
Net Income Attributable to:			
Equity holders of the Parent Company	₱681,125,163	₱727,105,904	₱828,085,490
Non-controlling interests	(1,834,028)	-	-
	₱679,291,135	₱727,105,904	₱828,085,490
Total Comprehensive Income Attributable to:			
Equity holders of the Parent Company	₱715,536,011	₱707,413,974	₱826,634,541
Non-controlling interests	(1,834,028)	-	-
	₱713,701,983	₱707,413,974	₱826,634,541
Basic Earnings Per Share (Note 29)	₱8.33	₱8.86	₱11.28
Diluted Earnings Per Share (Note 29)	₱8.31	₱8.84	₱11.26

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Equity Attributable to Equity Holders of the Parent Company										
	Capital Stock (Notes 1, 19 and 33)	Additional Paid- in Capital (Notes 1, 19 and 33)	Subscribed Capital Stock - net of Subscription Receivable (Notes 19 and 33)	Retained Earnings			Net Unrealized Gain (Loss) on Financial Assets at FVOCI/ AFS Investments (Note 9)	Remeasurement Gains (Losses) on Pension Benefits and others - net (Notes 14 and 28)	Non-controlling Interest	Total Equity	
				Treasury Stock (Note 19)	Unappropriated (Note 19)	Appropriated (Note 19)					Donated Capital (Note 18)
Balances as at January 1, 2019, as previously reported	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,947,219
Effect of adoption of new standards and other adjustments (Notes 2, 12 and 13)	-	-	-	-	-	-	-	-	-	-	-
Balances as at January 1, 2019, as adjusted	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,947,219
Net income	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Employee stock purchase plan	13,809	4,092,575	(4,136,517)	-	-	-	-	-	-	-	-
Subscription receivable	-	-	6,090,602	-	-	-	-	-	-	-	-
Cash dividends	-	-	-	-	-	-	-	-	-	-	-
Reclassification of donated capital	-	-	-	-	-	-	-	-	-	-	-
Acquisition of treasury stock	-	-	-	-	-	-	-	-	-	-	-
Subscription of capital stock attributable to minority interest	-	-	-	-	-	-	-	-	-	-	-
Balances as at December 31, 2019	85,017,659	3,895,526,513	5,901,304	85,017,659	3,895,526,513	5,901,304	85,017,659	3,895,526,513	5,901,304	85,017,659	5,901,304
Balances as at January 1, 2018	73,480,413	1,072,514,796	5,374,731	73,480,413	1,072,514,796	5,374,731	73,480,413	1,072,514,796	5,374,731	73,480,413	5,374,731
Net income	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Employee stock purchase plan	23,437	5,769,858	5,983,718	-	-	-	-	-	-	-	-
Subscription receivable	-	-	(7,411,230)	-	-	-	-	-	-	-	-
Cash dividends	-	-	-	-	-	-	-	-	-	-	-
Reclassification of donated capital	-	-	-	-	-	-	-	-	-	-	-
Stock rights offering	11,500,000	2,813,149,284	-	-	-	-	-	-	-	-	-
Adjustments	-	-	-	-	-	-	-	-	-	-	-
Balances as at December 31, 2018	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,891,433,938	3,947,219	85,003,850	3,947,219
Balances as at January 1, 2017	73,480,413	1,072,120,935	2,532,662	73,480,413	1,072,120,935	2,532,662	73,480,413	1,072,120,935	2,532,662	73,480,413	2,532,662
Net income	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income (loss)	-	-	-	-	-	-	-	-	-	-	-
Employee stock purchase plan	-	-	1,677,865	-	-	-	-	-	-	-	-
Subscription receivable	-	393,861	1,164,204	-	-	-	-	-	-	-	-
Cash dividends	-	-	-	-	-	-	-	-	-	-	-
Adjustments	-	-	-	-	-	-	-	-	-	-	-
Balances as at December 31, 2017	73,480,413	1,072,514,796	5,374,731	73,480,413	1,072,514,796	5,374,731	73,480,413	1,072,514,796	5,374,731	73,480,413	5,374,731
See accompanying Notes to Consolidated Financial Statements											

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2019	2018	2017
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	P876,719,289	P982,513,489	P1,038,591,267
Adjustments for:			
Interest income (Note 21)	(216,941,934)	(139,298,642)	(37,166,329)
Depreciation (Notes 12, 15, 22, 23 and 26)	180,044,687	150,492,584	85,611,871
Equity in net income of an associate (Note 14)	(84,467,273)	(38,860,417)	(53,604,469)
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	(11,218,657)	37,018,077	(59,762,708)
Interest expense	4,806,013	-	-
Net movements in pension (Note 28)	4,788,047	10,685,417	10,462,602
Dividend income (Note 8)	(4,786,569)	(4,330,027)	(4,670,140)
Amortization of debt premium (Note 9)	1,573,267	1,530,267	1,451,224
Unrealized foreign exchange losses (gains) - net	1,508,012	(988,027)	(74,251)
Share-based payment expense (Note 33)	989,088	327,563	393,861
Loss (gain) on sale of property and equipment (Note 12)	(202,132)	(1,251,639)	107,416
Amortization of computer software (Note 15)	52,822	1,730,665	5,086,352
Provision (Note 32)	-	20,000,000	1,140,000
Recovery of receivables (Note 10)	-	(150,000)	(25,760)
Gain on sale of investment property	-	-	(252,627,252)
Write-off of nonfinancial asset	-	-	1,928,081
Provision for decline in value of equity securities	-	-	100,000
Income before working capital changes	752,864,660	1,019,419,310	736,941,765
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	849,140	(6,938,116)	23,424,760
Other current assets	(4,452,581)	32,147,262	(44,175,315)
Increase (decrease) in:			
Accounts payable and other current liabilities	(2,001,875)	(113,556,347)	16,207,575
Contract liabilities	(716,810)	12,241,761	-
Deferred fees and others	(29,698,020)	9,590,103	(75,825,209)
Cash generated from operations	716,844,514	952,903,973	656,573,576
Income taxes paid	(215,496,303)	(172,382,472)	(249,208,789)
Interest received	221,448,108	130,084,218	37,011,236
Benefits paid out of the Parent Company's funds	-	(476,012)	(142,985)
Net cash provided by operating activities	722,796,319	910,129,707	444,233,038
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 14)	111,622,969	109,123,573	78,110,724
Acquisitions of/additions to:			
Financial assets at FVOCI (Note 9)	(116,500,000)	-	-
Property and equipment (Note 12)	(81,090,240)	(148,803,553)	(293,965,780)
Financial assets at FVTPL (Note 8)	(19,925,927)	-	(28,338,570)
Computer software	(6,371,937)	-	-
Proceeds from maturities/withdrawal/sale/redemption of:			
Financial assets at FVOCI (Note 9)	20,159,265	5,046,881	-
Property and equipment (Note 12)	2,398,029	1,280,892	2,293,193
Financial assets at FVTPL	-	31,834,018	-
Investment property	-	-	233,691,812
Contribution on retirement fund (Note 28)	(22,077,027)	(20,087,055)	-
Decrease (increase) in other noncurrent assets	(4,554,184)	(880,165)	27,842,800
Net cash provided by (used in) investing activities	(116,339,052)	(22,485,409)	44,634,179
CASH FLOWS FROM FINANCING ACTIVITIES (Note 35)			
Dividend payments (Note 19)	(747,998,266)	(660,831,111)	(513,917,404)
Acquisition of treasury stock (Note 19)	(584,740,637)	-	-
Payments of lease liabilities (Note 26)	(19,346,724)	-	-
Share-based payment transactions	4,917,596	4,038,220	2,842,069
Proceeds from initial subscription of capital stock attributable to non-controlling interest	100,000	-	-
Issuance of additional shares (Note 19)	-	2,897,999,600	-
Payment of stock rights offering related expenses	-	(73,350,316)	-
Net cash provided by (used in) financing activities	(1,347,068,031)	2,167,856,393	(511,075,335)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(740,610,764)	3,055,500,691	(22,208,118)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(1,508,012)	988,027	74,251
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	3,868,149,919	811,661,201	833,795,068
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	P3,126,031,143	P3,868,149,919	P811,661,201

See accompanying Notes to Consolidated Financial Statements.

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments as defined under the Securities Regulation Code (SRC).

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.80 million divided into 36,800,000 shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 or SRC and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 19). Gross proceeds from the private placement offering amounted to ₱726.26 million, inclusive of additional paid-in capital of ₱720.18 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.10 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61,000,000 shares. The total number of shares issued in 2008 was 15,177,499 shares (see Note 19).

The total number of shares issued in 2011 was 30,504,363 shares (see Note 19).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22,200,000 shares. The total number of shares issued in 2013 was 12,221,680 shares (see Note 19).

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11,500,000 common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 19).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On May 4, 2019, the stockholders of the Exchange approved the amendments of the Exchange's articles of incorporation to: (a) include in the secondary purposes, the right to lease, exchange mortgage and to exercise all other rights of ownership over its properties and (b) to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share. On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation (see Note 19).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

Premier Software Enterprise, Inc. (Premier), an 80% owned subsidiary of the Exchange, is a domestic stock corporation organized on May 16, 2019 to engage in the business of manufacturing, distribution, sales and marketing of all kinds of technology related products and services such as computer hardware, software, internet service providing, voice and data network integration, packet or cell switching technologies, circuit switching technology, information software services, product designing and other information technology applications and services, except telecommunications business.

The registered office address of the Parent Company is 6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.

The accompanying consolidated financial statements were authorized for issuance by the Parent Company's BOD on February 26, 2020.

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous period.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with PFRS, which include the availment of a one-year relief granted by the SEC in 2018 in its letter dated February 18, 2019 approved in a meeting held by the Commission en banc last February 14, 2019, as discussed in Note 2 to the financial statements, page 7.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2019 and for each of the three years in the period ended December 31, 2019. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Parent Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements include the accounts of the Parent Company and the following subsidiaries:

Subsidiaries	Principal Activities	Direct Ownership	
		2019	2018
SCCP	Clearing agency	100.00%	100.00%
CMIC	Audit and surveillance unit	100.00%	100.00%
Premier	Software and IT services	80.00%	-

The principal place of business and country of incorporation of the Parent Company's subsidiaries is the Philippines. The following significant transactions affected the Parent Company's investment in its subsidiaries.

Investment in SCCP

On October 1, 2019, the Parent Company paid its outstanding subscription payable to SCCP amounting to ₱50.00 million. On October 29, 2019, the Parent Company infused additional capital to SCCP amounting to ₱200.00 million. The additional capital will partially fund SCCP's purchase of a new clearing and settlement system.

Investment in Premier

On January 23, 2019, the BOD of the Parent Company approved the incorporation of Premier for the purpose of providing information technology services and developing software solutions with an authorized capital stock of ₱100.00 million out of which ₱50.00 million will be subscribed and paid up.

On April 4, 2019, the Parent Company signed a shareholder's Agreement with the other stockholder of Premier that sets forth the terms and conditions that will govern their relationship with respect to the management and operation of Premier. Under the agreement, the Parent Company has 80% ownership interest in Premier. In various dates in 2019, the Parent Company paid its subscription to Premier totaling to ₱22.00 million.

On May 16, 2019, the SEC approved the incorporation of Premier. On December 26, 2019, Premier obtained its certificate of registration with the Bureau of Internal Revenue.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the new and amended standards and Philippine Interpretations which were applied starting January 1, 2019. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Except as otherwise indicated, the adoption of the following new and amended standards and interpretations did not have any significant impact on the Group's consolidated financial statements:

- PFRS 15, *Revenue from Contracts with Customers*

PFRS 15 supersedes Philippine Accounting Standards (PAS) 11, *Construction Contracts*, PAS 18, *Revenue* and related interpretations and it applies, with limited exceptions, to all revenue arising from contracts with customers. PFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. The five-step model is as follows:

1. Identify the contract with a customer;
2. Identify the performance obligations in the contract;
3. Determine the transaction price;
4. Allocate the transaction price to the performance obligations in the contract; and
5. Recognize revenue as the entity satisfies a performance obligation.

PFRS 15 requires that revenue be recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

PFRS 15 requires entities to exercise judgment, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with the customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, PFRS 15 requires extensive disclosures.

Adoption of PFRS 15 on Revenue from Listing Fees

Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees, under the modified retrospective approach. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contracts that are not completed at this date. The Exchange elected to apply the method only to those contracts that are not completed as at January 1, 2019.

The cumulative effect of initially applying PFRS 15 is recognized at the date of initial application as an adjustment to the retained earnings as at January 1, 2019. Therefore, the comparative information was not restated and continues to be reported under PAS 11, PAS 18 and related interpretations.

The effects of adopting PFRS 15 on revenue from listing fees as at January 1, 2019, is as follows:

Consolidated Statement of Financial Position	Increase (Decrease)
Retained earnings	(₱652.61 million)
Contract liabilities - current	175.76 million
Contract liabilities - non-current	756.53 million
Deferred listing fees - current	(23.73 million)
Deferred tax assets	279.69 million

The Exchange recognized its revenue from listing fees over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. Before the adoption of PFRS 15, revenue from listing fees was recognized upon listing. Refer to Note 3 for the accounting policy prior to January 1, 2019.

Set out below are the amounts by which each financial statement line item is affected as at and for the year ended December 31, 2019 as a result of the adoption of PFRS 15 on listing fees.

The adoption of PFRS 15 on listing fees did not have a material impact on the Group's OCI. The first column shows amounts prepared under PFRS 15 and the second column shows what the amounts would have been had PFRS 15 not been adopted:

Consolidated statement of profit or loss for the year ended December 31, 2019

	Amounts prepared under		
	PFRS 15	PAS 18	Increase/ (Decrease)
Initial and additional listing fees	₱330,863,391	₱246,013,239	₱84,850,152
Revenues	1,290,949,022	1,206,098,870	84,850,152
Cost and expenses	725,004,837	725,004,837	-
Other income	310,775,104	310,775,104	-
Income before income tax	876,719,289	791,869,137	84,850,152
Provisions for income tax - net	197,428,154	171,973,108	25,455,046
Net income	₱679,291,135	₱619,896,029	₱59,395,106
Net Income Attributable to:			
Equity holders of the Parent Company	₱681,125,163	₱621,730,057	₱59,395,106
Non-controlling interests	(1,834,028)	(1,834,028)	-
Basic Earnings Per Share	₱8.33	₱7.60	₱0.73
Diluted Earnings Per Share	8.31	7.59	0.72

Consolidated statement of financial position as at December 31, 2019

	Amounts prepared under		Increase/ (Decrease)
	PFRS 15	PAS 18	
ASSETS			
Total Current Assets	P3,632,768,060	P3,632,768,060	P-
Deferred tax assets - net	286,818,612	32,584,436	254,234,176
Total Noncurrent Assets	2,656,618,828	2,402,384,652	254,234,176
Total Assets	6,289,386,888	6,035,152,712	254,234,176
Current portion of contract liabilities	188,511,980	-	188,511,980
Deferred fees and others	785,007	52,960,427	(52,175,420)
Total Current Liabilities	640,546,988	504,210,428	136,336,560
Contract liabilities - net of current portion	755,310,377	-	755,310,377
Deferred fees	-	44,199,682	(44,199,682)
Total Noncurrent Liabilities	831,507,320	120,396,625	711,110,695
Total Liabilities	1,472,054,308	624,607,053	847,447,255
Equity			
Retained earnings	1,476,117,923	2,069,331,002	(593,213,079)
Total Equity Attributable to Equity Holders of the Parent Company	4,819,066,608	5,412,279,687	(593,213,079)
Non-controlling interest	(1,734,028)	(1,734,028)	-
Total Equity	4,817,332,580	5,410,545,659	(593,213,079)
Total Liabilities and Equity	P6,289,386,888	P6,035,152,712	P254,234,176

Deferral of the Application of PFRS 15 on Revenue from Listing Fees

In September 2018, the International Financial Reporting Standards (IFRS) Interpretations Committee received a submission about whether a stock exchange (entity) provides an admission service that is distinct from an ongoing listing service. The submission was finalized by the IFRS Interpretations Committee on January 16, 2019 and it was concluded that a stock exchange entity does not promise to transfer any good or service to the customer other than the service of being listed in the stock exchange. In other words, the entity transfers only one service to the customer and accordingly there is one performance obligation in the contract.

In a letter dated February 18, 2019, the SEC provided a reply that refers to the Exchange's letter dated February 7, 2019 requesting for a deferral of the application of PFRS 15 on listing fees. Under the said reply letter, the Commission en banc, in its meeting held on February 14, 2019, resolved to approve the request of the Exchange subject to the following conditions:

- The deferral will only be applicable to the Exchange and is valid only for a period of one (1) year. Effective January 1, 2019, the Group is required to fully comply with the requirements of PFRS 15 and any subsequent amendments thereof, retrospectively.
- The deferral of application of the requirements of PFRS 15 should only be applied to the listing fee:
 - Assess the goods or services promised in a contract with a customer and to identify each promise to transfer a good or service as a performance obligation;
 - Determine the transaction price of the contract;
 - Allocate the transaction price to each performance obligation (or distinct good or service) on the basis of the relative stand-alone selling prices of each distinct good or service promised in the contract; and
 - Recognize revenue when a performance obligation is satisfied by transferring promised good or service to a customer (which is when the customer obtains control of that good or service).
- The Exchange is required to disclose in the notes to the financial statements the accounting policies applied, a discussion of the deferral of the subject implementation issues, and a qualitative discussion of the impact in the financial statements had the concerned application guideline been adopted.

The SEC believes that the period of deferral will allow the Exchange to take the necessary steps to resolve implementation issues in the application of PFRS 15. In this regard, the SEC recommends that the following actions be undertaken to resolve the implementation issues encountered by the Exchange:

- Determine how other jurisdictions similarly situated (e.g., Malaysia and Hong Kong) have complied with the requirement of the standard;
- Coordinate with the affected exchanges to pursue collective representation to IFRS Interpretations Committee by raising new issues to warrant a favorable interpretation or ruling; and
- Coordinate with Financial Reporting Standards Council and Philippine Interpretations Committee to comply with the requirements of the standard.

In 2018, the Exchange availed of the deferral of the above specific requirements in the revenue recognition of its revenue from listing fees. Had these requirements been adopted, the Group is required to recognize its revenue from its listing fees overtime. It would have decreased retained earnings and increased contract liability and deferred tax assets as at January 1, 2018 and December 31, 2018, and decreased revenue from listing fees for 2018.

PFRS 16, Leases

PFRS 16 supersedes PAS 17, *Leases*, Philippine Interpretation IFRIC 4, *Determining whether an Arrangement contains a Lease*, Philippine Interpretation SIC-15, *Operating Leases-Incentives* and Philippine Interpretation SIC-27, *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognize most leases on the balance sheet.

Lessor accounting under PFRS 16 is substantially unchanged from today's accounting under PAS 17. Lessors will continue to classify all leases using the same classification principle as in PAS 17 and distinguish between two types of leases: operating and finance leases. Therefore, PFRS 16 did not have an impact for leases where the Group is the lessor.

The Group adopted PFRS 16 using the modified retrospective approach upon adoption of PFRS 16 in 2019 and elects to apply the standard to contracts that were previously identified as leases applying PAS 17 and Philippine Interpretation IFRIC-4. The Group will therefore not apply the standard to contracts that were not previously identified as containing a lease applying PAS 17 and Philippine Interpretation IFRIC-4.

The effect of adoption PFRS 16 as at January 1, 2019 is as follows:

Consolidated Statement of Financial Position	Increase
Right-of-use assets	P74,259,768
Deferred tax assets	22,277,930
Lease liabilities	74,259,768
Deferred tax liabilities	22,277,930

The Group has various lease commitments, as a lessee, for data recovery sites and office space which were accounted for as operating leases under PAS 17. Before the adoption of PFRS 16, the Group classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease. Refer to Note 3 for the accounting policy prior to January 1, 2019.

Leases previously accounted for as operating leases

The Group recognized right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets were recognized based on the amount equal to the lease liabilities, adjusted for any related prepaid and accrued lease payments previously recognized. Lease liabilities were recognized based on the present value of the remaining lease payments, discounted using the incremental borrowing rate (IBR) at the date of initial application.

The Group also applied the available practical expedients wherein it applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application.

Based on the above, as at January 1, 2019:

- Right-of-use assets of P74.26 million were recognized separately in the statement of financial position.
- Lease liabilities of P74.26 million were recognized.
- Deferred tax assets and liabilities increased by P22.28 million because of the deferred tax impact of the change in assets and liabilities.

The lease liabilities as at January 1, 2019 can be reconciled to the operating lease commitments as of December 31, 2018 as follows:

Operating lease commitments as at December 31, 2018	P86,896,939
Weighted average incremental borrowing rate at January 1, 2019	14.54%
Lease liabilities recognized at January 1, 2019	P74,259,768

Due to the adoption of PFRS 16, the Group's operating profit in 2019 improved, while its interest expense increased. This is due to the change in the accounting for rent expense related to leases that were classified as operating leases under PAS 17.

The adoption of PFRS 16 will not have an impact on equity in 2019, since the Company elected to measure the right-of-use assets at an amount equal to the lease liability.

Philippine Interpretation IFRIC-23, Uncertainty over Income Tax Treatments

The interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of PAS 12, *Income Taxes*, and does not apply to taxes or levies outside the scope of PAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The entity is required to determine whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and use the approach that better predicts the resolution of the uncertainty. The entity shall assume that the taxation authority will examine amounts that it has a right to examine and have full knowledge of all related information when making those examinations. If an entity concludes that it is not probable that the taxation authority will accept an uncertain tax treatment, it shall reflect the effect of the uncertainty for each uncertain tax treatment using the method the entity expects to better predict the resolution of the uncertainty.

Upon adoption of the Interpretation, the Group has assessed whether it has any uncertain tax position. The Group applies significant judgement in identifying uncertainties over its income tax treatments. The Group determined, based on its assessment, in consultation with its internal legal counsels, that it is probable that its income tax treatments (including those for the subsidiaries) will be accepted by the taxation authorities. Accordingly, the interpretation did not have an impact on the consolidated financial statements of the Group.

▪ Amendments to PFRS 9, *Prepayment Features with Negative Compensation*

Under PFRS 9, a debt instrument can be measured at amortized cost or at fair value through other comprehensive income, provided that the contractual cash flows are 'solely payments of principal and interest on the principal amount outstanding' (the SPPI criterion) and the instrument is held within the appropriate business model for that classification. The amendments to PFRS 9 clarify that a financial asset passes the SPPI criterion regardless of the event or circumstance that causes the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination of the contract.

The Group has assessed that the adoption of these amendments will not have any impact on the 2019 financial statements.

▪ Amendments to PAS 19, *Employee Benefits, Plan Amendment, Curtailment or Settlement*

The amendments to PAS 19 address the accounting when a plan amendment, curtailment or settlement occurs during a reporting period. The amendments specify that when a plan amendment, curtailment or settlement occurs during the annual reporting period, an entity is required to:

- Determine current service cost for the remainder of the period after the plan amendment, curtailment or settlement, using the actuarial assumptions used to remeasure the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event
- Determine net interest for the remainder of the period after the plan amendment, curtailment or settlement using: the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event; and the discount rate used to remeasure that net defined benefit liability (asset).

The amendments also clarify that an entity first determines any past service cost, or a gain or loss on settlement, without considering the effect of the asset ceiling. This amount is recognized in profit or loss. An entity then determines the effect of the asset ceiling after the plan amendment, curtailment or settlement. Any change in that effect, excluding amounts included in the net interest, is recognized in other comprehensive income.

The amendments had no impact on the consolidated financial statements of the Group as it did not have any plan amendments, curtailments, or settlements during the period.

▪ Amendments to PAS 28, *Long-term Interests in Associates and Joint Ventures*

The amendments clarify that an entity applies PFRS 9 to long-term interests in an associate or joint venture to which the equity method is not applied but that, in substance, form part of the net investment in the associate or joint venture (long-term interests). This clarification is relevant because it implies that the expected credit loss model in PFRS 9 applies to such long-term interests.

The amendments also clarified that, in applying PFRS 9, an entity does not take account of any losses of the associate or joint venture, or any impairment losses on the net investment, recognized as adjustments to the net investment in the associate or joint venture that arise from applying PAS 28, *Investments in Associates and Joint Ventures*.

These amendments had no impact on the consolidated financial statements as the Group does not have long-term interests in its associate.

▪ *Annual Improvements to PFRSs 2015-2017 Cycle*

- Amendments to PFRS 3, *Business Combinations*, and PFRS 11, *Joint Arrangements, Previously Held Interest in a Joint Operation*

The amendments clarify that, when an entity obtains control of a business that is a joint operation, it applies the requirements for a business combination achieved in stages, including remeasuring previously held interests in the assets and liabilities of the joint operation at fair value. In doing so, the acquirer remeasures its entire previously held interest in the joint operation.

A party that participates in, but does not have joint control of, a joint operation might obtain joint control of the joint operation in which the activity of the joint operation constitutes a business as defined in PFRS 3. The amendments clarify that the previously held interests in that joint operation are not remeasured.

An entity applies those amendments to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after January 1, 2019 and to transactions in which it obtains joint control on or after the beginning of the first annual reporting period beginning on or after January 1, 2019, with early application permitted.

These amendments had no impact on the consolidated financial statements of the Group as there is no transaction where joint control is obtained.

- Amendments to PAS 12, *Income Tax Consequences of Payments on Financial Instruments Classified as Equity*

The amendments clarify that the income tax consequences of dividends are linked more directly to past transactions or events that generated distributable profits than to distributions to owners. Therefore, an entity recognizes the income tax consequences of dividends in profit or loss, other comprehensive income or equity according to where the entity originally recognized those past transactions or events.

An entity applies those amendments for annual reporting periods beginning on or after January 1, 2019, with early application is permitted. These amendments had no impact on the consolidated financial statements of the Group because dividends declared by the Group do not give rise to tax obligations under the current tax laws.

- Amendments to PAS 23, *Borrowing Costs, Borrowing Costs Eligible for Capitalization*

The amendments clarify that an entity treats as part of general borrowings any borrowing originally made to develop a qualifying asset when substantially all of the activities necessary to prepare that asset for its intended use or sale are complete.

An entity applies those amendments to borrowing costs incurred on or after the beginning of the annual reporting period in which the entity first applies those amendments. An entity applies those amendments for annual reporting periods beginning on or after January 1, 2019, with early application permitted.

These amendments will not have any impact on the consolidated financial statements of the Group.

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2020

- Amendments to PFRS 3, *Definition of a Business*

The amendments to PFRS 3 clarify the minimum requirements to be a business, remove the assessment of a market participant's ability to replace missing elements, and narrow the definition of outputs. The amendments also add guidance to assess whether an acquired process is substantive and add illustrative examples. An optional fair value concentration test is introduced which permits a simplified assessment of whether an acquired set of activities and assets is not a business.

An entity applies those amendments prospectively for annual reporting periods beginning on or after January 1, 2020, with earlier application permitted.

These amendments will apply on future business combinations of the Group.

- Amendments to PAS 1, *Presentation of Financial Statements*, and PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors, Definition of Material*

The amendments refine the definition of material in PAS 1 and align the definitions used across PFRSs and other pronouncements. They are intended to improve the understanding of the existing requirements rather than to significantly impact an entity's materiality judgements.

An entity applies those amendments prospectively for annual reporting periods beginning on or after January 1, 2020, with earlier application permitted.

The Group is currently assessing the impact of adopting these amendments.

Effective beginning on or after January 1, 2021

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

PFRS 17 is effective for reporting periods beginning on or after January 1, 2021, with comparative figures required. Early application is permitted.

These amendments are currently not applicable to the Group.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board (IASB) completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures. These amendments are currently not applicable to the Group but may apply to future transactions.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statement of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Recognition, Measurement, Derecognition, and Impairment of Financial Instruments (Applicable Starting January 1, 2018 Upon the Adoption of PFRS 9)

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial asset.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as "debt issue costs").

The Group has no financial liabilities at FVTPL as at December 31, 2019 and 2018.

Subsequent Measurement. For purposes of subsequent measurement financial assets are classified in three categories:

- Financial assets at FVTPL

Financial assets at FVTPL comprise of quoted equity instruments which the Group has not irrevocably elected, at initial recognition or transition, to classify at FVOCI.

The Group has no financial asset designated at FVTPL on initial recognition or transition.

As at December 31, 2019 and 2018, the Group has financial assets classified as financial assets at FVTPL (see Note 8).

- Financial Assets at Amortized Cost

This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2019 and 2018, this category includes cash and cash equivalents, receivables, deposits in bank and refundable security deposits. (see Notes 7, 10, 11 and 15)

- Financial Assets at FVOCI

Financial Assets at FVOCI with recycling

This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2019 and 2018, this category includes investments in government securities and corporate bonds (see Note 9).

Financial Assets at FVOCI without recycling

Financial assets at FVOCI comprise of unquoted equity instruments which the Group has irrevocably elected, at initial recognition or transition, to classify at FVOCI.

The Group has no financial asset designated at FVOCI as at December 31, 2019 and 2018.

- Financial liabilities

For purposes of subsequent measurement, financial liabilities are classified either as financial liabilities at FVTPL or financial liabilities at amortized cost.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.

Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

As at December 31, 2019 and 2018, this category includes accounts payable and other current liabilities (excluding payable to government agencies) and lease liabilities (see Notes 16 and 26).

Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:
 - a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;
 - b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and
 - c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking ECL approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank and cash equivalents, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- **Quantitative Criteria.** For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.
- **Qualitative Criteria.** The counterparty meets unlikelihood to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:
 - a. The counterparty is experiencing financial difficulty or is insolvent;
 - b. The counterparty is in breach of financial covenant(s);
 - c. An active market for that financial assets has disappeared because of financial difficulties;
 - d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
 - e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
 - f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking Information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.

Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables - Groupings for collective measurement:

- a. Trading Participants
- b. Listed Companies
- c. Data Vendors

The following credit exposures are assessed individually:

- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.

Recognition, Measurement, Derecognition and Impairment of Financial Instruments (Prior to January 1, 2018)

Initial Recognition of Financial Instruments. Financial assets are classified, at initial recognition, as financial assets at FVTPL, loans and receivables, held-to-maturity investments (HTM), AFS investments, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial asset. Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group has no HTM investments, financial liabilities at FVTPL and derivatives designated as hedging instruments in an effective hedge.

Subsequent Measurement. The subsequent measurement of financial assets depends on their classification as follows:

Financial Assets at FVTPL. Financial assets at FVTPL include financial assets held for trading and financial assets designated upon initial recognition at FVTPL. Financial assets are classified as held for trading if these are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including any separated derivatives, are also classified under financial assets at FVTPL, unless these are designated as effective hedging instruments as defined by PAS 39. The Group has not designated any financial assets at FVTPL. Financial assets at FVTPL are carried in the consolidated statement of financial position at fair value with net changes in fair value presented as interest expense (negative net changes in fair value) or interest income (positive net changes in fair value) in profit or loss.

This category includes the Group's investment in management account which is classified as FVTPL as it is being managed on a fair value basis.

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortization is included in the "Interest income" account in profit or loss. The losses arising from impairment are recognized in profit or loss as part of "Others - net" account.

This category includes cash and cash equivalents, receivables (except advances to employees and suppliers) and refundable deposit included under "Other current assets" account and "Other noncurrent assets" account.

AFS Investments. AFS investments include equity investments and debt securities. Equity investments classified as AFS are those that are neither classified as held for trading nor designated as FVTPL. Debt securities in this category are those that are intended to be held for an indefinite period of time and that may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, AFS investments are subsequently measured at fair value with unrealized gains or losses recognized in OCI and credited in the AFS reserve in equity until the investments is derecognized, at which time the cumulative gain or loss is recognized in the consolidated statement of comprehensive income, or the investment is determined to be impaired, when the cumulative loss is reclassified from the AFS reserve in equity to the consolidated statement of comprehensive income. Interest earned while holding AFS investments is reported as interest income using the EIR method.

The Group evaluates whether the ability and intention to sell its AFS investments in the near term is still appropriate. When, in rare circumstances, the Group is unable to trade these financial assets due to inactive markets, the Group may elect to reclassify these financial assets if the management has the ability and intention to hold the assets for foreseeable future or until maturity.

The Group's AFS investments include investments in government debt securities, corporate bonds and quoted equity securities.

Other Financial Liabilities. This category pertains to financial liabilities that are not held for trading or not designated as at FVTPL upon the inception of the liability. These include liabilities arising from operations and borrowings. Other financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the EIR method of amortization (or accretion) for any related premium, discount and any directly attributable transaction costs. Gains and losses are recognized in the consolidated statements of comprehensive income when the liabilities are derecognized as well as through the EIR amortization process.

This category includes accounts payable and other current liabilities (excluding payable to government agencies).

Derecognition of Financial Assets and Liabilities

Financial Asset. A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either: (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the profit or loss.

Impairment of Financial Assets

The Group assesses at each reporting date whether a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired, if and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated. Objective evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Loans and Receivables. The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are no longer included in a collective assessment of impairment.

The amount of any impairment loss identified is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in the profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to interest expense in profit or loss.

AFS Investments. For AFS financial assets, the Group assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of equity investments classified as AFS, objective evidence would include a significant or prolonged decline in the fair value of the investment below its cost. 'Significant' is evaluated against the original cost of the investment and 'prolonged' against the period in which the fair value has been below its original cost. When there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognized in profit or loss is removed from OCI and recognized in profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognized in OCI.

The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Group evaluates, among other factors, the duration or extent to which the fair value of an investment is less than its cost.

In the case of debt instruments classified as AFS, the impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the consolidated statement of profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, even of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Other Current Assets

Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and security deposits, which are given to the lessor for the faithful compliance of all the Group's obligations under the lease contract and are refundable when the lease expires. The security deposits are initially recognized at present value and subsequently accreted to principal values at effective yields in profit or loss.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Property and Equipment

Property and equipment is stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Land rights	25 years
Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Investment Property

Investment property is held by the Group for capital appreciation and rental income purposes. Investment property is measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of an investment property.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.

Construction in progress classified under investment property are carried at cost and transferred to the related investment property account when the construction and related activities to prepare the property for its intended use are complete, and the property is ready for occupation. Construction-in-progress is not depreciated until such time that the relevant assets are completed and are ready for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are measured on initial recognition at cost. Following initial recognition, computer software development costs are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

The amortization period and amortization method for computer software are reviewed at least at the end of each reporting period.

An intangible asset is derecognized upon disposal (ie., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition and asset is included in the profit or loss.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as "Equity in net income of an associate" account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, right-of-use assets, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees and Others

Deferred fees and others include deferred output VAT which is reported as output VAT upon collection of related receivable and listing fees (prior to adoption of PFRS 15) which are collected but not yet earned as at reporting date. Deferred listing fees are reversed and recognized as revenue when services are rendered.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of five (5) to ten (10) years from the date of the occupancy or turnover of the asset.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related revenues mainly pertain to fees from approved applications for Initial Public Offering (IPO) and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.

Listing-related Fees (applicable starting January 1, 2019 upon Adoption of PFRS 15 on Listing fees)

Filing Fees. Effective March 22, 2019, the Exchange issued a new framework for listing applications. Based on the revised rules, the Exchange's processing fees shall be removed and filing fees shall be paid in full upon filing of the applications for IPO and additional listings with the Exchange. The filing fees are non-refundable and are computed and billed based on (%) of market capitalization.

Revenue is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years.

Listing-related Fees (applicable starting January 1, 2018 upon Adoption of PFRS 15 including the availment of relief granted by the SEC on listing fees)

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

Initial Listing Fees. These are income from approved applications of IPO and computed based on percentage (%) of market capitalization. Initial listing fee shall be paid as soon as practicable which in no case shall be later than 15 calendar days from the receipt of approval. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from initial listing fees is recognized upon the listing of the new securities issued by the applicant.

Additional Listing Fees. These are income from issuances of new voting shares to any party by a listed customer. Such transactions may include private placements, share swaps, property-for-share swaps, or conversion of securities into equity. Following the requirements of PFRS 15 on listing fees, the revenue is recognized over time based on the duration of the customer's listing life. However, the application of this requirement was deferred for a period of one (1) year (see Note 2). As a result of the deferral, in 2018, the revenue from additional listing fees is recognized upon the listing of the additional securities issued by the applicant.

Listing Maintenance Fees. These are annual fee paid by listed customer based on percentage of market capitalization. The revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Service related Fees (applicable starting beginning January 1, 2018 upon Adoption of PFRS 15)

Service fees are revenue from services provided by Subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.

Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.

Management Fee. Management fee is collected against failed Trading Participants (TP) in exchange of management services to facilitate settlement and liquidation of Customers' claims. Revenue from these services shall be recognized over-time based on five (5)-year minimum period from the date of take-over of the TP's book.

Seminar Fee. These are income from seminars and trainings conducted for the TP. Revenue is recognized when services are rendered.

Trading-related Fees (applicable starting January 1, 2018 upon Adoption of PFRS 15)

Trading related fees are revenues that are directly affected by the trading volume of the Exchange for the period. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

Block Sales. These revenue pertain to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Subscription Fees. These are fees paid by the Trading Participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

Contract Balances

- **Trade Receivables.** A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).
- **Contract Assets.** A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.
- **Contract Liabilities.** A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based average period of listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.

Revenue Recognition (prior to January 1, 2018)

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The Group has concluded that it is acting as principal in all of its revenue arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Listing Fees. Listing fees for initial public offering are recognized upon listing of an applicant. The additional listing fees are recognized upon the listing of new securities issued by an applicant.

Listing Maintenance, Processing, Service Fees, and Trading-related Fees. Revenue is recognized when the related services are rendered.

Other Revenues. Revenue is recognized when the services are rendered or when penalties or fines are charged. This account mainly consists of trading and listing related fines and penalties for late payment, late submission of requirements, noncompliance and nondisclosure of listed companies.

Interest Income. Interest income is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has unfunded noncontributory defined benefit retirement plans. CMIC does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA 7641). The retirement fund of the Parent Company is being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to settle within one year from the end of the reporting date as a result of the unused entitlement. The liability for entitlements expected to be settled beyond one year after the end of the reporting date are recognized under "Pension liability and others" account in the consolidated statement of financial position and measured at the present value of the benefit as at the end of the reporting date.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

Leases (applicable starting January 1, 2019 upon Adoption of PFRS 16)

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

- **Right-of-use Assets.** The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term recognized. Right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

Data recovery sites	3 to 5 years
Office space	6 years

Right-of-use assets are subject to impairment. Refer to the accounting policies in the section on impairment of non-financial assets.

- **Lease Liabilities.** At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. Variable payments that do not depend on an index or a rate are as recognized as expense in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its IBR at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Lease income arising is accounted for on a straight-line basis over the lease terms and are recognized as revenue in the statement of comprehensive income due to its operating nature.

Leases (Prior to January 1, 2019)

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risk and benefits of ownership of the asset are classified as operating leases. Operating lease income are recognized as an income in the statement of comprehensive income on a straight-line basis over the lease term.

Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carry over (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of excess of MCIT over the RCIT and NOLCO can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiary.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Identifying Performance Obligation for Listing Services. The Exchange provides listing services for approved applications for IPO and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange determines that there is one performance obligation in the contract which is the service of being listed in the PSE.

Determination of Lease Term of Contracts with Renewal Options – The Group as a Lessee. Upon adoption of PFRS 16, the Group has lease contracts that include renewal options and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group included the renewal period of one (1) year as part of the lease term for leases of data recovery sites with shorter non-cancellable period (i.e., 3 to 5 years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available.

Operating Lease Commitments – The Group as Lessee. Prior to PFRS 16, the Group has entered into a property lease for its condominium units, office space and parking lots as a lessee. The Group has determined, based on evaluation of the terms and condition of the lease agreement, that the significant risks and rewards of ownership of the leased property was retained by the lessor and accounts this lease as operating lease. Other operating leases entered into by the Group include leases of office equipment, which are normally for a period of not more than a year, and/or renewable yearly (see Note 26).

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets are based generally on listed or quoted market prices (see Note 6).

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Estimation of Service Period and Determination of the Timing of Revenue Recognition for Listing Services. Upon adoption of PFRS 15, the Exchange applies judgment and estimates on the identification and timing of satisfaction of performance obligations. The Exchange determines the service period and percentage of services rendered using historical analysis of listing durations and experience. The estimated service period and percentage of services rendered are reassessed at each reporting period to properly reflect the Exchange's best estimate. Listing-related fees are recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years (see Note 20).

Leases – Estimating the IBR. The Group cannot readily determine the interest in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for entities that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the entity's stand-alone credit rating).

The Group's lease liabilities amounted to ₱73.46 million as at December 31, 2019 (see Note 26).

Impairment of Financial Assets at FVOCI and AFS Investments. Upon adoption of PFRS 9, the Group takes in to consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For financial debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the year ended December 31, 2019 and 2018. The total carrying value of the financial assets at FVOCI amounted to ₱629.07 million and ₱476.20 million as at December 31, 2019 and 2018, respectively (see Note 9).

Prior, to the adoption of PFRS 9, the Group treats AFS investments as impaired when there is objective evidence that an investment or a group of investments is impaired.

AFS equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment. The Group treats 'significant' generally as 20% or more and 'prolonged' as greater than the period of six months. In addition, the Group evaluates other factors, including normal volatility in share price for quoted equities and the future cash flows and the discount factors for unquoted equities.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statements of comprehensive income.

In the case of debt instruments classified as AFS, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

In 2017, the Group assessed that its investment in quoted equity securities is impaired and recognized provision for decline in value of equity securities of ₱0.10 million in the 2017 consolidated statement of comprehensive income.

Impairment of Receivables. Upon adoption of PFRS 9, allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables the year ended December 31, 2019 and 2018. The Group recognized a reversal of impairment loss amounting to ₱0.15 million in 2018 (see Note 10). The carrying values of receivables amounted to ₱81.55 million and ₱99.38 million as at December 31, 2019 and 2018, respectively (see Note 10).

Prior to adoption of PFRS 9, the Group annually reviews its receivables that are individually significant to assess impairment. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, it collectively assesses them for impairment. For the purpose of a collective evaluation of impairment, receivables are grouped based on credit risk. In determining whether an impairment loss should be recorded in the consolidated statements of profit or loss, the Group makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from the receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers. Allowance for impairment losses is maintained at a level considered adequate to provide for potentially uncollectible receivables.

Provision for impairment losses on receivables amounted to ₱0.03 million while reversal of impairment loss amounted to ₱0.05 million in 2017.

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no significant changes in the estimated useful lives of the Group's property and equipment and computer software as at December 31, 2019 and 2018.

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses on the investment in an associate for the years ended December 31, 2019 and 2018. The carrying value of the investment in an associate amounted to ₱267.94 million and ₱273.04 million as at December 31, 2019 and 2018, respectively (see Note 14).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 32).

Contingencies. The Group is currently involved in legal proceedings. The estimate of the probable costs for the resolution of these claims has been developed in consultation with counsel handling the defense in these matters and is based upon an analysis of potential results. The outcome of these legal proceeding are not presently determinable. In the opinion of management and its legal counsel, the eventual liability under these lawsuits or claims, if any, will not have a material or adverse effect on the consolidated financial position and results of operations (see Note 32).

Present Value of Pension Liability and Other Employee Benefits. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

Employee leave entitlements that is expected to be settled within one year from reporting date is included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position. Otherwise, this is included in "Pension liability and others" account in the consolidated statement of financial position.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 28.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2019 and 2018, the Parent Company and CMIC recognized total deferred tax assets amounting to ₱317.37 million and ₱12.79 million, respectively (see Note 27). SCCP's deferred tax asset, which were not recognized due to the use of the Optional Standard Deduction (OSD) method amounted to ₱5.02 million and ₱3.29 million as at December 31, 2019 and 2018, respectively. Premier's unrecognized deferred tax assets amounted to ₱1.56 million as at December 31, 2019 (see Note 27).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVTPL and FVOCI. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, refundable security deposits, deposits in bank, accounts payable and other current liabilities excluding payable to government agencies and lease liabilities, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Exchange regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

As at December 31, 2019					
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱3,125,959,102	₱-	₱-	₱72,041	₱3,126,031,143
Receivables:					
Receivables from:					
Trading participants	55,060,087	-	-	-	55,060,087
Data vendors	5,743,045	-	-	-	5,743,045
Listed companies	3,809,074	-	-	-	3,809,074
Accrued interest receivable	8,743,921	-	-	-	8,743,921
Receivable from other fund members	1,523,267	-	-	-	1,523,267
Others	6,949,995	-	-	-	6,949,995
Other noncurrent assets:					
Refundable deposits	-	-	324,673	-	324,673
Deposits in bank	-	-	691,717	-	691,717
Financial assets at FVTPL	289,853,477	-	-	1,100,000	290,953,477
Financial assets at FVOCI:					
Government debt securities -*					
Long-term	50,164,998	92,793,826	377,918,588	-	520,877,412
Corporate bonds:*					
Short-term	54,545,946	-	-	-	54,545,946
Long-term	2,956,942	40,423,408	19,547,383	-	62,927,733
	₱3,605,309,854	₱133,217,234	₱398,482,361	₱1,172,041	₱4,138,181,490
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	(₱151,929,554)	₱-	₱-	₱-	(₱151,929,554)
Due to SEC	(83,964,049)	-	-	-	(83,964,049)
Accrued expenses**	(108,686,770)	-	-	-	(108,686,770)
Others	(2,983,206)	-	-	-	(2,983,206)
	(₱347,563,579)	₱-	₱-	₱-	(₱347,563,579)

*Including interest.

**Excluding accrued taxes amounting to ₱1.64 million.

As at December 31, 2018					
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱3,868,076,419	₱-	₱-	₱73,500	₱3,868,149,919
Receivables:					
Receivables from:					
Trading participants	57,733,669	-	-	-	57,733,669
Data vendors	11,271,056	-	-	-	11,271,056
Listed companies	3,141,038	-	-	-	3,141,038
Accrued interest receivable	13,250,095	-	-	-	13,250,095
Receivable from other fund members	193,166	-	-	-	193,166
Others	1,132,691	-	-	-	1,132,691
Other noncurrent asset -					
Deposits in bank	-	-	689,956	-	689,956
Financial assets at FVTPL	258,608,893	-	-	1,200,000	259,808,893
Financial assets at FVOCI:					
Government debt securities -*					
Long-term	15,498,269	16,759,778	329,331,360	-	361,589,407
Corporate bonds:*					
Short-term	10,305,425	-	-	-	10,305,425
Long-term	4,608,697	50,149,521	50,419,151	-	105,177,369
	₱4,243,819,418	₱66,909,299	₱380,440,467	₱1,273,500	₱4,692,442,684
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	₱57,783,164	₱-	₱-	₱-	₱57,783,164
Due to SEC	82,135,484	-	-	-	82,135,484
Accrued expenses**	91,351,498	-	-	-	91,351,498
Others	4,574,921	-	-	-	4,574,921
	₱235,845,067	₱-	₱-	₱-	₱235,845,067

*Including interest.

**Excluding accrued taxes amounting to ₱1.28 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

Credit Quality of Financial Assets

The credit quality of financial assets is grouped according to stage whose description is explained as follows:

Stage 1 - those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.

Stage 2 - those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 - those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

	As at December 31, 2019			
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱3,125,959,102	₱-	₱-	₱3,125,959,102
Receivables:				
Receivables from:				
Trading participants	-	54,739,140	320,947	55,060,087
Listed companies	-	1,484,796	2,324,278	3,809,074
Data vendors	-	5,743,044	-	5,743,044
Accrued interest receivable	-	8,743,921	-	8,743,921
Receivable from other fund members	-	1,523,267	-	1,523,267
Others	-	6,710,379	239,616	6,949,995
Other noncurrent assets:				
Refundable deposits	-	324,673	-	324,673
Deposits in bank	-	691,717	-	691,717
Financial assets at FVTPL	290,953,477	-	-	290,953,477
Financial assets at FVOCI:				
Government debt securities-				
Long-term	492,750,381	-	-	492,750,381
Corporate bonds:				
Short-term	79,721,181	-	-	79,721,181
Long-term	56,598,624	-	-	56,598,624
	₱4,045,982,765	₱79,960,937	₱2,884,841	₱4,128,828,543

*Excluding cash on hand amounting to ₱0.07 million.

	As at December 31, 2018			
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱3,868,076,419	₱-	₱-	₱3,868,076,419
Receivables:				
Receivables from:				
Trading participants	-	57,412,722	320,947	57,733,669
Listed companies	-	816,760	2,324,278	3,141,038
Data vendors	-	11,271,056	-	11,271,056
Accrued interest receivable	-	13,250,095	-	13,250,095
Receivable from other fund members	-	193,166	-	193,166
Others	-	893,075	239,616	1,132,691
Other noncurrent assets:				
Deposits in bank	-	689,956	-	689,956
Financial assets at FVTPL	259,808,893	-	-	259,808,893
Financial assets at FVOCI:				
Government debt securities-				
Long-term	365,817,013	-	-	365,817,013
Corporate bonds:				
Short-term	9,952,565	-	-	9,952,565
Long-term	100,430,992	-	-	100,430,992
	₱4,604,085,882	₱84,526,830	₱2,884,841	₱4,691,497,553

*Excluding cash on hand amounting to ₱0.07 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scrippless Securities under the name of the Group.

The Treasury Manager is responsible for the identification of investments that provide a relatively stable rate of return and submit these identified investments to the Vice President for Controllershship and Treasury Division who endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVTPL as at December 31, 2019 and 2018) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss/Equity
	(In Millions)	
2019	+3.45% -3.45%	₱8.43 (8.43)
2018	+3.28% -3.28%	₱8.84 (8.84)

As at December 31, 2019 and 2018, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on fixed rate debt financial assets at FVOCI).

	Effect on Equity	
	2019	2018
	(In Millions)	
Increase (decrease) in interest rates:		
+70 basis points	(₱15.38)	(₱14.22)
-70 basis points	16.04	14.09

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2019 and 2018:

	2019		2018	
	In USD	In ₱	In USD	In ₱
Financial assets:				
Cash and cash equivalents	\$1,598,818	₱80,956,149	\$131,210	₱6,899,027
Receivables	547,767	27,736,182	206,174	10,840,652
	\$2,146,585	₱108,692,331	\$337,384	₱17,739,679

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was ₱50.64 to US\$1.00 and ₱52.58 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2019 and 2018, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2019		2018	
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)
3.70% (3.70%)	P4.02 (4.02)	5.31% (5.31%)	P0.94 (0.94)

The increase in P rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2019 and 2018:

2019				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	P290,953,477	P289,853,477	P1,100,000	P-
Financial assets at FVOCI:				
Government securities -				
Long-term	492,750,381	-	492,750,381	-
Corporate bonds:				
Current	79,721,181	79,721,181	-	-
Long-term	56,598,624	56,598,624	-	-
Other noncurrent assets -				
Refundable deposits	324,673	-	-	324,673
	629,394,859	136,319,805	492,750,381	324,673
	P920,348,336	P426,173,282	P493,850,381	P324,673
Liabilities measured at fair value -				
Noncurrent lease liability	P55,487,835	P-	P-	P55,487,835
2018				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	P259,808,893	P258,608,893	P1,200,000	P-
Financial assets at FVOCI:				
Government securities -				
Long-term	365,817,013	25,825,363	339,991,650	-
Corporate bonds:				
Current	9,952,565	9,952,565	-	-
Long-term	100,430,992	100,430,992	-	-
	476,200,570	136,208,920	339,991,650	-
	P736,009,463	P394,817,813	P341,191,650	P-

For the years ended December 31, 2019 and 2018, there were no transfers made among the three levels in the fair value hierarchy. There are no financial instruments classified under level 3.

Cash and Cash Equivalents, Receivables excluding Advances to Employees, Current portion of Refundable Security Deposits and Deposits in Bank, Accounts Payable, Current portion of Lease Liabilities and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

7. Cash and Cash Equivalents

This account consists of:

	2019	2018
Cash on hand and in banks	P152,227,717	P203,923,616
Cash equivalents	2,973,803,426	3,664,226,303
	P3,126,031,143	P3,868,149,919

Cash in banks earns interest ranging from 0.25% to 0.625% bank deposit rates. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 3.50% to 4.00% in 2019, 1.50% to 7.00% in 2018, and 0.50% to 2.00% in 2017.

Interest income earned from cash and cash equivalents amounted to P179.64 million, P89.60 million and P12.80 million in 2019, 2018 and 2017, respectively (see Note 21).

8. Financial Assets at FVTPL

This account consists of quoted equity securities.

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities.

As a result of the adoption of PFRS 9 in 2018, the financial assets at FVTPL also included quoted equity securities that were previously classified as AFS investments (see Note 9).

The fair value of the financial assets at FVTPL as at December 31, 2019 and 2018 amounted to P290.95 million and P259.81 million, respectively.

Mark-to-market gain (loss) on financial assets at FVTPL amounted to P11.22 million, (P37.02 million) and P59.76 million in 2019, 2018 and 2017, respectively.

Dividend income earned on financial assets at FVTPL amounted to P4.79 million, P4.33 million and P4.67 million in 2019, 2018 and 2017, respectively.

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).

9. Financial Assets at FVOCI

This account consists of:

	2019	2018
Debt securities:		
Government debt securities	P492,750,381	P365,817,013
Corporate bonds	136,319,805	110,383,557
Total financial assets at FVOCI	629,070,186	476,200,570
Less:		
Short-term financial assets at FVOCI	79,721,181	9,952,565
Long-term financial assets at FVOCI	P549,349,005	P466,248,005

Short-term financial assets at FVOCI as at December 31, 2019 and 2018 pertain to corporate bonds with interest rate of 4.16% to 5.10% and 5.63% to 6.00% which will mature in 2020 and 2019, respectively.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 3.25% to 6.50% in 2019 and 2.13% to 6.00% in 2018. Long-term government debt securities and corporate bonds as at December 31, 2019 and 2018 will mature starting 2021 to 2032.

Interest income earned from financial assets at FVOCI amounted to P36.70 million and P49.22 million in 2019 and 2018, respectively and interest income earned from AFS investments amounted to P24.04 million in 2017 (see Note 21).

The rollforward analysis of the Group's financial assets at FVOCI as at December 31, 2019 and 2018 follows:

	2019	2018
Balance at beginning of year	P476,200,570	P513,916,376
Additions	116,500,000	-
Maturities	(9,952,565)	(5,046,881)
Amortization of discount and premium	(1,573,267)	(1,530,268)
Redemption	(10,000,000)	-
Fair value gain (loss)	57,895,448	(30,138,657)
Reclassification of quoted equity securities to financial assets at FVTPL	-	(1,000,000)
Balance at end of year	P629,070,186	P476,200,570

The movement of net unrealized gain (loss) on financial assets at FVOCI as at December 31, 2019 and 2018 follows:

	2019	2018
Balance at beginning of year	(P48,706,567)	(P18,567,910)
Net change in fair value	57,895,448	(30,138,657)
Balance at end of year	P9,188,881	(P48,706,567)

10. Receivables

This account consists of:

	2019	2018
Receivables from:		
Trading participants (Note 30)	P55,060,087	P57,733,669
Data vendors	5,743,045	11,271,056
Listed companies	3,809,074	3,141,038
Related party (Note 30)	4,188,800	12,426,400
Accrued interest receivable (Note 21)	8,743,921	13,250,095
Advances to/receivables from:		
Other fund members	1,523,267	193,166
Officers and employees	2,886,125	1,389,732
Dividends receivable	-	-
Others	2,479,548	2,863,340
Total	84,433,867	102,268,496
Less allowance for impairment loss	2,884,841	2,884,841
	P81,549,026	P99,383,655

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The movements in the allowance for impairment losses follow:

	2019	2018	2017
Balance at beginning of year	P2,884,841	P3,034,841	P3,060,601
Reversal	-	(150,000)	(52,640)
Provision	-	-	26,880
Balance at end of year	P2,884,841	P2,884,841	P3,034,841

Provision for (reversal of) impairment losses is presented under "Others - net" account in profit or loss.

11. Other Current Assets

This account consists of:

	2019	2018
Input VAT - net of noncurrent portion	P29,243,983	P32,149,218
Prepaid expenses	25,242,660	17,844,235
Security deposits (Note 26)	26,590	117,513
	P54,513,233	P50,110,966

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Prepaid expenses include prepayment of insurance, real property taxes, membership dues, maintenance and other expenses which are normally incurred within the next financial year.

Security deposit pertains to refundable deposit of CMIC which are expected to be received within the next financial year.

12. Property and Equipment

The composition of and movements in property and equipment are as follows:

	2019									
	Land Rights	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	Construction in Progress - Office fit-out		Total
Cost										
At beginning of year	P155,690,154	P1,094,995,731	P39,335,830	P268,116,386	P523,899,771	P178,332,570	P21,492,805	P-	P2,281,863,247	
Additions (Note 17)	-	48,397,719	103,081,518	4,595,572	10,427,238	6,529,591	5,939,565	-	178,971,203	
Disposals	-	-	(358,124)	-	(4,054,643)	(7,196,824)	(5,975,964)	-	(17,585,555)	
Reclassification (Notes 13 and 18)	(24,910,425)	(80,000,000)	(141,925,568)	-	-	-	-	-	(246,435,795)	
Write-off	-	-	-	-	-	-	-	-	-	
At end of year	130,779,729	1,063,393,450	533,856	272,711,958	530,272,366	177,665,337	21,456,406	-	2,196,813,102	
Accumulated Depreciation										
At beginning of year	-	111,694,348	39,130,797	152,059,932	379,255,403	91,230,900	11,116,771	-	784,488,151	
Adjustment (Note 13)	124,552,123	-	-	-	-	-	-	-	124,552,123	
Depreciation (Notes 21 and 22)	6,227,606	44,030,634	166,970	29,510,658	58,378,306	20,104,759	4,692,464	-	163,111,397	
Disposals	-	-	(320,103)	-	(4,055,355)	(7,171,731)	(4,222,181)	-	(15,769,370)	
Reclassification (Notes 13 and 18)	-	(67,200,001)	(38,923,808)	-	-	-	-	-	(106,123,809)	
Write-off	-	-	-	-	-	-	-	-	-	
At end of year	130,779,729	88,524,981	53,856	181,570,590	433,578,354	104,163,928	11,587,054	-	950,258,492	
Net Book Value	P-	P974,868,469	P480,000	P91,141,368	P96,694,012	P73,501,409	P9,869,352	P-	P1,246,554,610	

	2018									
	Land Rights	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	Construction in Progress - Office fit-out		Total
Cost										
At beginning of year	P155,690,154	P885,453,090	P157,513,609	P258,601,298	P509,039,017	P89,411,825	P21,388,430	P133,655,135	P2,210,752,558	
Additions (Note 17)	-	96,209,906	-	22,515,088	2,197,418	50,819,935	1,903,482	19,957,231	193,603,060	
Disposals	-	-	(117,179,870)	-	(363,450)	(1,998,687)	(1,799,107)	-	(121,341,114)	
Write-off	-	-	(997,909)	-	-	(153,348)	-	-	(1,151,257)	
Reclassification	-	113,332,735	-	(13,000,000)	13,026,786	40,252,845	-	(153,612,366)	-	
At end of year	155,690,154	1,094,995,731	39,335,830	268,116,386	523,899,771	178,332,570	21,492,805	-	2,281,863,247	
Accumulated Depreciation										
At beginning of year	-	68,853,697	156,202,456	125,473,642	320,721,494	77,633,753	7,533,500	-	756,418,542	
Depreciation (Notes 21 and 22)	-	42,840,651	1,106,092	26,586,290	58,897,353	16,234,882	4,827,316	-	150,492,584	
Disposals	-	-	(117,179,842)	-	(363,444)	(2,484,387)	(1,244,045)	-	(121,271,718)	
Write-off	-	-	(997,909)	-	-	(153,348)	-	-	(1,151,257)	
At end of year	-	111,694,348	39,130,797	152,059,932	379,255,403	91,230,900	11,116,771	-	784,488,151	
Net Book Value	P155,690,154	P983,301,383	P205,033	P116,056,454	P144,644,368	P87,101,670	P10,376,034	P-	P1,497,375,096	

As at December 31, 2019 and 2018, the Group's acquisition of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to P98.02 million and P44.76 million, respectively.

The Group disposed property and equipment with carrying value amounting to P1.81 million and P0.05 million with related gain (loss) on disposal amounting to P0.20 million and P1.25 million in 2019 and 2018, respectively.

As at December 31, 2018, write-off of building improvements and office furniture and fixtures amounting to P1.00 million and P0.15 million, respectively, pertains to properties left at the Ayala office of CMIC.

As at December 31, 2019 and 2018, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

Land Rights. This pertains to shares in a condominium corporation, Tower One and Exchange Plaza Condominium Corporation (TOEPCC) donated to the Parent Company which represents rights and interests in and to the proportionate portion of the parcel of land where the Exchange Plaza is located. Ayala Land, Inc. (ALI) established TOEPCC for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at P63.12 million and P92.57 million, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Adjustment in accumulated depreciation of land rights amounting to P124.55 million in 2019 pertains to the accumulated depreciation from 1998 up to 2018 (see Note 13).

Building. This includes condominium units at the PSE Tower, Fort Bonifacio Global City and Exchange Plaza, Ayala Triangle, Makati City (see Notes 13 and 18). The condominium units at PSE Tower, Fort Bonifacio Global City were transferred to and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at Exchange Plaza, Ayala Triangle donated by ALI (see Note 13).

Construction in Progress. These pertain to expenditures for building construction and installation of fit-out, furniture and equipment and computer hardware which was already transferred to the appropriate property and equipment accounts in 2018.

Trading System Equipment. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

13. Investment Property

On December 12, 2018, the BOD authorized the Exchange's management to lease out the Exchange Plaza and engage, negotiate and discuss with prospective lessees the terms and conditions of the lease beneficial to the exchange.

In April 2019, the Exchange entered into a non-exclusive agreement with Colliers International Philippines, Inc. for the purpose of marketing the leasing out of office units. The broker's commission depends on the term of lease and is payable upon successful execution of lease contract.

In October 2019, the Exchange started its renovation works at the Exchange Plaza with the expected completion of April 2020.

In December 2019, the Exchange is in the process of incorporating PSE Realty, Inc. (PRI), a domestic corporation that will own and manage the real estate assets of the Exchange. As at February 26, 2020, the incorporation of PRI is not yet approved by the SEC.

As at December 31, 2019, the Exchange reclassified the land rights, building and building improvements pertaining to the Exchange Plaza amounting to P140.31 million from "Property and equipment" account to "Investment property" account in the consolidated statement of financial position as there is a change in use of the property as evidenced by the end of the owner-occupation.

In 2019, as a result of the revised purpose of Exchange Plaza to be leased out to third parties, management revisited the nature of the unamortized land rights amounting to P155.7 million. Based on the deed of donation executed between Ayala Land, Inc. (ALI) and PSE on August 25, 1993, the donation of ALI to PSE constitute the sum of money amounting to P80.0 million required to construct the "New Exchange Building" and the rights and interest in and to the proportionate portion of "Condominium Land Parcel (transferred to the condominium corporation)" by virtue of its ownership of the condominium shares with PSE's share computed at P155.7 million upon donation.

The ownership of condominium shares (based on net floor area) was only a consequence of the Exchange's ownership of the "New Exchange Building", hence, the "New Exchange Building" and the rights and interest in and to the proportionate portion of "Condominium Land Parcel" should be viewed as one asset at the time of donation, hence should have been subject to depreciation since 1998. Management did not restate the comparative 2018 and 2017 balances as the impact is deemed not significant to consolidated financial statements. Shown below is the financial statement impact for each of the affected financial statement item for 2018 and 2017:

Impact on consolidated equity - increase (decrease):

	As at January 1, 2017
Noncurrent asset	(P112,096,911)
Net impact on equity	(112,096,911)

Impact on consolidated statement of comprehensive income - increase (decrease):

	For the year ended December 31	
	2018	2017
Cost and expenses	P6,227,606	P6,227,606
Net income	(6,227,606)	(6,227,606)
Net income attributable to:		
Equity holders of the Parent Company	(6,227,606)	(6,227,606)

Impact on earnings per share - increase (decrease):

	For the year ended December 31	
	2018	2017
EPS:		
Basic	(P0.07)	(P0.08)
Diluted	(0.07)	(0.08)

Fair Value of Investment Property. As at December 31, 2019, the investment property is still under renovation. Management has determined that the fair value of the investment property under renovation approximates cost, until such time that the fair value of the investment property can be reliably measured once the renovation is completed.

14. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC), a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments:

	2019	2018
Acquisition cost	P137,050,657	P137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	363,072,627	324,212,210
Share in net income of investee	84,467,273	38,860,417
Balance at end of year	447,539,900	363,072,627
Accumulated equity in other comprehensive loss - remeasurement losses on pension liability:		
Balance at beginning of year	(3,725,311)	(4,576,708)
Share in remeasurement gain	4,842,673	851,397
Balance at end of year	1,117,362	(3,725,311)
Accumulated dividend income:		
Balance at beginning of the year	(223,361,884)	(97,481,884)
Dividends declared during the year	(94,410,000)	(125,880,000)
Balance at end of year	(317,771,884)	(223,361,884)
	P267,936,035	P273,036,089

The available financial information of PDSHC follows (in millions):

	2019	2018
Current assets	P1,241.57	P1,244.07
Noncurrent assets	216.73	188.72
Current liabilities	188.15	162.49
Noncurrent liabilities	93.89	68.85
Total equity	1,176.26	1,201.45
Net income attributable to:		
Equity holder of the parent company	401.44	224.08
Noncontrolling interest	6.26	6.78
Other comprehensive income (loss)	(10.37)	40.07
Total comprehensive income	397.34	270.93

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position as at December 31, 2019 and 2018 follows (in millions):

	2019	2018
Net assets of associate attributable to controlling shareholders	P1,158.75	P1,183.06
Proportionate ownership in net assets (20.98%)	243.11	248.21
Goodwill	24.83	24.83
	P267.94	P273.04

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of P2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of P2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the availment of a clean term loan in the total amount of P1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. (FINEX), Whistler Technology Services, Inc. (WTSI) and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 common shares or 28.91%, 192,776 common shares or 3.08%, 500,000 common shares or 8.00% and 192,776 common shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed. On the same date, BOD of PDSHC declared cash dividends in the amount of ₱18.33 per share (₱114.59 million) in favor of all stockholders on record as of December 31, 2015 payable on or before April 20, 2016.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines (IHAP) and Philippine American Life and General Insurance Co. (Philam) and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱350.00 million) in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to ₱1,000.00 million. As at February 27, 2019, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition of PDHSC was deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd. (TCS) for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On June 14, 2018, the BOD of PDSHC declared cash dividends in the amount of ₱96 per share (₱600.00 million) in favor of all shareholders on record as of June 14, 2018 payable on or before June 30, 2018.

On March 31, 2018, the SPAs with BAP, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing condition on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018.

On October 30, 2019, the BOD of PDSHC declared cash dividends in the amount of ₱72 per share (₱450.00 million) in favor of all shareholders on record as of October 30, 2019 payable on or before November 15, 2019.

15. Other Noncurrent Assets

This account consists of:

	2019	2018
Input VAT - noncurrent portion	₱40,601,078	₱48,397,216
Advances to suppliers	11,834,996	-
Computer software - net	6,451,177	132,062
Deposits in bank	691,717	689,956
Security deposits (Note 26)	324,673	-
Deferred lease asset	95,410	-
Other investments	54,106	54,106
	₱60,053,157	₱49,273,340

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

Advances to suppliers represents the advance payments for the computer software of SCCP.

The movements in computer software account follow:

	2019	2018
Cost:		
Balance at beginning of year	₱68,229,080	₱68,229,080
Additions	6,371,937	-
Balance at end of year	74,601,017	68,229,080
Accumulated amortization:		
Balance at beginning of year	68,097,018	66,366,353
Amortization (Notes 22 and 23)	52,822	1,730,665
Balance at end of year	68,149,840	68,097,018
Net book value	₱6,451,177	₱132,062

On May 15, 2019, the SCCP board approved the award of the new Clearing and Settlement (C&S) System Project to Millennium IT Software (Private) Limited ("Millennium"), the technology arm of the London Stock Exchange Group (LSEG), subject to the completion of the Design Study and the signing of the pertinent contracts.

The scope of work for the Design Study included the following:

- Demonstration of the base product and discussion of the daily full cycle operations;
- Discussion of functional/business requirements and gaps;
- Discussion of non-functional requirements (hardware, 3rd party software, service level); and
- Delivery of the product specifications documents and epics which documents the customizations to be made to address the requirements of SCCP.

The amount of ₱6.37 million included in the "Other noncurrent assets - computer software - net" account pertains to the payment for the design study which was completed in November 2019 when all the final product specifications and epics (customizations) were delivered to SCCP. Thereafter, the consultancy services and the license and maintenance agreements were finalized and signed by the authorized signatories of SCCP and Millennium. The amount of ₱11.83 million which is included in the "Other noncurrent assets - advances to suppliers" account represents payment of the 25% of the onsite and offsite implementation fee as stated under the consultancy services agreement.

Deposits in bank represent the amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

Security deposits are presented at amortized cost, amortization of which is based on EIR method. The difference between the fair value at initial recognition and nominal value of security deposit on leases is charged to "Deferred lease asset" account and amortized on a straight line basis over the lease term of six (6) years.

16. Accounts Payable and Other Current Liabilities

This account consists of:

	2019	2018
Trade (Note 12)	₱151,929,554	₱57,783,164
Due to SEC	83,964,049	82,135,484
Accrued expenses:		
Compensation and other related staff costs	24,722,835	4,612,274
Professional fees	19,222,188	10,379,833
Occupancy costs	17,881,036	36,299,321
Penalties and taxes (Note 18)	13,723,044	1,277,500
Repairs and maintenance	12,068,148	11,810,652
Telecommunication	3,346,981	12,240,084
Utilities, supplies, services and various accrued expenses	19,365,042	16,009,334
Payable to government agencies	5,515,117	7,624,125
Others	6,556,226	4,574,921
	₱358,294,220	₱244,746,692

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants.

As at December 31, 2019, the Parent Company reclassified P20.0 million from “Provision” to “Accounts payable and other current liabilities - accrued expenses” accounts in the consolidated statement of financial position which pertains to termination benefits payable to employees under its organizational streamlining program which will be settled within the next financial year.

17. Contract Liabilities, Deferred Fees and Others

Contract Liabilities

This account consists of:

	2019	2018
Listing fees	P941,726,108	P-
Data feed fees	1,395,356	11,762,446
Management fees	700,893	479,315
Total	943,822,357	12,241,761
Less contract liabilities - net of current portion	755,310,377	239,658
Total current portion of contract liabilities	P188,511,980	P12,002,103

Deferred fees and others

This account consists of:

	2019	2018
Deferred fees:		
Listing fees*	P-	P23,727,843
Data feed fees	-	-
Others	176,440	366,821
Deferred output tax	608,567	6,388,364
	P785,007	P30,483,028

*In 2018, the adoption of PFRS 15 on listing fees was deferred for a period of one year (see Note 2).

Contract liabilities from listing fees, data feed fees and management fees and deferred revenue from listing, data feed and others are normally realized within the next financial year. The noncurrent portion of contract liabilities are expected to be realized in 2021 to 2034.

18. Donated Capital

As at December 31, 2019 and 2018, this account consists of donations from:

	2019	2018
FBDC	P211,597,831	P211,597,831
ALI (Note 12)	-	235,690,154
	P211,597,831	P447,287,985

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for P10.48 million. Such shares received were classified as other investments under “Other noncurrent assets” account in the consolidated statement of financial position.

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company's acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC's previously donated 10,480,181 shares of CWDC for P52.11 million resulting to a gain amounting to P41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to P235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to nil, P96.18 million and P115.42 million for the years ended December 31, 2017, 2016 and 2015, respectively, which is presented as “Income from donation” account in the consolidated statements of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to P10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016, the total advances amounting to P805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed.

The Parent Company has hired various external consultants to conduct project and construction management and quantity surveying services of the fit-out works in the said office units with total project cost of P356.84 million. The fit-out works were completed in 2018.

As at December 31, 2018, the Exchange reclassified the donated capital from Philippine Realty & Holdings Corporation (PRHC) amounting to P139.54 million to unappropriated retaining earnings following the sale of the property in 2017.

As at December 31, 2019, the Exchange reclassified the donated capital from ALI amounting to P235.69 million to unappropriated retaining earnings following the change in use of the property in view of the end of owner-occupation (see Note 13).

19. Equity

The composition of equity is as follows:

	2019	2018
Common stock - P1.00 par value		
Authorized - 120.0 million shares		
Issued - 85,017,659 shares in 2019 and 85,003,850 in 2018	P85,017,659	P85,003,850
Additional paid-in capital in excess of par*	3,895,526,513	3,891,433,938
Subscribed capital stock (Note 33)	20,514,378	14,423,776
Subscription receivable (Note 33)	(14,613,074)	(10,476,557)
	3,986,445,476	3,980,385,007
Treasury stock - 3,273,954 shares in 2019 and 100,005 shares in 2018	(652,740,643)	(68,000,006)
	P3,333,704,833	P3,912,385,001

*Including share grants outstanding amounting to (P0.79 million) and P0.59 million in 2019 and 2018, respectively.

The following summarizes the information on the Parent Company's registration of securities under the SRC:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	P31.16
January 28, 2004	-	6,077,505	119.50
September 10, 2008	-	15,177,499	-
September 12, 2008	61,000,000	-	-
June 9, 2011	-	30,504,363	-
November 14, 2013	22,200,000	12,221,680	-
March 22, 2018	-	11,500,000	252.00

(Forward)

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
2019		13,809	
	120,000,000	85,017,659	

The Parent Company has total number of shareholders of 289 and 287 as at December 31, 2019 and 2018, respectively.

On May 4, 2019, the stockholders approved the amendment of the Exchange's articles of incorporation to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share.

The authorized capital stock of the Exchange will be ₱120.00 million divided into 106,000,000 common shares with par value of ₱1.00 per share or ₱106.00 million and 14,000,000 preferred shares with par value of ₱1.00 per share or ₱14.00 million. The features of the preferred shares are: (a) voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible to common shares, (e) preference over holders of common shares in the payment of dividends and distribution of corporate assets; holders of preferred shares to be paid in full the issue price (or pro rata if the assets of the corporation are insufficient) in the ease of dissolution and liquidation, (f) redeemable at the option of the BOD beginning the 5th anniversary date and (g) no pre-emptive rights. The terms of issuance of the preferred shares will be determined by the BOD.

On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation.

As at December 31, 2019, there were no issuance of preferred shares.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
March 27, 2019	₱8.80	₱747,998,266	April 12, 2019	May 10, 2019
January 24, 2018	9.00	660,831,111	February 8, 2018	March 6, 2018
February 22, 2017	7.00	513,917,404	March 31, 2017	April 27, 2017

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱557.25 million and ₱403.67 million as at December 31, 2019 and 2018, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱652.74 million and ₱68.00 million as at December 31, 2019 and 2018, respectively, representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of December 31, 2019 and 2018 amounted to ₱299.12 million and ₱1,264.5 million, respectively.

As at December 31, 2019 and 2018, the total appropriated retained earnings of the Parent Company and SCCP is ₱121.00 million. On August 13, 2008, the Parent Company's BOD appropriated ₱68.00 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP restricted retained earnings amounting to ₱50.00 million is for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 32).

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2019 and 2018, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities - accrued expenses" account in the consolidated statements of financial position amounted to ₱1.64 million and ₱1.28 million, respectively (see Note 16). As at February 26, 2020, the brokers' ownership is at 23.33%.

Stock Rights Offering (SRO)

Refer to Note 1 for the discussion on SRO.

The proceeds from SRO were used for financing of expenditures related to product development and working capital requirements and general corporate purposes. As at December 31, 2019 and 2018, the balance of the proceeds amounted to ₱2,449.82 million and ₱2,532.20 million, respectively.

Buyback of Common Shares and Creation of Non-voting Preferred Shares

On August 28, 2019, the BOD approved the Exchange's compliance plan to align shareholder ownership with the 20% limit set by SRC. This is composed of the buyback of common shares from broker shareholders and creation of 2,500,000 preferred shares at ₱1.00 par value with features of (a) non-voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible and (e) redeemable at the option of the BOD beginning on the third anniversary date.

On October 2, 2019, the Exchange acquired 2,419,965 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱445.10 million.

On November 5, 2019, the Exchange acquired 753,983 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱138.68 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.96 million as at December 31, 2019.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2019 and 2018.

The Group adopts a practice of providing shareholders with regular dividends.

20. Revenues

This account consists:

	2019	2018	2017
Listing-related fees:			
Listing	₱330,863,391	₱572,908,473	₱249,801,463
Listing maintenance	253,647,917	263,941,478	244,114,470
Processing	270,000	1,450,000	1,030,000
Service fees (Note 30)	316,532,108	310,146,965	349,707,632
Trading-related fees:			
Transaction (Note 30)	152,074,832	153,394,901	168,732,553
Data feed	117,635,210	118,769,453	89,358,799
Block sales (Note 30)	25,183,148	20,287,400	27,103,721
Subscription (Note 30)	32,266,872	104,924,249	50,142,297
Other revenues (Note 30)	62,475,544	50,384,562	45,527,589
	₱1,290,949,022	₱1,596,207,481	₱1,225,518,524

Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and also includes a reconciliation of the disaggregated revenue with the Group's three strategic divisions for the year ended December 31:

Major Product/Service Lines	December 31, 2019			
	Listing	Trading	Service	Total
Initial listing fees*	₱67,723,516	₱-	₱-	₱67,723,516
Additional listing fees*	211,319,010	-	-	211,319,010
Listing filing fees	51,820,864	-	-	51,820,864
Listing maintenance fees*	253,647,917	-	-	253,647,917

(Forward)

	December 31, 2019			
	Listing	Trading	Service	Total
Processing fees	P270,000	P-	P-	P270,000
Settlement and clearing fee	-	-	316,532,108	316,532,108
Transaction fees	-	152,074,832	-	152,074,832
Data feed fees	-	117,635,210	-	117,635,210
Block sales	-	25,183,148	-	25,183,148
Subscription fees	-	32,266,872	-	32,266,872
Management fee	-	-	239,658	239,658
Seminar fee	-	-	471,428	471,428
Others**	23,549,339	-	32,064,575	55,613,914
	P608,330,646	P327,160,062	P349,307,769	P1,284,798,477

Timing of revenue recognition

Transferred at a point in time	P-	P177,257,980	P349,068,111	P526,326,091
Transferred over time	608,330,646	149,902,082	239,658	758,472,386
	P608,330,646	P327,160,062	P349,307,769	P1,284,798,477

*In 2019, the Group adopted PFRS 15 on listing fees (see Note 2).

**Excludes rental income of P6.15 million as it is out of scope of PFRS 15.

	December 31, 2018			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Initial listing fees*	P27,875,185	P-	P-	P27,875,185
Additional listing fees*	543,033,288	-	-	543,033,288
Listing maintenance fees*	263,941,478	-	-	263,941,478
Processing fees	1,450,000	-	-	1,450,000
Settlement and clearing fee	-	-	310,146,965	310,146,965
Transaction fees	-	153,394,901	-	153,394,901
Data feed fees	-	118,769,453	-	118,769,453
Block sales	-	20,287,400	-	20,287,400
Subscription fees	-	104,924,249	-	104,924,249
Management fee	-	-	718,973	718,973
Seminar fee	-	-	403,750	403,750
Others**	7,519,289	-	38,948,550	46,467,839
	P843,819,240	P397,376,003	P350,218,238	P1,591,413,481

Timing of revenue recognition				
Transferred at a point in time	P843,819,240	P173,682,301	P349,499,265	P1,367,000,806
Transferred over time	-	223,693,702	718,973	224,412,675
	P843,819,240	P397,376,003	P350,218,238	P1,591,413,481

*In 2018, the adoption of PFRS 15 on listing fees was deferred for a period of one year (see Note 2).

**Excludes rental income of P4.79 million as it is out of scope of PFRS 15.

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion.

Significant changes in the contract liabilities balances during the period are as follows:

	2019	2018
Beginning balance	P12,241,761	P-
Transition adjustment due to adoption of PFRS 15 on listing fees	932,297,407	-
Transfers from beginning balance of "Deferred Fees" account due to the adoption of PFRS 15	-	11,043,855
Increases due to cash received, excluding amounts recognized as revenue during the period	342,753,328	96,083,146
Revenue recognized during the period including the contract liability balance at the beginning of the period	(343,470,139)	(94,885,240)
Ending balance	P943,822,357	P12,241,761

21. Interest Income

This account consists of interest income from:

	2019	2018	2017
Financial assets at FVOCI (Note 9)	P36,698,776	P49,223,468	P-
AFS investments (Note 9)	-	-	24,037,525
Cash and cash equivalents:			
Time deposits (Note 7)	170,758,548	89,194,574	12,457,743
Cash in banks (Note 7)	8,881,692	401,472	338,207
Financial assets at FVTPL	587,771	457,271	332,854
Other interest income	15,147	21,857	-
	P216,941,934	P139,298,642	P37,166,329

22. Cost of Services

This account consists of:

	2019	2018	2017
Repairs and maintenance	P95,690,280	P118,519,860	P74,746,407
Compensation and other related staff costs (Note 24)	86,954,397	87,742,578	87,489,343
Depreciation (Notes 12 and 15)	86,074,334	80,032,980	61,963,559
Communication	8,043,532	12,377,893	11,194,779
Amortization of computer software (Note 15)	-	1,677,844	5,033,531
Others (Note 25)	4,083,011	3,962,891	6,083,903
	P280,845,554	P304,314,046	P246,511,522

23. General and Administrative Expenses

This account consists of:

	2019	2018	2017
Compensation and other related staff costs (Note 24)	P151,398,735	P143,320,194	P150,918,739
Depreciation and amortization (Notes 12, 15 and 26)	94,023,175	70,512,425	23,701,133
Professional fees	76,064,997	69,808,463	56,044,951
Occupancy costs (Note 25)	51,049,815	104,384,174	60,644,216
Taxes and licenses	22,884,411	9,779,955	13,443,065
Repairs and maintenance	9,742,665	4,658,207	4,207,917
Public relations	5,914,234	7,875,054	7,062,739
Communication	5,883,518	1,799,782	1,880,872
Trading participants' development	5,216,125	6,016,878	6,738,846
Market development	3,386,755	993,802	3,174,377
Donations and contributions	3,000,000	500,000	1,054,500
Office supplies	2,867,202	6,008,393	3,897,845
Travel and transportation	2,103,693	4,921,347	3,558,764
Insurance	1,871,292	1,630,752	2,446,407
Meetings and conferences	1,224,534	1,300,897	1,542,637
Provision (Note 32)	-	20,000,000	-
Others	7,528,132	4,209,065	6,030,246
	P444,159,283	P457,719,388	P346,347,254

24. Compensation and Other Related Staff Costs

This account consists of:

	2019	2018	2017
Salaries and wages	P210,040,725	P199,405,343	P199,318,742
Pension expense (Note 28)	4,788,046	10,685,417	10,462,602
Other employee benefits	23,524,361	20,972,012	28,626,738
	P238,353,132	P231,062,772	P238,408,082

Other employee benefits include the ESPP expense amounting to ₱0.99 million, ₱0.33 million and ₱0.24 million in 2019, 2018 and 2017, respectively (see Note 33).

25. Occupancy Costs

This account consists of:

	2019	2018	2017
Condominium rent and dues (see Note 26)	₱24,338,697	₱72,388,433	₱30,060,663
Utilities	16,116,769	19,317,301	18,757,703
Security and janitorial services	11,038,626	12,678,440	11,825,850
	₱51,494,092	₱104,384,174	₱60,644,216

26. Leases

The Group as a Lessee (Upon Adoption of PFRS 16)

The Group has lease contracts for data recovery sites and office space used in its operations. Leases of data recovery sites have lease terms between 3 and 5 years, while the office space has a lease term of 6 years. The Group's lease contracts for data recovery site will be auto-renewed for one year.

The rollforward analysis of the right-of-use asset is as follows:

	Right-of-Use: Data Recovery Sites	Right-of-Use: Office Space	Total
As at January 1, 2019	₱74,259,768	₱-	₱74,259,768
Additions	-	13,736,336	13,736,336
Depreciation	(16,551,725)	(381,565)	(16,933,290)
Net Book Value	₱57,708,043	₱13,354,771	₱71,062,814

The following are the amounts recognized in the statement of comprehensive income for the year ended December 31, 2019:

Depreciation expense of right-of-use assets (Notes 22 and 23)	₱16,933,290
Interest expense on lease liabilities	4,806,013
Total amount recognized in statement of comprehensive income	₱21,739,303

The rollforward analysis of lease liabilities as at December 31, 2019 follows:

As at January 1, 2019	₱74,259,768
Additions	13,736,336
Interest expense	4,806,013
Payments	(19,346,724)
As at December 31	73,455,393
Less current portion of lease liabilities	17,967,558
Lease liabilities - net of current portion	₱55,487,835

Shown below is the maturity analysis of the undiscounted lease payments as at December 31, 2019:

1 year	₱21,868,224
More than 1 year to 2 years	21,868,224
More than 2 years to 3 years	21,389,074
More than 3 years to 4 years	12,656,643
More than 5 years	5,083,100

The Exchange as Lessor

The Exchange entered into lease agreements with the trading participants for the lease of trading booths at PSE Tower, Fort Bonifacio Global City. These contracts are renewable on a yearly basis.

Rent income amounted to ₱6.15 million and ₱4.79 million in 2019 and 2018, respectively (see Notes 20 and 29).

The Exchange as Lessee (Prior to PFRS 16)

As at August 29, 2017, the Exchange entered into a contract of lease with PRHC covering the lease of condominium units and parking slots at the Philippine Stock Exchange Center in Pasig City. This lease has a term of 18 months starting September 1, 2017 to February 28, 2019 which may be pre-terminated under terms and conditions that are mutually agreed upon by the parties. In April 2018, the contract of lease with PRHC was terminated.

Furthermore, at various dates in 2018, the Exchange entered into lease agreements covering storage room, colocation space and data recovery site. These contracts are renewable on a yearly basis.

Total rental expense amounted to ₱51.35 million and ₱20.64 million for the years ended December 31, 2018 and 2017, respectively (see Notes 22, 23 and 25).

CMIC as Lessee (Prior to PFRS 16)

In May 2012, CMIC entered into a lease agreement for its present office space with Ayala Land, Inc. The lease is for a period of five (5) years commencing on May 2, 2012 with an option to renew, subject to the fulfillment of the conditions specified in the lease agreement and under such terms and conditions as may be mutually acceptable to the lessor and the lessee. The lease agreement provides for escalation of rent at a rate of 5% for the second and third year and 10% for the fourth and fifth year. The lease is accounted for on a straight-line method over the term of the agreement.

The lease agreement contains (1) an advanced rental equivalent to three months' rent amounting to ₱0.40 million which shall be applied for the last three months of the lease, subject to adjustment if rent increases; and (2) a refundable deposit at an amount equivalent to three months' rent or ₱0.40 million which shall be refunded at the end of the lease. This refundable deposit is initially recognized at present value and subsequently carried at amortized cost using the effective interest method.

On May 2, 2017, CMIC renewed its lease agreement with Ayala Land, Inc. for a period of one (1) year. On February 19, 2018, the lease agreement for office space with Ayala was terminated. Total rent expense amounted to ₱0.06 million in 2018 and ₱4.26 million in 2017 (see Notes 22, 23 and 25).

27. Income Tax

The provision for (benefit from) income tax consists of:

	2019	2018	2017
Current:			
RCIT	₱145,624,041	₱217,075,013	₱203,836,120
MCIT	-	-	263,781
Final	50,958,815	27,855,186	8,505,363
Deferred	845,298	10,477,386	(2,099,487)
	₱197,428,154	₱255,407,585	₱210,505,777

The components of the net deferred tax assets are as follows:

	2019			2018		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Contract liabilities	₱282,517,670	₱282,165	₱282,799,835	₱-	₱-	₱-
Lease liabilities	17,900,171	2,870,162	20,770,333	-	-	-
Unamortized past service costs	5,380,623	-	5,380,623	5,524,375	-	5,524,375
Accrued expenses	3,624,163	-	3,624,163	-	89,201	89,201
Provision	3,368,901	-	3,368,901	6,000,000	-	6,000,000
Allowance for impairment losses on receivables	865,452	-	865,452	865,452	-	865,452
Pension liability	-	564,675	564,675	-	313,824	313,824
	313,656,980	3,717,002	317,373,982	12,389,827	403,025	12,792,852
Deferred tax liabilities:						
Right-of-use asset	17,312,413	2,675,924	19,988,337	-	-	-
Pension asset	10,359,783	-	10,359,783	14,936,631	-	14,936,631
Unrealized foreign exchange gains	161,288	-	161,288	296,408	-	296,408
Rent receivable - PFRS 9	17,918	28,044	45,962	178,888	36,978	215,867
	27,851,402	2,703,968	30,555,370	15,411,927	36,978	15,448,906
	₱285,805,578	₱1,013,034	₱286,818,612	(₱3,022,100)	₱366,047	(₱2,656,054)

Total movement in net deferred tax asset accounted under OCI for Parent Company and CMIC amounted to ₱10.49 million and ₱2.85 million in 2019 and 2018, respectively (see Note 28).

As at December 31, 2018, the carryforward benefit from the excess of MCIT over RCIT of CMIC that can be claimed as tax credit amount to ₱69,575 was applied against RCIT due.

The effect of the transition adjustments in the net deferred tax assets, resulting from the adoption of PFRS 15 and PFRS 16 as discussed in Note 2 to the consolidated financial statements, are as follows:

	January 1, 2019
Deferred tax assets on:	
Contract liabilities (Note 2)	₱279,689,222
Lease liabilities (Note 2)	22,277,930
	301,967,152
Deferred tax liabilities on:	
Right-of-use assets (Note 2)	22,277,930
	₱279,689,222

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2019 and 2018, in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱5.02 million and ₱3.29 million as at December 31, 2019 and 2018, respectively.

Premier's deferred tax asset, which were not recognized due to taxable loss amounted to ₱1.56 million as at December 31, 2019.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2019	2018	2017
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Nontaxable income	(0.39%)	(0.002%)	(4.99%)
Benefit from using OSD	(2.86%)	(2.49%)	(3.01%)
Equity in net income of an associate	(2.89%)	(1.19%)	(1.55%)
Income subjected to final tax	(1.78%)	(1.55%)	(0.25%)
Nondeductible expenses	0.24%	1.22%	0.07%
Movement in unrecognized DTA of a subsidiary	0.18%	—	—
Effective income tax rate	22.50%	25.99%	20.27%

28. Retirement Plan and Other Employee Benefits

Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2019 and 2018 are shown below:

	Parent Company		SCCP		CMIC	
	2019	2018	2019	2018	2019	2018
Discount rate	5.61%	8.58%	5.54%	7.70%	5.57%	7.72%
Future salary increases	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP and CMIC were made as at December 31, 2019.

The pension expense included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income are as follows:

	2019	2018	2017
Current service cost	₱8,722,670	₱12,193,640	₱11,498,353
Net interest income	(3,934,624)	(1,508,223)	(1,035,751)
	₱4,788,046	₱10,685,417	₱10,462,602

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2019	2018	2017
Remeasurement gains on pension asset/liability	₱38,814,219	₱12,446,684	₱7,245,370
Tax effect (Note 27)	(10,486,946)	(2,851,354)	(1,968,386)
	₱28,327,273	₱9,595,330	₱5,276,984

The Parent Company's share in remeasurement loss on pension benefits of the associate is ₱4.84 million, ₱0.85 million and ₱2.87 million in 2019, 2018 and 2017, respectively.

The pension (asset)/ liability included in the consolidated statements of financial position as at December 31, 2019 and 2018 are as follows:

	2019			2018		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Present value of the obligation	₱143,590,199	₱16,115,585	₱1,882,249	₱83,363,729	₱10,682,672	₱1,046,081
Fair value of plan assets	(181,877,263)	—	—	(155,165,634)	—	—
Effect of asset ceiling	3,754,453	—	—	22,013,137	—	—
	(34,532,611)	₱16,115,585	₱1,882,249	(₱49,788,768)	₱10,682,672	₱1,046,081

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2019			2018		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Balance at beginning of year/period	₱83,363,729	₱10,682,672	₱1,046,081	₱109,892,509	₱12,469,341	₱1,172,909
Current service cost	7,750,580	752,616	219,474	11,067,460	912,032	214,148
Interest cost on benefit obligation	7,152,608	822,566	80,757	6,527,615	719,481	59,584
Actual benefits paid	(8,881,911)	—	—	(1,829,850)	(476,012)	—
Actuarial gains arising from:						
Changes in financial assumptions	42,012,587	4,010,138	414,039	(32,296,170)	(3,249,725)	(384,303)
Experience adjustments	12,192,606	(152,407)	73,234	(9,997,835)	307,555	(97,144)
Changes in demographic assumptions	—	—	48,664	—	—	80,887
Balance at end of year/period	₱143,590,199	₱16,115,585	₱1,882,249	₱83,363,729	₱10,682,672	₱1,046,081

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2019	2018
Balance at beginning of year	₱155,165,634	₱142,778,571
Interest income	13,879,282	9,023,286
Actual benefits paid	(8,881,911)	(1,829,850)
Remeasurement loss	(362,769)	(14,893,428)
Contributions	22,077,027	20,087,055
Balance at end of year	₱181,877,263	₱155,165,634

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's retirement plan as at December 31, 2019 and 2018:

	2019		2018	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents*	₱14,989,169	₱14,989,169	₱32,648,247	₱32,648,247
Investment in government securities, bonds and other debt instruments	134,571,446	134,571,446	103,473,763	103,473,763
Investment in equity securities	31,466,697	31,466,697	17,973,077	17,973,077
Others	1,218,398	1,218,398	1,070,547	1,070,547
	₱182,245,710	₱182,245,710	₱155,165,634	₱155,165,634

*The difference between the plan assets as of December 31, 2019 and retirement fund amounting to ₱0.37 million pertains to additional benefit payments not reflected on the plan assets.

The Parent Company's retirement plans' assets and investments consist of the following:

- Cash and cash equivalents includes regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds that bear interest ranging from 3.03% to 7.38% in 2019 and 2018 and have maturities from April 2020 to March 2027 in 2018 and fixed-income treasury notes that bear interest ranging from 3.03% to 8.75% in 2019 and 2018 with maturities from August 2020 to August 2037 and November 2019 to August 2037 in 2019 and 2018, respectively.
- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.00% to 6.15% in 2019 and 2018 and have maturities from May 2020 to April 2025 in 2019 and 2018.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2019 and 2018, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2019	2018
Discount rate	100	(₱18,756,390)	(₱10,362,864)
	(100)	22,290,240	12,226,195
Future salary increases	100	22,198,986	11,665,196
	(100)	(19,021,230)	(10,077,713)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2019 and 2018 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.

Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2019 and 2018:

	2019	2018
More than one year to five years	₱34,066,698	₱25,831,378
More than five years to 10 years	74,932,558	30,128,108
	₱108,999,256	₱55,959,486

The weighted average duration of the defined benefit obligations as at December 31, 2019 are 12.6 years, 13.8 years and 12.3 years for the Parent Company, SCCP and CMIC, respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2018 are 11.7 years, 13.4 years and 11.1 years for the Parent Company, SCCP and CMIC, respectively.

Other Employee Benefits

Other employee benefits pertains to accumulated sick leave entitlement which are expected to be settled beyond one year after the end of the reporting date.

The principal actuarial assumptions used in determining the liabilities for other employee benefits of the Exchange as at December 31, 2019 are shown below:

Discount rate	4.65%
Future salary increases	5.00%

The latest actuarial valuation study of the other employee benefits of the Exchange were made as at December 31, 2019.

The other employee benefits liabilities included in the consolidated financial position as at December 31, 2019 amounted to ₱2.71 million.

As at December 31, 2019, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation
Discount rate	100	(₱265,766)
	(100)	303,033
Future salary increases	100	298,919
	(100)	(267,320)

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2019:

More than one year to five years	₱245,383
More than five years to 10 years	1,656,140
	₱1,901,523

The weighted average duration of the defined benefit obligation as at December 31, 2019 for the Parent Company is 10.5 years.

29. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

The following reflects the diluted EPS computations:

	2019	2018	2017
(a) Net income	₱681,125,163	₱727,105,904	₱828,085,490
(b) Weighted average number of shares - basic	81,809,909	82,020,286	73,380,390
Weighted average number of shares outstanding under the ESPP (Note 32)	153,551	223,736	134,296
(c) Adjusted weighted average shares - diluted	81,963,460	82,244,022	73,514,686
EPS:			
Basic (a/b)	₱8.33	₱8.86	₱11.28
Diluted (a/c)	8.31	8.84	11.26

30. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants - Revenues					
Trading-related fees (Notes 10 and 19):					
Transaction	2019	₱152,074,832	₱10,498,154	Collectible monthly through cash, noninterest-bearing	Unsecured; with impairment in 2019 and 2018
	2018	153,394,901	11,158,139		
	2017	168,732,553	11,507,812		
Block sales	2019	25,183,148	2,245,537	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2018	20,287,400	2,392,351		
	2017	27,103,721	1,803,034		
Subscription	2019	32,266,872	—	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2018	104,924,249	2,559,024		
	2017	50,142,297	—		
Service fees (Notes 10 and 20)	2019	316,532,108	26,311,158	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2018	310,146,965	27,752,718		
	2017	349,707,632	27,262,237		
Other revenues (Notes 10 and 20)	2019	35,106,937	4,188,800	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2018	41,705,684	13,871,437		
	2017	37,739,419	16,441,615		
Subsidiary of Associate					
Philippine Dealing and Exchange Corp (PDEX)					
Other revenues (Notes 10 and 20)	2019	4,188,800	4,188,800	Collectible monthly, noninterest-bearing	Unsecured; no impairment
	2018	12,426,400	12,426,400		

The receivable from trading participants included in the consolidated statements of financial position are net of allowance for impairment losses of ₱0.33 million as at December 31, 2019 and 2018.

Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, integration of PDEX's fixed income module in the trading system, and other fees.

The Exchange as Trustee of the Philippine Stock Exchange Foundation, Inc. (the Foundation)

On December 10, 2019, the Board of Trustees (BOT) of the Foundation approved the dissolution of the Foundation by shortening its corporate term until January 31, 2020. The BOT also approved that, upon expiration of the Foundation's corporate term, all of the Foundation's assets and properties shall be transferred and conveyed to the Exchange which is hereby appointed as trustee of the Foundation for a period of three years (the 3-year winding up period). During the 3-year winding up period, the Exchange, through its BOD or its duly authorized representative, is authorized to: (1) file, process, and obtain the necessary government or regulatory approvals for the closure and dissolution of the Foundation; (2) prosecute and defend suits by or against the Foundation; (3) manage the remaining assets of the Foundation as the Exchange may deem fit,

pending turnover to a foundation of the Exchange's choice dedicated to religious, charitable, scientific, athletic, cultural, or educational purposes; (4) dispose of, convey, or transfer assets of the Foundation exclusively for purposes of paying the Foundation's outstanding liabilities and turning over to a qualified foundation as aforementioned; (5) close the affairs of the Foundation ; and (6) perform all acts and execute all documents, agreements, papers and forms, without need of further approval or action from the Company, as may be necessary to implement the foregoing.

Settlement of related party transactions normally occurs in cash.

Compensation of Key Management Personnel

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statement of comprehensive income is as follows:

	2019	2018	2017
Short-term employee benefits	₱64,129,921	₱62,737,834	₱70,517,094
Post-employment pension and medical benefits	798,962	3,017,446	1,028,185
Employee stock purchase plan (Notes 24 and 33)	263,250	449,562	51,168
	₱65,192,133	₱66,204,842	₱71,596,447

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

Approval Thresholds on Related Party Transactions

All potential related party transactions shall be endorsed to the management committee by the user division for proper review, documentation and approval by the relevant authorities except for transactions in the ordinary course of business, employee-related matters, share transactions, funding agreement with CMIC and renewal of an existing contract or agreement with the same terms and conditions. A related party transaction is deemed material if it, individually, or in aggregate over a twelve (12)-month period with the same related party reaches 10% or higher of the total consolidated assets based on the latest audited consolidated financial assets.

31. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

32. Provision and Contingencies

Parent Company

Provision. As at December 31, 2016, the Parent Company is a party to legal proceedings, the outcome of which are not presently determinable. Provision recognized under "General and administrative" account in the 2016 consolidated statement of comprehensive income amounted to ₱39.86 million (see Note 23).

These include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company. Other information on the claims are not disclosed as this may prejudice the Parent Company's position on such claims.

On January 25, 2017, the Parent Company filed a motion for reconsideration and received the respondents' comment on June 15, 2017. In a resolution dated December 13, 2017, the Supreme Court denied the Parent Company's reconsideration with finality. The provision amounting to ₱41.00 million as at December 31, 2017 was reclassified to "Accounts payable and other current liabilities" account in the 2017 statement of financial position.

On March 28, 2018, the Parent Company paid the award to the claimant after the Exchange obtained from the claimant a signed Release, Waiver and Quitclaim.

On April 26, 2018, the Joint Manifestation and Motion that the full satisfaction and settlement of the case was filed by the Parent Company with the Regional Trial Court of Pasig.

For the year ended December 31, 2018, the Parent Company recorded a provision amounting to P20.0 million which pertains to termination benefits payable to employees identified under its organizational streamlining program, the timing of settlement is not yet certain as at December 31, 2018 (see Note 22). In 2019, the Parent Company reclassified the provision to accrued expenses as a result of the finalization of streamlining program (see Note 16).

Contingencies. In April 2019, the Parent Company entered into non-exclusive agreement with a real estate agent for the purpose of marketing the leasing out of office units. The agent's commission depends on the term of lease and is payable upon successful execution of lease contract. There are no identified lessee/s as at December 31, 2019.

SCCP
The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2019 and 2018. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2019	2018
Value of shares not yet delivered (net selling)	P8,746,748,512	P6,208,754,404
Amount of purchases unpaid (due clearing)	3,026,596,780	2,575,673,113
	P11,773,345,292	P8,784,427,517

All transactions outstanding as at December 31, 2019 and 2018 were subsequently settled in January 2020 and 2019, respectively. Accordingly, no failed trades occurred from these transactions.

33. Employee Stock Purchase Plans

2015 ESPP
On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2018 ESPP
On April 11, 2018, the Parent Company's BOD approved to offer 300,000 ESPP shares for 3 years.

On November 16, 2018, the SEC approved Parent Company's request to be exempted from the registration requirements of the SRC. Also, such approval commences the effectivity date of ESPP.

On December 27, 2018, the initial offering of ESPP was announced with the following terms and conditions:

- the number of shares allotted for the offering is 300,000 shares or about 0.35% of the outstanding capital stock of the Parent Company. Each offering shall consist of 100,000 shares;
- the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2021. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty six (36) months subject to payroll guidelines on net take home pay;
- a mandatory holding period of three (3) years from the date of subscription shall be implemented;
- one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;
- if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and
- in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

	2018 ESPP	2015 ESPP
Total number of ESPP shares granted:		
2016	–	100,000
2017	–	50,000
2018	100,000	–
2019	100,000	–
Availed shares in:		
2016	–	(31,437)
2017	–	(13,859)
2018	(82,123)	–
2019	(64,326)	–
Forfeited shares in 2017	–	(8,000)
Expired shares in 2017	–	(96,704)
Outstanding ESPP shares as at December 31, 2019	53,551	–

Total additional paid-in capital and employee benefit expense arising from ESPP amounted to (P0.79 million), P0.59 million and P0.39 million in 2019, 2018 and 2017, respectively.

In 2017, 8,000 shares from the 2015 ESPP with a subscription price amounting to P1.81 million were forfeited following the resignation of the employee who availed of the said ESPP shares.

In 2019 and 2018, 13,809 shares and 23,437 shares from the 2015 ESPP with a subscription price amounting ₱2.97 million and ₱5.47 million, respectively, have vested following the completion of the two (2) year mandatory period. The said shares were issued to the employees and were recorded in the “Capital stock” and “Additional paid-in capital” accounts in the 2019 and 2018 statement of changes in equity (see Note 19).

The exercise prices of the shares granted during 2019 and 2018 amounted ₱139.55. The fair value of shares granted during 2019 and 2018 based on the Exchange's daily stock quotation amounted to ₱139.90 and ₱178.50, respectively.

34. Client Monies

Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	2019	2018
Principal contributions from:		
Trading participants:		
Balance at beginning of year	₱688,660,120	₱645,738,112
Contributions	48,393,367	42,922,008
Balance at end of year	737,053,487	688,660,120
The Parent Company	80,000,000	80,000,000
	817,053,487	768,660,120
Accumulated income:		
Balance at beginning of year	388,187,804	339,033,519
Interest income - net of management fee of ₱1.25 million and ₱1.10 million in 2019 and 2018, respectively	34,689,609	49,154,285
Balance at end of year	422,877,413	388,187,804
Net unrealized loss on financial assets at FVOCI	7,730,435	(59,133,623)
	430,607,848	329,054,181
	₱1,247,661,335	₱1,097,714,301

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

During its regular meeting held on March 15, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the Clearing Member and/or upon termination of membership with the Corporation, provided that all liabilities of such Clearing Member at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, (taking into account any pending and previous applications of the Clearing Fund at the time of such termination), subject to the approval of the SEC.

SCCP Management was notified by the SEC on May 10, 2018 that during its meeting held on March 13, 2018, the Commission en banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to the conditions mentioned above. The return of contributions shall be made after a reasonable processing time. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018.

Assets of CTGF

The assets of the CTGF consist of:

	2019	2018
Financial assets at amortized cost:		
Cash in banks	₱16,410,072	₱34,306,542
Accounts receivable	3,379,228	3,429,725
Accrued interest receivable	9,705,277	8,789,913
Financial assets at FVOCI - debt securities:		
Principal amount	1,209,107,600	1,105,375,600
Net unamortized premium	2,577,633	6,044,957
Net unrealized loss on financial assets at FVOCI	7,730,435	(59,133,623)
	1,248,910,245	1,098,813,144
Less accrued management fees	1,248,910	1,098,813
	₱1,247,661,335	₱1,097,714,301

Under the SCCP's rules, the CTGF may only be invested in the following:

- Securities issued or guaranteed by the Republic of the Philippines; and
- Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As at December 31, 2019, financial assets at FVOCI with face value of ₱331.46 million will mature within one year from reporting date.

Net unrealized loss from CTGF investments held as financial assets at FVOCI follows:

	2019	2018
Balance at beginning of year	(₱59,133,623)	(₱16,134,397)
Change in fair value	66,864,058	(42,999,226)
Balance at end of year	₱7,730,435	(₱59,133,623)

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to ₱1.25 million, ₱1.10 million and ₱1.07 million in 2019, 2018 and 2017, respectively, is included under “Other revenues” account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- Payment of premium on any insurance policy taken for the CTGF.

Funds of Suspended Trading Participants (TPs)

The funds of the suspended TPs are trust monies. These are presented off balance sheet and are not included within the noncurrent assets and noncurrent liabilities in the consolidated statements of financial position since these are not assets or liabilities of the Group.

Suspension of trading operations may either be voluntary or involuntary. In voluntary suspension, the TP applies for the suspension trading operations. In involuntary suspension, the Exchange or the SEC initiates and orders the suspension of the trading operations of the TP in accordance with the securities laws.

Under Section 33 of the Securities Regulation Code, when the Exchange shall have found that the financial condition of its member firm has so deteriorated that it cannot readily meet the demands of its customers for the delivery of securities and/ or payment of sales proceeds, the Exchange shall, upon order of the Commission, take over the operation of the insolvent member firm and immediately proceed to settle the member firm's liabilities to its customers.

In August 1997, November 2003, and September 2008, the Exchange, through its Market Regulation Division, imposed an involuntary suspension of the operations of Marino Olondriz Y Cia, Asian Capital Equities, Inc., and HK Securities, Inc., respectively. Subsequently, the SEC issued takeover orders against the above TPs. Further, in December 2002 and October 2003, Pryce Securities, Inc. and Wise Securities, Inc. correspondingly suspended their operations voluntarily.

In May 2010, the BOD of the Exchange approved the creation of CMIC, a wholly-owned subsidiary that will function as the independent audit, surveillance and compliance unit of the Exchange with authority to adopt, enforce, implement and interpret rules, guidelines, and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange. Thus, CMIC succeeded the Market Regulation Division of the Exchange after the BOD of the Exchange approved the spinoff of the said division into a separate independent corporation.

Following the grant of the SEC of its self-regulatory organization status, the Exchange, in August 2014, turned over to CMIC the fund balances of the five (5) suspended TPs totaling ₱23.38 million, broken down as follows:

Pryce Securities, Inc.	₱8,365,421
HK Securities, Inc.	5,582,686
Wise Securities Philippines, Inc.	4,471,976
Asian Capital Equities, Inc.	2,594,393
Marino Olondriz Y Cia	2,367,458
	₱23,381,934

The responsibilities of CMIC with regard to the funds of the suspended TPs include handling the customer accounts, disbursing and settling of any customer claims, and managing the money balances.

In 2017, the BOD of CMIC proposed the imposition of a custodial fee of 1/2 of 1% per annum on the fund balances of the suspended TPs. The proposal has been presented to the SEC for approval. The proposed custodial fees from August 2017 to December 31, 2019 amounted to ₱402,793. This amount has not been deducted from the fund balances shown below.

As at December 31, 2019 and 2018, the fund balances of the five (5) suspended TPs, exclusive of the proposed custodial fees, are as follows:

	2019	2018
Pryce Securities, Inc.	₱9,488,050	₱8,879,693
HK Securities, Inc.	6,935,011	6,562,822
Wise Securities Philippines, Inc.	4,924,071	4,721,744
Asian Capital Equities, Inc.	6,664,869	5,778,913
Marino Olondriz Y Cia	4,697,491	4,247,412
	₱32,709,492	₱30,190,584

As at December 31, 2019, ₱30.33 million out of the total funds of ₱32.71 million is placed in time deposit with an interest rate of 3.5%. while as at December 31, 2018, ₱29.08 million out of the total fund of ₱30.19 million is placed in time deposit for 30 days to mature on January 2, 2019 and January 14, 2019 with an interest rates of 6.1% and 6.75% respectively.

35. Note to the Consolidated Statements of Cash Flows

Changes in Liabilities arising from Financing Activities

In 2019 and 2018, changes in liabilities arising from financing activities follow:

	January 1, 2019	Cash flows	Others (Note 19)	December 31, 2019
Dividends payable	₱-	(₱747,998,266)	₱747,998,266	₱-
Lease liabilities	74,259,768	(19,346,724)	18,542,349	73,455,393
	₱74,259,768	(₱767,344,990)	₱766,540,615	₱73,455,393

	January 1, 2018	Cash flows	Others (Note 19)	December 31, 2018
Dividends payable	₱-	(₱660,831,111)	₱660,831,111	₱-

Other pertains to the cash dividends declared during the year and interest expense on and additions to lease liabilities. The Group classifies interest paid as cash flows from operating activities.

Noncash transaction under Financing Activities and Investing Activities

The principal noncash transaction under financing activities pertains to fully vested 2015 ESPP shares which were availed in 2017 and 2016 amounting to ₱2.97 million in 2019, ₱5.47 million in 2018 and nil in 2017 (see Note 33).

The principal noncash transactions under investing activities pertains to the retained earnings adjustment for the depreciation of Ayala property amounting to ₱124.55 million in 2019 and acquisition of property and equipment on account amounting to ₱97.88 million, ₱44.76 million and ₱44.98 million in 2019, 2018 and 2017, respectively (see Notes 12 and 13).

36. Events After the Reporting Period

On January 16, 2020, the Exchange entered into a non-exclusive agency agreement with Santos Knight Frank, Inc. for purpose of marketing the leasing out of office units at Exchange Plaza. The broker's commission depends on the term of lease and is payable upon successful execution of lease contract.

On January 24, 2020, the Exchange acquired 240,000 common shares from broker shareholders at ₱181.00 per share with a total purchase price of ₱43.44 million (see Note 19).



5/10



LISTED COMPANIES AND ISSUES

LISTED COMPANIES AND ISSUES

AS OF DECEMBER 31, 2019

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
FINANCIALS SECTOR		4,767,374,262,960.83
BANKS		1,997,685,396,377.56
Asia United Bank Corporation	AUB	25,769,989,567.80
BDO Unibank, Inc.	BDO	692,238,184,772.00
Bank of the Philippine Islands	BPI	396,169,003,754.40
China Banking Corporation	CHIB	67,281,790,290.60
Citystate Savings Bank, Inc.	CSB	849,000,000.00
Export and Industry Bank, Inc. "A"	EIBA	715,844,676.56
Export and Industry Bank, Inc. "B"	EIBB	4,207,985,965.04
East West Banking Corporation	EW	27,134,703,456.66
Metropolitan Bank & Trust Company	MBT	298,178,651,296.50
NextGenesis Corporation	NXGEN	728,092,575.00
Philippine Business Bank	PBB	8,175,626,193.80
Philippine Bank of Communications	PBC	9,853,225,841.50
Philippine National Bank	PNB	52,638,887,325.00
Philippine Savings Bank	PSB	22,028,791,420.00
Philippine Trust Company	PTC	130,000,000,000.00
Rizal Commercial Banking Corporation	RCB	44,519,464,608.00
Security Bank Corporation	SECB	146,940,082,965.00
Union Bank of the Philippines	UBP	70,256,071,669.70
OTHER FINANCIAL INSTITUTIONS		2,769,688,866,583.27
Bright Kindle Resources & Investments Inc.	BKR	1,696,606,140.00
BDO Leasing and Finance, Inc.	BLFI	4,043,828,833.44
COL Financial Group, Inc.	COL	8,767,920,000.00
First Abacus Financial Holdings Corporation	FAF	859,104,000.00
Ferronoux Holdings, Inc.	FERRO	1,002,785,927.66
Filipino Fund, Inc.	FFI	351,171,779.00
I-Remit, Inc.	I	709,501,381.52
Medco Holdings, Inc.	MED	1,184,734,665.38
Manulife Financial Corporation	MFC	1,657,811,493,186.00
National Reinsurance Corporation of the Philippines	NRCP	1,762,592,648.00
The Philippine Stock Exchange, Inc.	PSE	14,319,517,100.00
Sun Life Financial Inc.	SLF	1,072,644,062,075.00
Vantage Equities, Inc.	V	4,535,548,847.28
INDUSTRIAL SECTOR		2,639,688,226,261.01
ELECTRICITY, ENERGY, POWER & WATER		913,652,655,050.69
AC Energy Philippines, Inc.	ACEPH	16,773,558,076.06
Alsons Consolidated Resources, Inc.	ACR	7,612,715,000.00
Aboitiz Power Corporation	AP	251,664,267,299.40
Basic Energy Corporation	BSC	685,361,214.93

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
First Gen Corporation	FGEN	87,179,645,400.75
First Philippine Holdings Corporation	FPH	35,092,985,335.80
Manila Electric Company	MER	357,290,289,485.00
Manila Water Company, Inc.	MWC	21,391,738,432.12
Petron Corporation	PCOR	36,187,903,358.42
PetroEnergy Resources Corporation	PERC	2,331,718,552.20
Phoenix Petroleum Philippines, Inc.	PNX	16,790,078,530.08
Pilipinas Shell Petroleum Corporation	SHLPH	52,920,969,825.60
SPC Power Corporation	SPC	12,256,759,266.57
Vivant Corporation	VVT	15,474,665,273.76
FOOD, BEVERAGE & TOBACCO		1,433,260,935,376.43
AgriNurture, Inc.	ANI	13,746,700,188.00
Axelum Resources Corp.	AXLM	10,440,000,000.00
Bogo-Medellin Milling Company, Inc.	BMM	528,600,000.00
Central Azucarera de Tarlac, Inc.	CAT	4,938,777,524.80
Century Pacific Food, Inc.	CNPF	53,771,485,472.10
Del Monte Pacific Limited	DELM	9,428,206,116.40
D&L Industries, Inc.	DNL	67,857,150,905.00
Emperador Inc.	EMP	113,625,860,720.96
San Miguel Food and Beverage, Inc.	FB	502,283,707,650.00
Alliance Select Foods International, Inc.	FOOD	1,274,853,356.13
Fruitas Holdings, Inc,	FRUIT	2,581,752,800.00
Ginebra San Miguel, Inc.	GSMI	10,667,368,436.00
Jollibee Foods Corporation	JFC	236,974,664,880.00
Liberty Flour Mills, Inc.	LFM	6,247,500,000.00
Macay Holdings, Inc.	MACAY	6,613,354,050.37
Max's Group, Inc.	MAXS	13,479,021,017.60
Millennium Global Holdings, Inc.	MG	382,500,000.00
Pepsi-Cola Products Philippines, Inc.	PIP	7,092,042,775.68
Shakey's Pizza Asia Ventures, Inc.	PIZZA	15,160,078,424.70
Roxas and Company, Inc.	RCI	4,450,262,723.55
RFM Corporation	RFM	18,320,473,207.40
Roxas Holdings, Inc.	ROX	2,786,284,438.20
Swift Foods, Inc.	SFI	212,287,546.34
Universal Robina Corporation	URC	319,603,470,860.00
Vitarich Corporation	VITA	3,665,200,816.80
Victorias Milling Company, Inc.	VMC	7,129,331,466.40
CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES		229,849,166,091.90
Concrete Aggregates Corporation "A"	CA	1,435,055,115.00
Concrete Aggregates Corporation "B"	CAB	387,445,948.20
Cemex Holdings Philippines, Inc.	CHP	10,442,744,862.54
Da Vinci Capital Holdings, Inc.	DAVIN	5,624,999,845.00
Eagle Cement Corporation	EAGLE	74,300,000,074.30
EEl Corporation	EEI	10,155,558,553.00
Holcim Philippines, Inc.	HLCM	87,748,548,358.40

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES		229,849,166,091.90
Megawide Construction Corporation	MWIDE	33,833,787,902.46
Phinma Corporation	PHN	2,772,446,113.90
Philippine National Construction Corporation	PNC	854,779,319.10
Supercity Realty Development Corporation	SRDC	88,000,000.00
TKC Metals Corporation	T	958,800,000.00
Vulcan Industrial & Mining Corporation	VUL	1,247,000,000.00
CHEMICALS		22,961,236,793.50
Chemical Industries of the Philippines, Inc.	CIP	1,750,422,170.00
Crown Asia Chemicals Corporation	CROWN	1,317,401,750.00
Euro-Med Laboratories Phil., Inc.	EURO	6,579,424,864.00
LMG Chemicals Corporation	LMG	940,624,695.36
Mabuhay Vinyl Corporation	MVC	2,314,582,893.00
Pryce Corporation	PPC	10,058,780,421.14
ELECTRICAL COMPONENTS & EQUIPMENT		38,052,888,992.41
Concepcion Industrial Corporation	CIC	12,096,812,730.00
Greenergy Holdings Incorporated	GREEN	3,367,455,929.64
Integrated Micro-Electronics, Inc.	IMI	17,494,443,466.35
Ionics, Inc.	ION	1,088,270,289.60
Panasonic Manufacturing Philippines Corporation	PMPC	460,048,235.76
SFA Semicon Philippines Corporation	SSP	1,840,270,494.35
Cirtek Holdings Philippines Corporation	TECH	1,705,587,846.71
OTHER INDUSTRIALS		1,911,343,956.08
Filsyn Corporation "A"	FYN	371,243,121.00
Filsyn Corporation "B"	FYNB	412,492,370.00
Picop Resources, Inc.	PCP	867,608,465.08
Steniel Manufacturing Corporation	STN	260,000,000.00

HOLDING FIRMS SECTOR		3,970,609,252,498.83
Asia Amalgamated Holdings Corporation	AAA	1,287,999,969.41
AbaCore Capital Holdings, Inc.	ABA	2,739,903,264.94
Asiabest Group International Inc.	ABG	3,138,000,000.00
Ayala Corporation	AC	492,252,331,954.50
Aboitiz Equity Ventures, Inc.	AEV	290,088,816,685.50
Alliance Global Group, Inc.	AGI	114,548,681,607.14
AyalaLand Logistics Holdings Corp.	ALLHC	18,841,760,041.13
A. Soriano Corporation	ANS	16,050,000,000.00
Anglo Philippine Holdings Corporation	APO	2,072,278,751.22
ATN Holdings, Inc. "A"	ATN	3,441,000,000.00
ATN Holdings, Inc. "B"	ATNB	768,000,000.00
BHI Holdings, Inc.	BH	637,483,425.00
Cosco Capital, Inc.	COSCO	49,511,706,377.76
DMCI Holdings, Inc.	DMC	87,764,076,700.00
Filinvest Development Corporation	FDC	112,430,018,831.00

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
F & J Prince Holdings Corporation "A"	FJP	1,167,514,370.82
F & J Prince Holdings Corporation "B"	FJPB	683,075,301.35
Forum Pacific, Inc.	FPI	373,305,478.94
GT Capital Holdings, Inc.	GTCAP	182,346,045,189.00
House of Investments, Inc.	HI	4,037,619,461.20
JG Summit Holdings, Inc.	JGS	578,757,605,885.60
Jollville Holdings Corporation	JOH	1,871,975,000.00
Keppel Philippines Holdings, Inc. "A"	KPH	187,339,724.60
Keppel Philippines Holdings, Inc. "B"	KPHB	125,275,039.71
Lodestar Investment Holdings Corporation	LIHC	1,500,000,000.00
Lopez Holdings Corporation	LPZ	16,916,307,476.81
LT Group, Inc.	LTG	129,640,238,890.22
Metro Global Holdings Corporation	MGH	2,000,000,000.00
Mabuhay Holdings Corporation	MHC	684,000,000.00
MJC Investments Corporation	MJIC	8,253,455,134.60
Metro Pacific Investments Corporation	MPI	109,861,298,856.96
Pacifica Holdings, Inc.	PA	1,543,750,000.00
Prime Media Holdings, Inc.	PRIM	840,358,339.20
Republic Glass Holdings Corporation	REG	2,012,093,614.40
Solid Group, Inc.	SGI	2,222,281,240.00
Synergy Grid & Development Phils., Inc.	SGP	9,645,870,000.00
SM Investments Corporation	SM	1,256,379,930,281.00
San Miguel Corporation	SMC	390,078,096,392.00
SOCResources, Inc.	SOC	712,517,248.72
Seafront Resources Corporation	SPM	360,230,000.00
Top Frontier Investment Holdings, Inc.	TFHI	71,237,639,738.00
Unioil Resources & Holdings Company, Inc.	UNI	391,031,754.34
Wellex Industries, Inc.	WIN	660,931,512.36
Zeus Holdings, Inc.	ZHI	547,408,961.40

PROPERTY SECTOR		2,670,844,902,961.37
Arthaland Corporation	ALCO	4,307,657,111.19
Anchor Land Holdings, Inc.	ALHI	9,308,008,950.00
Ayala Land, Inc.	ALI	669,758,275,595.50
Araneta Properties, Inc.	ARA	2,868,539,727.90
Belle Corporation	BEL	19,428,621,331.03
A Brown Company, Inc.	BRN	1,759,144,216.81
Cityland Development Corporation	CDC	3,743,178,221.40
Crown Equities, Inc.	CEI	2,812,479,990.60
Cebu Holdings, Inc.	CHI	14,665,945,090.80
Cebu Landmasters, Inc.	CLI	8,019,732,000.00
Century Properties Group Inc.	CPG	6,379,780,379.50
Cebu Property Ventures and Development Corporation "A"	CPV	3,836,628,000.00
Cebu Property Ventures and Development Corporation "B"	CPVB	2,632,980,000.00
Cyber Bay Corporation	CYBR	2,586,613,964.14
DoubleDragon Properties Corp.	DD	44,746,290,540.00

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
D.M. Wenceslao & Associates, Incorporated	DMW	33,619,054,590.00
Empire East Land Holdings, Inc.	ELI	6,310,765,641.81
Ever-Gotesco Resources and Holdings, Inc.	EVER	500,000,000.00
Filinvest Land, Inc.	FLI	36,374,639,259.00
Global-Estate Resorts, Inc.	GERI	13,183,200,000.00
8990 Holdings, Inc.	HOUSE	80,030,541,390.80
Philippine Infradev Holdings Inc.	IRC	7,576,950,402.50
Keppel Philippines Properties, Inc.	KEP	1,175,315,600.00
City & Land Developers, Incorporated	LAND	1,102,474,668.68
Megaworld Corporation	MEG	129,282,182,946.72
MRC Allied, Inc.	MRC	1,625,917,864.23
Philippine Estates Corporation	PHES	621,586,426.90
Primetown Property Group, Inc.	PMT	320,354,880.00
Primex Corporation	PRMX	3,472,883,329.85
Robinsons Land Corporation	RLC	143,090,035,371.75
Philippine Realty and Holdings Corporation	RLT	1,476,697,472.10
Rockwell Land Corporation	ROCK	12,478,194,883.92
Shang Properties, Inc.	SHNG	15,244,980,118.40
Sta. Lucia Land, Inc.	SLI	20,327,196,000.00
SM Prime Holdings, Inc.	SMPH	1,215,815,654,317.40
Starmalls, Inc.	STR	47,691,053,342.96
Suntrust Home Developers, Inc.	SUN	2,767,500,000.00
PTFC Redevelopment Corporation	TFC	1,748,250,000.00
Vista Land & Lifescapes, Inc.	VLL	98,155,599,335.48

SERVICES SECTOR

2,129,595,114,852.61

MEDIA

37,498,855,532.12

ABS-CBN Corporation	ABS	13,619,157,094.40
GMA Network, Inc.	GMA7	17,914,380,510.00
Manila Bulletin Publishing Corporation	MB	1,334,463,542.72
Manila Broadcasting Company	MBC	4,630,854,385.00

TELECOMMUNICATIONS

483,039,087,840.00

Globe Telecom, Inc.	GLO	269,080,982,140.00
Philippine Telegraph and Telephone Corporation	PTT	495,000,000.00
PLDT Inc.	TEL	213,463,105,700.00

INFORMATION TECHNOLOGY

34,298,895,236.17

Apollo Global Capital, Inc.	APL	12,054,463,019.77
DFNN, Inc.	DFNN	1,584,145,639.04
Imperial Resources, Inc.	IMP	1,083,150,000.00
Island Information & Technology, Inc.	IS	508,117,863.24
ISM Communications Corporation	ISM	9,632,000,000.00
Jackstones, Inc.	JAS	500,118,194.00
Now Corporation	NOW	4,164,705,445.32
Transpacific Broadband Group International, Inc.	TBGI	1,024,817,940.00
Philweb Corporation	WEB	3,747,377,134.80

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
TRANSPORTATION SERVICES		537,845,415,980.55
2GO Group, Inc.	2GO	25,852,536,318.00
Asian Terminals, Inc.	ATI	37,000,000,000.00
Chelsea Logistics Holdings Corp.	C	10,020,876,882.50
Cebu Air, Inc.	CEB	53,782,044,650.00
International Container Terminal Services, Inc.	ICT	257,276,980,988.80
LBC Express Holdings, Inc.	LBC	19,249,183,858.50
Lorenzo Shipping Corporation	LSC	471,445,913.35
MacroAsia Corporation	MAC	26,045,513,884.50
Metro Alliance Holdings & Equities Corporation "A"	MAH	181,836,735.30
Metro Alliance Holdings & Equities Corporation "B"	MAHB	122,448,979.00
PAL Holdings, Inc.	PAL	91,146,179,199.70
Globalport 900, Inc.	PORT	15,739,160,620.00
Harbor Star Shipping Services, Inc.	TUGS	957,207,950.90

HOTEL & LEISURE

4,461,448,733.34

Acesite (Phils.) Hotel Corporation	ACE	482,646,528.00
Boulevard Holdings, Inc.	BHI	636,000,000.00
Discovery World Corporation	DWC	1,270,780,000.00
Grand Plaza Hotel Corporation	GPH	572,627,153.54
Waterfront Philippines, Inc.	WPI	1,499,395,051.80

EDUCATION

33,157,910,459.93

Centro Escolar University	CEU	2,640,418,096.00
Far Eastern University, Inc.	FEU	14,664,550,470.00
iPeople, Inc.	IPO	9,910,057,739.53
STI Education Systems Holdings, Inc.	STI	5,942,884,154.40

CASINOS & GAMING

207,969,345,460.60

Berjaya Philippines, Inc.	BCOR	22,574,660,446.00
Bloomberry Resorts Corporation	BLOOM	124,292,619,981.30
IP E-Game Ventures, Inc.	EG	282,000,000.00
Pacific Online Systems Corporation	LOTO	2,238,327,365.00
Leisure & Resorts World Corporation	LR	5,802,000,000.00
Manila Jockey Club, Inc.	MJC	5,005,709,607.90
PH Resorts Group Holdings, Inc.	PHR	24,924,985,820.80
Premium Leisure Corp.	PLC	18,011,390,670.00
Philippine Racing Club, Inc.	PRC	4,837,651,569.60

RETAIL

482,049,451,048.93

AllHome Corp.	HOME	43,650,000,023.28
Metro Retail Stores Group, Inc.	MRSGI	7,235,981,250.00
Puregold Price Club, Inc.	PGOLD	114,648,246,446.25
Robinsons Retail Holdings, Inc.	RRHI	126,119,148,800.00
Philippine Seven Corporation	SEVN	107,411,396,186.00
SSI Group, Inc.	SSI	9,189,644,255.40
Wilcon Depot, Inc.	WLCON	73,795,034,088.00

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
OTHER SERVICES		
APC Group, Inc.	APC	2,926,639,558.83
Easycall Communications Philippines, Inc.	ECP	1,168,500,000.00
Golden Bria Holdings, Inc.	HVN	280,835,294,964.00
IPM Holdings, Inc.	IPM	4,830,000,000.00
Paxys, Inc.	PAX	3,089,558,789.54
Premiere Horizon Alliance Corporation	PHA	676,763,502.26
Philcomsat Holdings Corporation	PHC	1,394,947,755.60
SBS Philippines Corporation	SBS	14,352,999,990.74

MINING & OIL SECTOR	257,391,952,501.59
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MINING		
Atok-Big Wedge Co., Inc.	AB	27,893,200,000.00
Apex Mining Co., Inc.	APX	6,165,608,616.09
Abra Mining and Industrial Corporation	AR	298,941,876.30
Atlas Consolidated Mining and Development Corporation	AT	8,898,831,935.00
Benguet Corporation "A"	BC	418,936,155.93
Benguet Corporation "B"	BCB	249,931,846.44
Coal Asia Holdings Incorporated	COAL	1,080,000,001.08
Century Peak Holdings Corporation	CPM	8,122,551,696.00
Dizon Copper-Silver Mines, Inc.	DIZ	548,076,284.91
Global Ferronickel Holdings, Inc.	FNI	9,798,835,593.91
GEOGRACE Resources Philippines, Inc.	GEO	707,000,000.00
Lepanto Consolidated Mining Company "A"	LC	3,623,881,096.84
Lepanto Consolidated Mining Company "B"	LCB	2,681,841,779.00
Manila Mining Corporation "A"	MA	1,230,789,082.34
Manila Mining Corporation "B"	MAB	830,325,618.65
Marcventures Holdings, Inc.	MARC	2,954,523,898.90
NiHAO Mineral Resources International, Inc.	NI	1,030,200,000.00
Nickel Asia Corporation	NIKL	46,278,714,216.63
Omico Corporation	OM	493,716,986.31
Oriental Peninsula Resources Group, Inc.	ORE	2,158,875,003.75
Philex Mining Corporation	PX	13,981,329,362.44
Semirara Mining and Power Corporation	SCC	93,512,047,640.00
United Paragon Mining Corporation	UPM	1,358,836,944.82

OIL		
ACE Enexor, Inc.	ACEX	1,830,000,007.32
Oriental Petroleum and Minerals Corporation "A"	OPM	1,320,000,000.00
Oriental Petroleum and Minerals Corporation "B"	OPMB	880,000,000.00
The Philodrill Corporation	OV	2,110,556,858.94
PXP Energy Corporation	PXP	16,934,400,000.00

PREFERRED		239,601,409,534.09
8990 Holdings, Inc. Series A Perpetual Preferred Shares	8990P	4,985,000,000.00
Ayala Corporation Preferred Class "A" Shares	ACPA	500.00
Ayala Corporation Class "B" Series 1 Preferred Shares	ACPB1	9,980,000,000.00
Arthaland Corporation Series "B" Perpetual Preferred Shares	ALCPB	2,026,000,000.00
Arthaland Corporation Series "C" Perpetual Preferred Shares	ALCPC	1,007,000,000.00
Ayala Corporation Class "B" Series 2 Preferred Shares	APB2R	15,150,000,000.00
Benguet Corporation - 8% Cumulative Convertible Preferred A	BCP	2,609,073.22
DoubleDragon Properties Corporation Preferred Shares	DDPR	10,050,000,000.00
DMCI Holdings, Inc. - Cumulative Convertible Preferred	DMCP	1,344,000.00

ISSUE/SECURITY	CODE	MARKET CAPITALIZATION (IN PHP)
San Miguel Food and Beverage, Inc. - Preferred	FBP	1,011.00
San Miguel Food and Beverage, Inc. Perpetual Preferred Shares Series "2"	FBP2	14,955,000,000.00
First Gen Corporation Series "G" Preferred Shares	FGENG	13,221,074,520.00
First Philippine Holdings Corporation Series "C" Preferred Shares	FPHPC	1,764,000,000.00
Globe Telecom, Inc. Series A Voting Perpetual Preferred Shares	GLOPA	792,575,105.00
Globe Telecom, Inc. Series A Non-Voting Perpetual Preferred Shares	GLOPP	10,000,000,000.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "A"	GTPPA	4,790,847,600.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "B"	GTPPB	7,160,760,000.00
Leisure & Resorts World Corporation Preferred	LRP	1,650,000,000.00
Megawide Construction Corporation Perpetual Preferred Shares	MWP	4,012,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3A" Preferred Shares	PNX3A	1,278,750,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3B" Preferred Shares	PNX3B	800,250,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "4" Preferred Shares	PNX4	7,154,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual Preferred Shares	PNXP	100.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2A"	PRF2A	1,000.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2B"	PRF2B	3,018,686,320.00
Petron Corporation Perpetual Preferred Shares Series "3" -Subseries "3A"	PRF3A	13,818,493,000.00
Petron Corporation Perpetual Preferred Shares Series "3" -Subseries "3B"	PRF3B	6,959,835,000.00
Swift Foods, Inc. Convertible Preferred	SFIP	66,687,616.32
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A"	SMC2A	74.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B"	SMC2B	76.05
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C"	SMC2C	19,805,853,500.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-D"	SMC2D	6,700,005,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-E"	SMC2E	10,318,007,700.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-F"	SMC2F	16,928,679,300.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-G"	SMC2G	5,066,661,600.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-H"	SMC2H	12,308,200,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-I"	SMC2I	12,733,871,680.00
San Miguel Corporation - Preferred Series "1"	SMCP1	21,095,203,358.50
PLDT Conv Series II	TLII	3,700.00
PLDT Conv Series JJ	TLJJ	8,700.00

PREFERRED - DOLLAR DENOMINATED SECURITIES		367,120,000.00 ¹
Del Monte Pacific Limited U.S. Dollar-Denominated Series A-1 Preference Shares	DMPA1	200,000,000.00 ¹
Del Monte Pacific Limited U.S. Dollar-Denominated Series A-2 Preference Shares	DMPA2	102,800,000.00 ¹
Cirtek Holdings Philippines Corporation US Dollar-Denominated Preferred B-2 Shares	TECB2	64,320,000.00 ¹

PHILIPPINE DEPOSITARY RECEIPTS		8,593,688,530.00
ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	4,734,928,660.00
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	3,858,759,870.00

WARRANTS			106,425,000.00
Leisure & Resorts World Corporation Warrants		LRW	106,425,000.00

SMALL, MEDIUM & EMERGING BOARD		11,587,351,814.49
Philab Holdings Corp.	DNA	5,898,109,531.60
Italpinas Development Corporation	IDC	1,645,562,571.25
Kepwealth Property Phils., Inc.	KPPI	1,950,258,807.30
Makati Finance Corporation	MFIN	652,111,642.64
Xurpas Inc.	X	1,441,309,261.70

ETF SECTOR		1,671,923,924.00
ETF-EQUITY		1,671,923,924.00
First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	1,671,923,924.00

¹IN USD

CORPORATE INFORMATION



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**THE PHILIPPINE STOCK EXCHANGE, INC.
ANNUAL REPORT 2019**

CHARTING PSE'S ESG ROADMAP
(ENVIRONMENT • SOCIAL • GOVERNANCE)